

The Week Ahead

Forecasts, data preview, central bank watch

2 October 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- RBI to hike the policy rate by 25bps
- Strong trade and production data from Malaysia and Taiwan are likely
- Thailand to report a sizeable pick-up in inflation



Taimur Baig PhD, Chief
Economist

taimurbaig@dbs.com



Radhika Rao

radhikarao@dbs.com

The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

KEY FORECAST FOR THE COMING WEEK

Event	DBS	Previous
Oct 6 (Tue)		
Philippines: Inflation (Sep)	6.8% y/y	6.1% y/y
Thailand: Inflation (Sep)	3.2% y/y	2.5% y/y
Oct 7 (Wed)		
India: RBI repurchase rate	5.50%	5.25%
Taiwan: Inflation (Sep)	2.4% y/y	2.04% y/y
Oct 8 (Thu)		
Taiwan: exports (Sep)	41.9% y/y	44.3% y/y
- imports	44.0% y/y	41% y/y
- trade balance	\$16.6bn	\$22.3bn
Oct 9 (Fri)		
Malaysia: industrial production (Aug)	5.8% y/y	4.7% y/y

CENTRAL BANK MEETINGS

India: RBI monetary policy committee meeting (7-Oct)

The macro environment has undergone significant changes since the RBI monetary policy committee's (MPC) August policy meeting, with global oil prices rising past \$100/b, and US Fed kickstarting their rate hike cycle. Domestically, core and headline continued to rise, laying the ground for inflation to quicken beyond 5.8-6.0% in the second half as price risks broaden. Strong 1QFY27 GDP growth meanwhile pointed to the economy's relative resilience to external shocks.

Besides fuel feeding into food costs, weather has also proved to be disruptive, with indications that the El Niño phenomenon could extend into 2027. International food benchmarks, including the UN Food Price index and the Bloomberg spot agricultural indices, continue to climb. India's food inflation has become more broad-based, shifting beyond vegetables and pulses to sugar, milk, protein groups, and edible oils. Sub-par weather has contributed to this upmove, besides idiosyncratic factors like swing in production trends (cobweb), diversion for fuel usage etc.

After two years of normal monsoon, cumulative southwest rainfall this year is set to end with rainfall around 12-13% below the long-term average, the most since 2015 and resulting in a slower build-up in reservoir levels.

Global benchmark oil price gauge has averaged ~\$93/b in FY27 year-to-date, up 36% yoy vs FY26. Retail pump fuel prices were adjusted in quick succession in May26 and have been left unchanged since then, while other fuel products including CNG, aviation fuel, LPG etc have continued to climb. Add to this, other pockets like telecom, restaurants, business services, transport fares etc have been inching up, reflecting early signs of broadening in price pressures (on sequential basis). A gradual broadening of price pressures is likely to keep headline inflation high and narrow the real rate buffer significantly.

Authorities are also conducting liquidity absorption measures through market operations like VRRR, open market operations and sell-buy FX swaps. This is likely to align the overnight call money rates to the benchmark repo rate, after having fallen sharply due to the surplus in the banking system. Liquidity and core inflation have historically displayed a modest positive relationship, as per our study. As such, the RBI's inflation mandate has likely reinforced the push to drain excess liquidity.

We expect the RBI MPC to raise the repo rate by 25bp to 5.5%, citing pipeline inflationary pressures. Stance could be changed to withdrawal of accommodation to signal hawkish intent. We expect one more hike within 4Q26, though the odds of additional hikes have risen as oil prices stay stubbornly high and weather remains unfavourable.

FORTHCOMING DATA RELEASES

Malaysia

We expect industrial production to grow by 5.8% yoy in August from 4.7% yoy in July. Strength in export-oriented manufacturing is likely to persist, supported by sustained demand for artificial intelligence-related electronics goods, while mining output may have recovered from its contraction in July.

Taiwan

September trade and inflation data are forthcoming. Export growth is expected to sustain the 40% pace seen in the previous month. The global AI boom is facing rising headwinds from synchronised rate hikes by G3 central banks, higher bond yields, and rising financing costs. That said, there are so far no clear signs of a significant slowdown, based on the high-frequency indicators we track across AI demand, investment, and supply.

CPI is expected to rebound to 2.4% YoY in September, up from 2.0% in August. The earlier arrival of the Mid-Autumn Festival this year may have boosted food and services prices on a YoY basis. The rebound in global energy prices should also have lifted transport costs, including gasoline prices and airfares. While electricity tariffs will remain frozen, the December review implies a possibility of an electricity price hike after the local elections.

Given still-strong economic growth, persistent inflation, and the potential for inflation expectations to rise, we maintain our view that the central bank will raise the policy rate by a modest 12.5bps to 2.125% in December.

Thailand

We expect Thailand's headline inflation to accelerate to 3.2% yoy in September from 2.5% yoy in August, slightly exceeding the central bank's 1-3% inflation target. Faster increases in energy and food prices likely pushed overall inflation higher, despite an easing in electricity tariffs starting September. We expect the Bank of Thailand (BOT), which views the rise in inflation as largely supply-driven, to keep its policy rate stable at 1.00% for the remainder of 2026, aiming to support an economy with low and uneven growth.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.3	0.2	0.0	1.0	1.0
HONG KONG	2.5	3.5	3.8	2.8	1.5	1.4	2.0	2.0
INDIA	7.4	7.3	7.8	6.8	4.9	2.2	4.5	4.2
INDIA (FISCAL YEAR) *	7.2	7.8	7.3	6.8	4.6	2.1	4.9	4.0
INDONESIA	5.0	5.1	5.3	5.1	2.3	1.9	3.3	2.2
MALAYSIA	5.2	5.2	5.2	4.5	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	5.0	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	3.5	2.4	2.3	2.1	2.6	2.7
TAIWAN	5.3	8.8	11.6	5.6	2.2	1.7	2.0	2.1
THAILAND	2.9	2.4	2.1	2.0	0.4	-0.1	1.7	1.0
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.2	1.2	2.3	2.2	3.1	2.1
JAPAN	0.1	1.2	0.9	1.0	2.7	3.2	1.8	1.5
UNITED STATES***	2.8	2.1	2.3	2.2	3.0	2.7	3.3	2.8

* 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.75	5.75	5.75	5.75	5.75
INDONESIA	4.75	5.75	5.75	5.75	5.75	5.75	5.75	5.75
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.00	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.16	1.16	1.60	1.80	2.00	2.00	2.00	2.00
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.75	3.00	3.00	3.00	3.00
JAPAN	0.75	1.00	1.25	1.25	1.50	1.75	1.75	1.75
UNITED STATES	3.75	3.75	4.00	4.25	4.50	4.50	4.50	4.50

* 1-yr Loan Prime Rate; ** 3M SORA OIS; *** refinancing rate; ^ deposit facility rate

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.69	6.60	6.63	6.65	6.68	6.70
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	95.8	95.6	95.7	95.8	95.9	96.0
USD/IDR	17041	17907	17720	17400	17470	17530	17600	17660
USD/MYR	4.05	4.08	4.07	4.00	4.04	4.08	4.11	4.15
USD/PHP	60.7	61.3	62.6	61.5	62.1	62.8	63.4	64.0
USD/SGD	1.29	1.29	1.28	1.26	1.27	1.27	1.28	1.29
USD/KRW	1516	1549	1395	1400	1410	1420	1425	1435
USD/THB	32.6	33.2	33.3	32.6	32.8	32.9	33.0	33.2
USD/VND	26340	26310	26000	25840	25980	26120	26260	26400
AUD/USD	0.69	0.69	0.71	0.71	0.71	0.70	0.70	0.70
EUR/USD	1.16	1.14	1.15	1.18	1.17	1.17	1.16	1.15
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.90	4.15	4.40	4.40	4.40	4.40
	2Y	3.79	4.16	4.60	4.65	4.70	4.70	4.70	4.70
	10Y	4.32	4.45	5.00	5.10	5.20	5.20	5.20	5.20
	10Y-2Y	52	29	40	45	50	50	50	50
Japan	3M TIBOR	1.27	1.41	1.50	1.60	1.75	1.85	1.85	1.85
	2Y	1.35	1.39	1.60	1.70	1.85	1.95	1.95	1.95
	10Y	2.35	2.72	2.80	2.85	2.95	3.00	3.00	3.00
	10Y-2Y	100	133	120	115	110	105	105	105
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.95	2.95	2.95	2.95	2.95
	2Y	2.62	2.53	2.90	3.00	3.00	3.00	3.00	3.00
	10Y	3.00	2.86	3.30	3.40	3.50	3.60	3.70	3.80
	10Y-2Y	39	33	40	40	50	60	70	80
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.80	6.70	6.65	6.60	6.50
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	15	20	25	30	40
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.35	3.30	3.30	3.25	3.25	3.25
	10Y	3.63	3.60	3.80	3.85	3.85	3.85	3.80	3.80
	10Y-3Y	37	35	45	55	55	60	55	55
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.20	6.25	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.35	7.45	7.50	7.55	7.60	7.65
	10Y-2Y	156	82	115	120	125	125	125	130
Singapore	3M SORA OIS	1.16	1.16	1.60	1.80	2.00	2.00	2.00	2.00
	2Y	1.61	1.58	1.95	2.10	2.20	2.20	2.20	2.20
	10Y	2.29	2.04	2.50	2.60	2.70	2.70	2.70	2.70
	10Y-2Y	68	45	55	50	50	50	50	50
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.15	1.20	1.25	1.30	1.35	1.35
	10Y	2.23	2.04	2.10	2.20	2.30	2.40	2.50	2.60
	10Y-2Y	82	90	95	100	105	110	115	125
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	3.10	3.35	3.60	3.60	3.60	3.60
	2Y*	2.82	3.43	3.90	3.95	4.00	4.00	4.00	4.00
	10Y*	3.08	3.45	4.20	4.30	4.40	4.40	4.40	4.40
	10Y-2Y	26	2	30	35	40	40	40	40
Korea	3M CD	2.82	2.92	3.25	3.50	3.50	3.50	3.50	3.50
	3Y	3.56	3.70	3.75	3.90	3.90	3.90	3.90	3.90
	10Y	3.88	4.07	4.20	4.35	4.35	4.35	4.35	4.35
	10Y-3Y	32	37	45	45	45	45	45	45
India	3M MIBOR	7.25	6.61	6.30	6.80	6.80	6.80	6.80	6.80
	2Y	6.37	5.99	6.50	6.70	6.75	6.75	6.75	6.75
	10Y	7.04	6.75	7.00	7.10	7.15	7.15	7.15	7.15
	10Y-2Y	67	76	50	40	40	40	40	40

%, eop, govt bond yield for 2Y and 10Y, spread bps

Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.

Chief Economist
Global

taimurbaig@dbbs.com

Mo Ji, Ph.D.

Chief Economist
China/HK SAR
mojim@dbbs.com

Han Teng Chua, CFA

Senior Economist
Asean
hantengchua@dbbs.com

Wei Liang CHANG

FX & Credit Strategist
Global
weiliangchang@dbbs.com

Tieying MA, CFA

Senior Economist
North Asia
matieying@dbbs.com

Philip WEE

Senior FX Strategist
Global
philipwee@dbbs.com

Mervyn Teo

Senior Credit Analyst
USD, SGD, AUD
mervynteo@dbbs.com

Eugene LEOW

Senior Rates Strategist
G3 & Asia
eugeneleow@dbbs.com

Sherilyn Chew

Multi-asset Strategist
Global
sherilync Chew@dbbs.com

Ian Haan Chui

Credit Analyst
USD
ianchui@dbbs.com

Samuel TSE

Rates Strategist
Asia
samueltse@dbbs.com

Tracy Li Jun LIM

Credit Analyst
USD, SGD
tracylimt@dbbs.com

Joel SIEW, CFA

Credit Analyst
USD, SGD, AUD
joelsiew@dbbs.com

Amanda SEAH

Credit Analyst
USD, SGD, AUD
amandaseah@dbbs.com

Teng Chong LIM

Credit Analyst
USD, SGD, AUD
tengchonglim@dbbs.com

Daisy SHARMA

Analyst
Data Analytics
daisy@dbbs.com

Iris GAO

Credit Analyst
USD
irisgao@dbbs.com

Radhika RAO

Senior Economist
Asean/EU/South Asia
radhikarao@dbbs.com

Violet LEE

Associate
Publications
violetleeyh@dbbs.com

Nathan CHOW

Senior Economist
China/HK SAR
nathanchow@dbbs.com

Byron LAM

Economist
China/HK SAR
byronlamfc@dbbs.com

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates, Digital Assets or Commodities)¹

The information herein is published by DBS Bank Ltd and/or DBS Bank (Hong Kong) Limited (each and/or collectively, the “Company”). It is based on information obtained from sources believed to be reliable, but the Company does not make any representation or warranty, express or implied, as to its accuracy, completeness, timeliness or correctness for any particular purpose. Opinions expressed are subject to change without notice. This research is prepared for general circulation. Any recommendation contained herein does not have regard to the specific investment objectives, financial situation and the particular needs of any specific addressee. The information herein is published for the information of addressees only and is not to be taken in substitution for the exercise of judgement by addressees, who should obtain separate legal or financial advice. The Company, or any of its related companies or any individuals connected with the group accepts no liability for any direct, special, indirect, consequential, incidental damages or any other loss or damages of any kind arising from any use of the information herein (including any error, omission or misstatement herein, negligent or otherwise) or further communication thereof, even if the Company or any other person has been advised of the possibility thereof. The information herein is not to be construed as an offer or a solicitation of an offer to buy or sell any securities, futures, options or other financial instruments or to provide any investment advice or services. The Company and its associates, their directors, officers and/or employees may have positions or other interests in, and may effect transactions in securities mentioned herein and may also perform or seek to perform broking, investment banking and other banking or financial services for these companies. The information herein is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction (including but not limited to citizens or residents of the United States of America) where such distribution, publication, availability or use would be contrary to law or regulation. The information is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction (including but not limited to the United States of America) where such an offer or solicitation would be contrary to law or regulation.

[#for Distribution in Singapore] This report is distributed in Singapore by DBS Bank Ltd (Company Regn. No. 196800306E) which is Exempt Financial Advisers as defined in the Financial Advisers Act and regulated by the Monetary Authority of Singapore. DBS Bank Ltd may distribute reports produced by its respective foreign entities, affiliates or other foreign research houses pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. Where the report is distributed in Singapore to a person who is not an Accredited Investor, Expert Investor or an Institutional Investor, DBS Bank Ltd accepts legal responsibility for the contents of the report to such persons only to the extent required by law. Singapore recipients should contact DBS Bank Ltd at 65-6878-8888 for matters arising from, or in connection with the report.

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen’s Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen’s Road Central, Central, Hong Kong SAR.

¹ This disclaimer may not apply if the applicable assets fall within the definition of ‘financial instruments’ that are set out in Article 2(1) EU MAR (e.g. financial instruments that are traded on a regulated market, MTF or OTF, etc.). Section C of Annex I of MiFID2 specifies these ‘financial instruments’.

The Week Ahead

Forecasts, data preview, central bank watch

25 September 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- Hong Kong retail sales rebound on the cards.
- Regional inflation data to show elevated upside risks.
- Singapore August production to show continued upward momentum.



Taimur Baig PhD,
Chief Economist

taimurbaig@db.com



Chua Han Teng,
Senior Economist

hantengchua@db.com

The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

KEY FORECAST FOR THE COMING WEEK

Event	DBS	Previous
Sep 28 (Mon)		
India: industrial production (Aug)	8.0% y/y	6.7% y/y
Singapore: industrial production (Aug)	19.0% y/y	6.8% y/y
Sep 29 (Tue)		
Japan: industrial production (Aug)	6.1% y/y	3.9% y/y
South Korea: industrial production (Aug)	4.0% y/y	3.6% y/y
Oct 1 (Thu)		
Indonesia: exports (Aug)	4.3% y/y	6.1% y/y
- imports	31.7% y/y	27.0% y/y
- trade balance	USD500mn	USD130mn
- CPI (Sep)	3.3% y/y	3.2% y/y
South Korea: exports (Sep)	60.6% y/y	68.7% y/y
- imports	21.5% y/y	22.4% y/y
- trade balance	USD37.3bn	USD34.8bn
Oct 2 (Fri)		
US: change in nonfarm payrolls (Sep)	75k	162k
Eurozone: CPI (Sep)	3.3% y/y	3.2% y/y
Hong Kong: retail sales (Aug)	7.8% y/y	4.5% y/y
South Korea: CPI (Sep)	3.0% y/y	3.1% y/y
Oct 3 (Sat)		
Vietnam: GDP (3Q)	9.4% y/y	8.4% y/y
Vietnam: exports (Sep)	20.5% y/y	26.0% y/y
- imports	33.5% y/y	37.9% y/y
- trade balance	-USD1.7bn	-USD0.1bn
- retail sales YoY YTD (Sep)	13.5% y/y	13.3% y/y
Vietnam: CPI (Sep)	5.0% y/y	4.9% y/y

FORTHCOMING DATA RELEASES

Hong Kong SAR

Retail sales growth is expected to accelerate from 4.5% yoy in July to 7.8% in August, supported by an increase in visitor arrivals. The daily average of mainland visitor arrivals rebounded from 2.7% yoy in July to 13.3% in August. This significantly outpaced the growth in outbound tourism to 10.7% in August. The overall diffusion index improved during the month, with both the retail trade and restaurant sectors showing gains. Consumer prices remained steady at 1.7% yoy in August, while the prices of durable goods and food improved to 0.8% and 0.6% yoy, respectively.

Indonesia

September inflation is expected to stay high but not accelerate sharply from August. Headline CPI inflation is projected to rise marginally to 3.3% yoy in September from 3.2% in August. Continued rise in food prices, notably rice and perishables, is expected to be offset by steady subsidised fuel costs. Official price stabilisation measures and inter-province supply adjustments will help to limit the spillover impact of El Niño risks. Evolving inflation dynamics are consistent with the BI's decision to pause on rates, shifting attention instead towards managing near-term rupiah volatility and external risks.

South Korea

September trade and inflation data will be the key focus in the week ahead. Exports are expected to remain strong at around 60% yoy, supported by front-loading of shipments ahead of the Chuseok holiday (78.3% growth in the first 20 days of September). Headline CPI is expected to remain around 3% yoy, driven by festive demand for food and services ahead of Chuseok. We maintain our forecast for the Bank of Korea to deliver one more 25bps rate hike to 3.25% in 4Q. We do not rule out an additional 25bps hike to 3.50% if elevated global oil prices prove more persistent, adding further upside pressure to CPI in 4Q.

Singapore

We expect Singapore's industrial production growth to surge to 19.0% yoy in August 2026, sharply higher than the 6.8% yoy in July. This was partly flattered by favourable base effects, as August 2025 marked the lowest monthly reading of that year. The city-state's factory expansion continued to be driven primarily by strength in electronics and precision engineering, both of which are benefitting from the global artificial intelligence (AI) infrastructure build-out and sustained demand for AI hardware.

Vietnam

We expect Vietnam's real GDP growth to accelerate to 9.4% yoy in 3Q26, stepping up from 8.4% yoy in 2Q26. This growth surge was driven by broad-based strength across electronics production and exports, foreign and public

investments, and retail spending, notwithstanding evolving geopolitical developments. The stronger momentum was corroborated by high-frequency indicators from July-August, while September's data will likely be robust. In July-August, industrial production expanded by an average of 14.9% yoy (from 11.2% yoy average in 2Q26), goods exports grew by 25.5% yoy (gaining from 22.8% yoy in 2Q26), public investments remained robust, alongside resilient domestic and tourism spending, even as inflation remained elevated. Consequently, we see upside risks to our already-bullish 2026 GDP growth forecast of 8.0%.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.3	0.2	0.0	1.0	1.0
HONG KONG	2.5	3.5	3.8	2.8	1.5	1.4	2.0	2.0
INDIA	7.4	7.3	7.8	6.8	4.9	2.2	4.5	4.2
INDIA (FISCAL YEAR) *	7.2	7.8	7.3	6.8	4.6	2.1	4.9	4.0
INDONESIA	5.0	5.1	5.3	5.1	2.3	1.9	3.3	2.2
MALAYSIA	5.2	5.2	5.2	4.5	1.8	1.4	2.0	2.0
PHILIPPINES	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	5.0	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	3.5	2.4	2.3	2.1	2.6	2.7
TAIWAN	5.3	8.8	11.6	5.6	2.2	1.7	2.0	2.1
THAILAND	2.9	2.4	2.1	2.0	0.4	-0.1	1.7	1.0
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.2	1.2	2.3	2.2	3.1	2.1
JAPAN	0.1	1.2	0.9	1.0	2.7	3.2	1.8	1.5
UNITED STATES	2.8	2.0	1.9	1.7	3.0	2.7	3.5	3.0

* 2024 represents Fiscal year 25; ending Mar 25

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.75	5.75	5.75	5.75	5.75
INDONESIA	4.75	5.75	5.75	5.75	5.75	5.75	5.75	5.75
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.00	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.16	1.16	1.60	1.80	2.00	2.00	2.00	2.00
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.75	3.00	3.00	3.00	3.00
JAPAN	0.75	1.00	1.25	1.25	1.50	1.75	1.75	1.75
UNITED STATES	3.75	3.75	4.00	4.25	4.50	4.50	4.50	4.50

* 1-yr Loan Prime Rate; ** 3M SORA OIS ; *** refinancing rate; ^ deposit facility rate

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.69	6.60	6.63	6.65	6.68	6.70
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	95.8	95.6	95.7	95.8	95.9	96.0
USD/IDR	17041	17907	17720	17400	17470	17530	17600	17660
USD/MYR	4.05	4.08	4.07	4.00	4.04	4.08	4.11	4.15
USD/PHP	60.7	61.3	62.6	61.5	62.1	62.8	63.4	64.0
USD/SGD	1.29	1.29	1.28	1.26	1.27	1.27	1.28	1.29
USD/KRW	1516	1549	1395	1400	1410	1420	1425	1435
USD/THB	32.6	33.2	33.3	32.6	32.8	32.9	33.0	33.2
USD/VND	26340	26310	26000	25840	25980	26120	26260	26400
AUD/USD	0.69	0.69	0.71	0.71	0.71	0.70	0.70	0.70
EUR/USD	1.16	1.14	1.15	1.18	1.17	1.17	1.16	1.15
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.90	4.15	4.40	4.40	4.40	4.40
	2Y	3.79	4.16	4.60	4.65	4.70	4.70	4.70	4.70
	10Y	4.32	4.45	5.00	5.10	5.20	5.20	5.20	5.20
	10Y-2Y	52	29	40	45	50	50	50	50
Japan	3M TIBOR	1.27	1.41	1.50	1.60	1.75	1.85	1.85	1.85
	2Y	1.35	1.39	1.60	1.70	1.85	1.95	1.95	1.95
	10Y	2.35	2.72	2.80	2.85	2.95	3.00	3.00	3.00
	10Y-2Y	100	133	120	115	110	105	105	105
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.95	2.95	2.95	2.95	2.95
	2Y	2.62	2.53	2.90	3.00	3.00	3.00	3.00	3.00
	10Y	3.00	2.86	3.30	3.40	3.50	3.60	3.70	3.80
	10Y-2Y	39	33	40	40	50	60	70	80
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.80	6.70	6.65	6.60	6.50
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	15	20	25	30	40
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.35	3.30	3.30	3.25	3.25	3.25
	10Y	3.63	3.60	3.80	3.85	3.85	3.85	3.80	3.80
	10Y-3Y	37	35	45	55	55	60	55	55
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.20	6.25	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.35	7.45	7.50	7.55	7.60	7.65
	10Y-2Y	156	82	115	120	125	125	125	130
Singapore	3M SORA OIS	1.16	1.16	1.60	1.80	2.00	2.00	2.00	2.00
	2Y	1.61	1.58	1.95	2.10	2.20	2.20	2.20	2.20
	10Y	2.29	2.04	2.50	2.60	2.70	2.70	2.70	2.70
	10Y-2Y	68	45	55	50	50	50	50	50
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.15	1.20	1.25	1.30	1.35	1.35
	10Y	2.23	2.04	2.10	2.20	2.30	2.40	2.50	2.60
	10Y-2Y	82	90	95	100	105	110	115	125
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	3.10	3.35	3.60	3.60	3.60	3.60
	2Y*	2.82	3.43	3.90	3.95	4.00	4.00	4.00	4.00
	10Y*	3.08	3.45	4.20	4.30	4.40	4.40	4.40	4.40
	10Y-2Y	26	2	30	35	40	40	40	40
Korea	3M CD	2.82	2.92	3.25	3.50	3.50	3.50	3.50	3.50
	3Y	3.56	3.70	3.75	3.90	3.90	3.90	3.90	3.90
	10Y	3.88	4.07	4.20	4.35	4.35	4.35	4.35	4.35
	10Y-3Y	32	37	45	45	45	45	45	45
India	3M MIBOR	7.25	6.61	6.30	6.80	6.80	6.80	6.80	6.80
	2Y	6.37	5.99	6.50	6.70	6.75	6.75	6.75	6.75
	10Y	7.04	6.75	7.00	7.10	7.15	7.15	7.15	7.15
	10Y-2Y	67	76	50	40	40	40	40	40

%, eop, govt bond yield for 2Y and 10Y, spread bps, *HKD swaps

Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.

Chief Economist
Global

taimurbaig@dbbs.com

Mo Ji, Ph.D.

Chief Economist
China/HK SAR
mojim@dbbs.com

Han Teng Chua, CFA

Senior Economist
Asean
hantengchua@dbbs.com

Wei Liang CHANG

FX & Credit Strategist
Global
weiliangchang@dbbs.com

Tieying MA, CFA

Senior Economist
North Asia
matieying@dbbs.com

Philip WEE

Senior FX Strategist
Global
philipwee@dbbs.com

Mervyn Teo

Senior Credit Analyst
USD, SGD, AUD
mervynteo@dbbs.com

Eugene LEOW

Senior Rates Strategist
G3 & Asia
eugeneleow@dbbs.com

Sherilyn Chew

Multi-asset Strategist
Global
sherilync Chew@dbbs.com

Ian Haan Chui

Credit Analyst
USD
ianchui@dbbs.com

Samuel TSE

Rates Strategist
Asia
samueltse@dbbs.com

Tracy Li Jun LIM

Credit Analyst
USD, SGD
tracylimt@dbbs.com

Joel SIEW, CFA

Credit Analyst
USD, SGD, AUD
joelsiew@dbbs.com

Amanda SEAH

Credit Analyst
USD, SGD, AUD
amandaseah@dbbs.com

Teng Chong LIM

Credit Analyst
USD, SGD, AUD
tengchonglim@dbbs.com

Daisy SHARMA

Analyst
Data Analytics
daisy@dbbs.com

Iris GAO

Credit Analyst
USD
irisgao@dbbs.com

Radhika RAO

Senior Economist
Asean/EU/South Asia
radhikarao@dbbs.com

Violet LEE

Associate
Publications
violetleeyh@dbbs.com

Nathan CHOW

Senior Economist
China/HK SAR
nathanchow@dbbs.com

Byron LAM

Economist
China/HK SAR
byronlamfc@dbbs.com

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates, Digital Assets or Commodities)¹

The information herein is published by DBS Bank Ltd and/or DBS Bank (Hong Kong) Limited (each and/or collectively, the “Company”). It is based on information obtained from sources believed to be reliable, but the Company does not make any representation or warranty, express or implied, as to its accuracy, completeness, timeliness or correctness for any particular purpose. Opinions expressed are subject to change without notice. This research is prepared for general circulation. Any recommendation contained herein does not have regard to the specific investment objectives, financial situation and the particular needs of any specific addressee. The information herein is published for the information of addressees only and is not to be taken in substitution for the exercise of judgement by addressees, who should obtain separate legal or financial advice. The Company, or any of its related companies or any individuals connected with the group accepts no liability for any direct, special, indirect, consequential, incidental damages or any other loss or damages of any kind arising from any use of the information herein (including any error, omission or misstatement herein, negligent or otherwise) or further communication thereof, even if the Company or any other person has been advised of the possibility thereof. The information herein is not to be construed as an offer or a solicitation of an offer to buy or sell any securities, futures, options or other financial instruments or to provide any investment advice or services. The Company and its associates, their directors, officers and/or employees may have positions or other interests in, and may effect transactions in securities mentioned herein and may also perform or seek to perform broking, investment banking and other banking or financial services for these companies. The information herein is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction (including but not limited to citizens or residents of the United States of America) where such distribution, publication, availability or use would be contrary to law or regulation. The information is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction (including but not limited to the United States of America) where such an offer or solicitation would be contrary to law or regulation.

[#for Distribution in Singapore] This report is distributed in Singapore by DBS Bank Ltd (Company Regn. No. 196800306E) which is Exempt Financial Advisers as defined in the Financial Advisers Act and regulated by the Monetary Authority of Singapore. DBS Bank Ltd may distribute reports produced by its respective foreign entities, affiliates or other foreign research houses pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. Where the report is distributed in Singapore to a person who is not an Accredited Investor, Expert Investor or an Institutional Investor, DBS Bank Ltd accepts legal responsibility for the contents of the report to such persons only to the extent required by law. Singapore recipients should contact DBS Bank Ltd at 65-6878-8888 for matters arising from, or in connection with the report.

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

¹ This disclaimer may not apply if the applicable assets fall within the definition of 'financial instruments' that are set out in Article 2(1) EU MAR (e.g. financial instruments that are traded on a regulated market, MTF or OTF, etc.). Section C of Annex I of MiFID2 specifies these 'financial instruments'.

India: Growth, liquidity and policy response

22 September 2026

Radhika Rao, Senior Economist

radhikarao@dbb.com



- *High frequency indicators might keep 2QFY growth close to 7%.*
- *Pace to moderate in 2HFY.*
- *Retail inflation is likely to continue rise and broaden in scope, necessitating a tighter policy bias. WPI likely to rise by double-digits.*
- *Special swap windows helped to stem bearish INR positioning.*
- *Organic capital flows need to catch up.*
- *Liquidity management is in focus, with a moderate correlation to inflation.*
- *Twin-deficit risks are partly offset by stronger macro buffers.*

GROWTH MOMENTUM TO SUSTAIN, EXTERNAL RISKS LINGER

India registered strong growth at the start of FY27. Sustaining this performance will depend increasingly on how effectively it navigates a more uncertain global environment. Besides trade fragmentation, geopolitical tensions leading to higher energy prices, and shifts in international capital flows present key external risks.

India joined its Southeast Asian peers in posting an upside surprise on growth in 1QFY27 (Apr-Jun26), up a firm 7.8% yoy. few points of note:

A) strong 1Q growth print reinforced the view that India's domestic demand cycle was more resilient than initially assumed, with consumption, public capex and manufacturing providing a solid base despite external shocks.

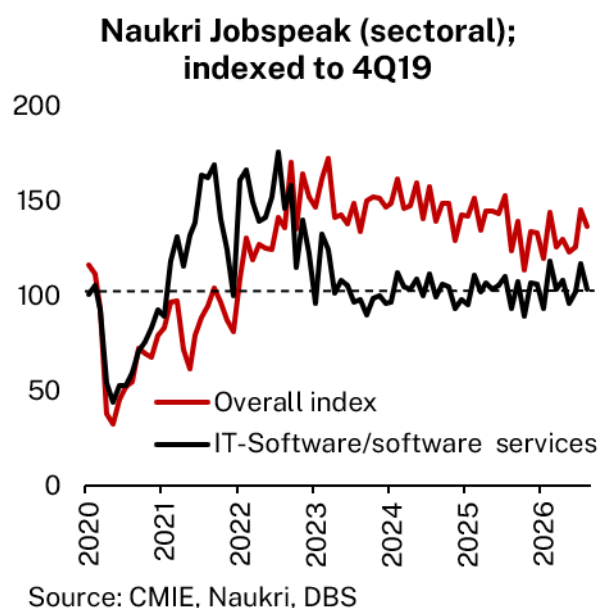
B) prevailing tailwinds by way of indirect tax relief in 4Q25, real rate buffer, and easier monetary conditions (earlier cuts), were also supportive;

C) nominal GDP growth returned above 10% after two years on higher deflators, though some segments like manufacturing faced negative deflators as input prices rose at a faster pace than output due to commodity price increases and import intensity;

D) Revisions to backdated numbers, to account for output PPI series, pushed up FY26 growth to 7.8% (from 7.7% earlier). Two prior years were also revised.

High-frequency indicators

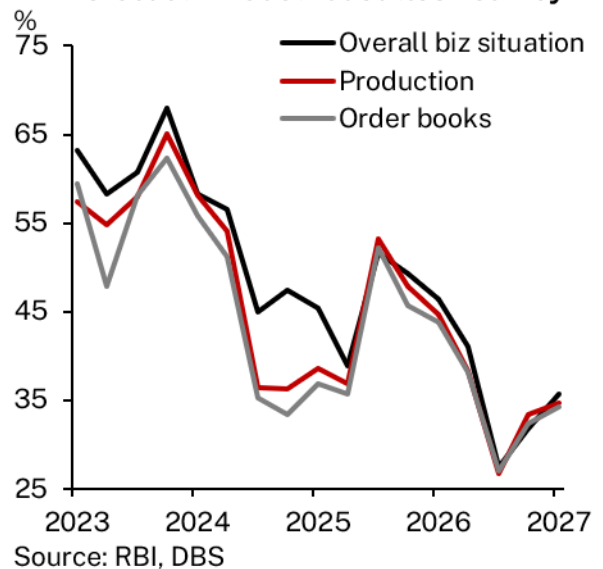
Into July-August, high frequency indicators are holding up, including GST e-way bills, indirect tax revenues, electricity demand and growth in digital payments, while toll collections and petroleum consumption slipped. **For demand**, a contained extent of increase in retail pump prices shielded households from the surge in global crude prices, but other market linked fuel variants have climbed in recent months. On the employment front, job reductions were witnessed in the software sector, even as fresh opportunities were reported in global capability centres, electronics/semiconductors, healthcare, auto/ancillary etc. Wage growth in services has improved, manufacturing has been steady, while farm sector moderated, according to consumption surveys by CMIE.



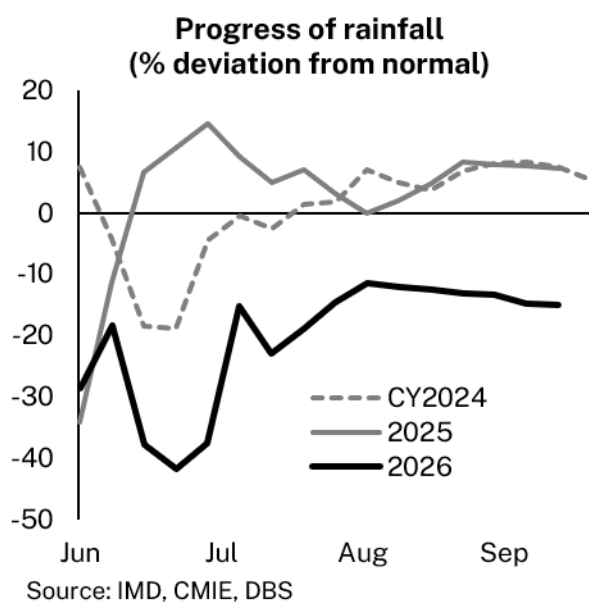
Industry indicators are a mixed bag, with PMIs maintaining their foothold in the expansionary terrain, while production

and eight core index growth come off highs. Auto production continues to expand, though output and sales might moderate in the next quarter on base effects due to indirect tax cuts in the same time year ago. Forward-looking firm surveys have improved, after initially coming under pressure.

RBI forecast - Industrial outlook survey



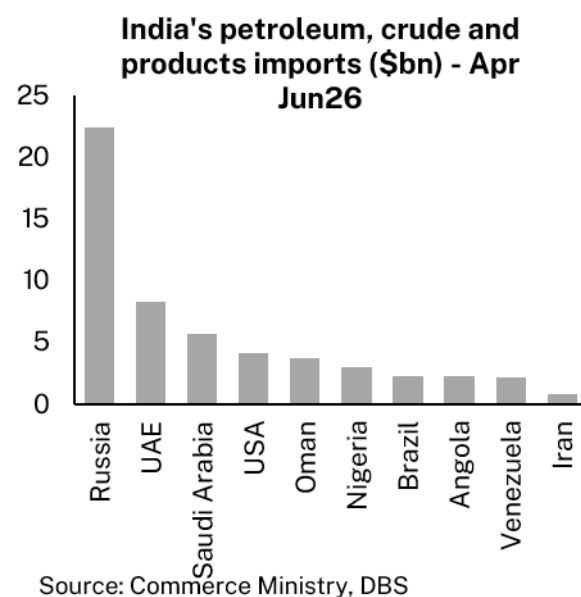
Sectors associated with rural demand might moderate amid weaker kharif sowing activity and lower reservoir levels impacting the rabi crop activity. Cumulative southwest monsoon is ~15% below the long-term average by tail end of the season. This takes the country on course to face its driest monsoon since 2009 (which was 18% below LPA). Uneven geographical spread is notable, with south and east India registering nearly 25% shortfall. While kharif sowing is on track with 99% of acreage completed, the winter crop might come under pressure as weather developments suggest El Niño could extend into 2027.



With nominal GDP growth to track 11-12% this fiscal year, corporate earnings growth is expected to fare better than recent few years. 1QFY27 performance had already set off the year on a strong note, barring selected sectors like O&G which faced sequential marginal pressures from operating costs. Add to this, the centre's capex growth is in firm double-digits, also backed by growth in core imports (non-oil non-gold).

On the external sector, despite better performance by exports, oil and electronics purchases have weighed on the goods math. **The trade deficit** is set to stay wide amidst elevated global crude cost, higher industrial fuels, cooking gas etc, even as a wider mix of suppliers have addressed energy shortages. **Notably, the net electronics deficit has widened considerably**, just as exports have improved. Likewise, core imports (ex oil ex gold) have stayed firm, which partly feeds into higher exports as well as broader domestic demand. Monthly service trade surplus has been

rangebound around \$17-18bn in recent months dwarfed by \$25-\$30bn goods gap.



Maintaining growth forecasts

High frequency indicators put 2QFY growth close to 7%. **We expect full year FY27 growth to average 7.3% yoy** from a revised 7.8% in FY26, assuming moderation in the momentum in the second half of the year on tighter policy conditions, lagged impact of high energy prices and base effects from indirect tax cuts last year fade. Assuming some spillover impact of exogenous uncertainties and tight financial conditions at home, we expect FY28 growth to average 6.8-7.0%.

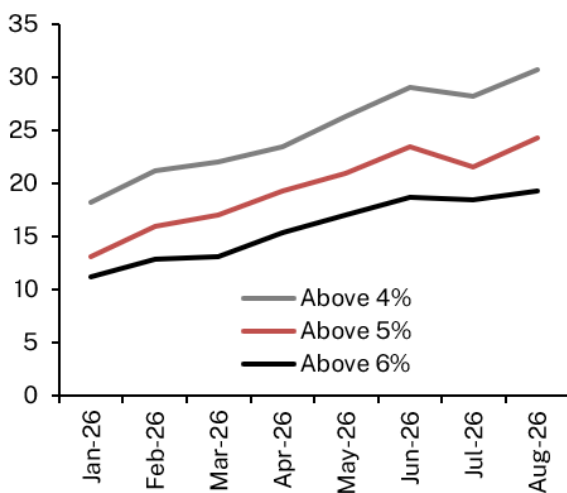
INFLATION OFF ITS BACK – THREE CATALYSTS

After two years of benign inflation, India's price trend is off its back this year, mainly on the back of three

catalysts: Food, energy and early signs of demand pass through.

Aug inflation rose to a 20-month high of 4.8% yoy from 4.5% month before. As the chart highlights, number of sub-segments growing by faster than the inflation target at 4% have continued to climb, pointing to a broadening out in the momentum.

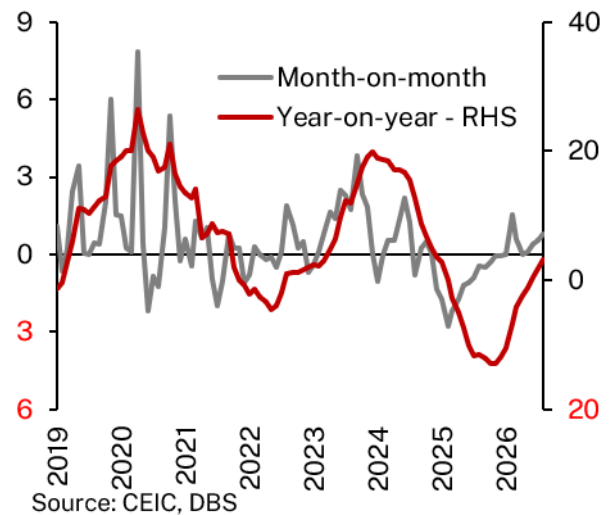
Percentage of CPI-segments above the target range mid-point



Source: CEIC, calculations are by DBS

Food inflation is gradually becoming more broad-based, shifting beyond vegetables and pulses to sugar, milk, protein groups, edible oils, amongst others. Sub-par weather has contributed to this upmove, besides idiosyncratic factors like swing in production trends, diversion for fuel usage etc. After two years of normal monsoon, cumulative southwest rainfall this year is currently 15% below the long-term average, alongside slower build-up in reservoir levels, which could impact upcoming rabi crops as well. El-Nino patterns continue to strengthen, adding to seasonal swings and risk of impacting farm output.

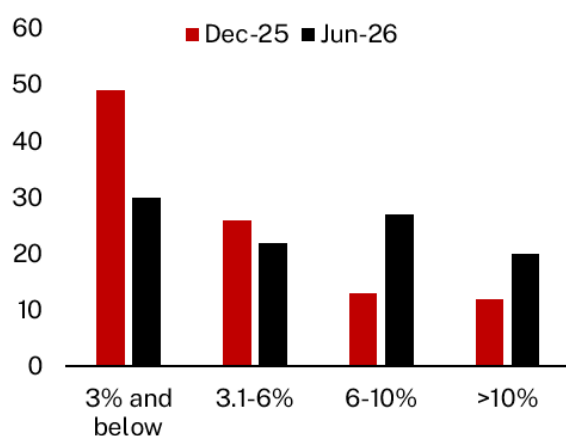
Pulses and products - inflation (average of 4 common varieties)



Beyond food, global oil prices have averaged ~\$91pb in CY26, staying above \$100pb for much of Seo26. Retail fuel prices were adjusted in quick succession back in May26 and have been left unchanged since then, while CNG, aviation fuel, LPG etc have continued to climb.

Transport inflation jumped to 4.6% yoy in Aug vs 0.1% in Jan26, besides utilities' component inching up. Business price expectation surveys (conducted by IIM Ahmedabad) have, nonetheless, captured businesses facing a notable increase in fuel costs, especially industrial fuels, base metals and derivative product groups. Imported price pressures are most notable in the producer price/ wholesale price indices. These gauges have been hovering at 9-10% yoy in recent months.

How to current unit costs compare to last year?

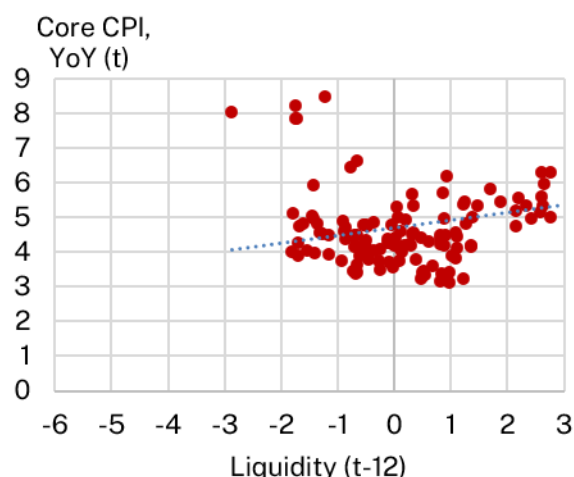


Source: BIES Survey, IIM Ahmedabad

Lastly, core inflation (ex-food and fuel) rose to 1.5-month high in August, mainly due to a sequential rebound in precious metals – gold and silver jewellery. Excluding precious metals, the reading was more moderate at 2.9%, pointing to some extent of economic slack. Nonetheless, other pockets like telecom, restaurants, business services, transport fares etc have been inching up, reflecting early signs of broadening in price pressures (on sequential basis), warranting attention. These are set against the backdrop of strong bank credit growth, flush INR liquidity and resilience in headline growth.

Our correlation analysis between liquidity (as % of NDTL) and core inflation – see chart, points to a positive but modest correlation at 0.4 between the two variables, with an assumed year-worth lag on inflation. The inflation-fighting mandate will also push the central bank to reduce the surplus liquidity in the domestic system.

Liquidity and Core CPI Inflation



Source: CEIC, BBG, DBS. Core CPI inflation ex food, fuel and light.

A sharp in global commodity prices is expected to feed into the wholesale price gauge, pushing up readings to double-digits next quarter.

A gradual broadening of price pressures is likely to keep headline inflation above 5% in second half of the fiscal year, sharply narrowing the real rate buffer, underscoring the need for a tighter policy bias. Add to this, recent developments, including a sustained rise in crude prices, tightening global financial conditions, firm domestic growth and signs of broadening in core pressures, strengthen the case for a shallow 50bp hike in second half of FY27, making October's meeting a live one.

TACKLING LIQUIDITY DELUGE, HIGHER YIELDS

Beating street estimates by a wide margin, the RBI's special swap windows raised a cumulative \$143bn into Sep, with the highest contribution (~92%) by

FCNR(B) deposits at \$133bn, while rest were via offshore borrowing facilities. These flows pushed up the foreign reserves stock to a fresh high past \$780bn, providing considerable firepower to defend the currency. This is already noticeable in the recent shift in the intervention bias. USDINR, which was earlier stubbornly steady in the face of strong FCNR inflows but eased sharply due to strong intervention dollar sales and broader dollar swings, before being led higher due to external triggers.

Liquidity is a key watch factor. Given the swap arrangement, these inflows have added to already abundant INR liquidity backdrop, which was at a four year high, depressing overnight rates. The banking system surplus jumped past INR 10trn surpassing 2022 and Covid highs, with the durable balance widening sharply higher to INR 14trn, suppressing overnight call rates. This compares to average INR 1trn surplus in late-June.

While organic drivers like tax-related outflows, and seasonal currency leakage, in addition to CAD, portfolio outflows, and maturity of the forwards book will act as counter-balancing factors, yet concerted steps were required to drain the potential surge in liquidity.

We discussed the various seasonal, near-term and permanent measures that the central bank might consider (see [FCNR bonanza necessitates debt management](#)) to absorb this surfeit. **Policymakers are being mindful of both the liquidity and signalling effects of the sterilisation tools at their disposal.** The RBI utilised tranches of market

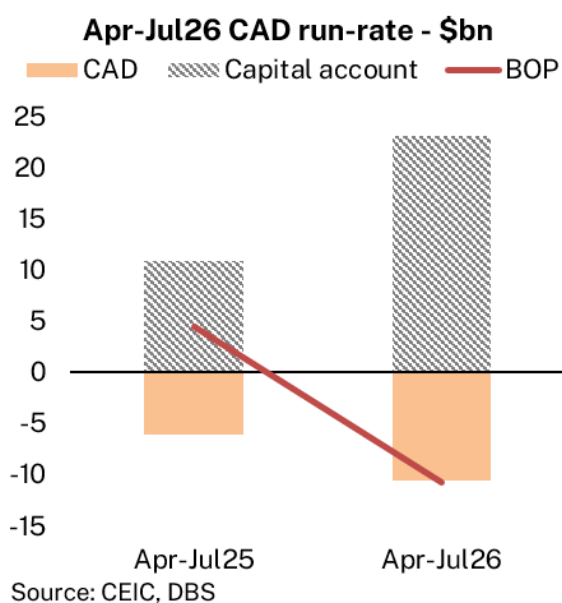
operations like VRRR across tenors, after which three tranches of open market operations (bonds maturing FY29 and FY32) worth a cumulative INR 1trn were conducted. These announcements fuelled a rise in yields, which were already inching up, tracking global counterparts. Sell/buy FX swaps for shorter rollovers were also being reportedly tapped.

When the dust settles, focus will also be on the bunched-up maturities that will fall due in 3Y and 5Y tenor of the deposits. A portion of the existing reserve stock could be earmarked against these liabilities, helping to mitigate concerns that deposit maturities or debt repayments could trigger a sharp increase in dollar demand and exert pressure on the FX market down the line. In the near-term, priorities will be to manage liquidity, gradually lower the sizeable forwards book, and support the domestic currency. Long-end yields continue to be influenced by the hardening global yields.

BALANCE OF PAYMENTS MATH TO BE COMFORTABLE

The FY27 current account math is expected to display two key counter trends, Firstly, the wider goods trade imbalance will raise the FY27 current account deficit. Secondly, the counterbalancing effect of a sharp improvement in the capital flows math will keep the annual balance of payments math in surplus.

India recorded a current account deficit (CAD) of \$10.5bn during April-July 2026, compared with \$6.1bn in the corresponding period last year. The deterioration was driven almost entirely by a wider merchandise trade deficit, which rose to \$117.8bn from \$97.1bn a year ago. Part of this offset by higher income, transfers and capital account flow. Capital flows found support from net FDI, portfolio investments and banking capital, especially NRI deposits (jumped sharply to \$36bn vs \$4.6bn same period last year), pushing up Apr-Jul26 BOP to \$12.7bn surplus, more than double of \$4.8bn same time last year.



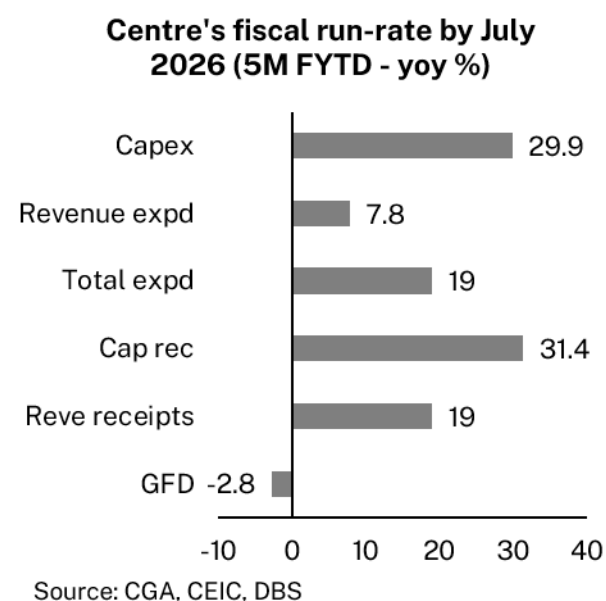
Oil prices are the main swing factor for the CAD this year, with the current run-rate tracking our forecast at -1.1% of GDP for FY27. This suggests that the widening in the CAD is commodity-price related rather than driven by higher demand.

On the other hand, capital flows are being buttressed by the special swap windows introduced by the central bank,

which raised a cumulative \$143bn between June and August, through non-resident deposits and external borrowings. This has helped to fill the gap from subdued portfolio flows and net investment trends. **We expect FY27 current account deficit to track -1.1% of GDP in FY27, with the balance of payments to register upwards of \$80bn surplus (vs -\$23.6bn deficit last year).** Into FY28, the dependency of capital flows on organic drivers like portfolio flows and FDI is set to increase, underscoring the need for higher vigilance.

FISCAL RUN-RATE

The FY27 fiscal run-rate points to a stronger revenue momentum, which has helped to keep the FYTD deficit in check, even as expenditure was frontloaded owing to subsidy payments and capex disbursements. April-July 2026 deficit stands at a third of the full-year balance.



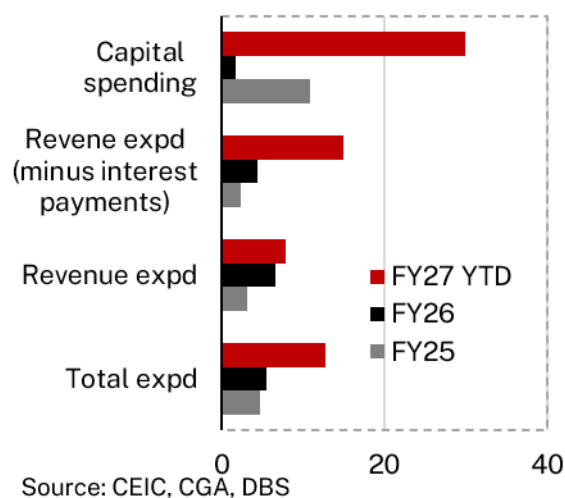
Both tax and non-tax receipts fared better than the comparable period year ago, helped by stronger corporate tax collections, STT transaction revenues, and RBI dividend, amongst others.

Setting 2QFY for a strong start, net direct tax collections rose 13% yoy by mid-Sep26, driven by net corporate tax collections up 19.5%. Net non-corporate tax collections were up 6%, besides STT collections up a sharp 53% yoy. Add to this, divestments have also fared better than expected this year, with ~78% raised by August, accompanied by dividends & profits (at 83% of budget by Jul26).

Under expenditure, about 33% of the full year allocation was allocated by July 2026. The subsidy outgo rose sharply, up 35% yoy, led by higher food at 23% and fertiliser at 46% (already accounting for nearly two-third of the full year budget) led by surging global DAP and urea prices. With global prices remaining high, the actual outgo might be higher than budgeted INR 1.7trn, likely towards INR 2.5trn. Capital spending also remained apace, up 30% yoy in first five months of the year.

Overall, strong growth in tax and non-tax receipts allowed the centre to sustain higher spending while containing the extent of fiscal slippage until July 2026 (FYTD). A strong nominal GDP rate (helped by higher inflation) will also provide a favourable denominator effect.

Central government expenditure - (% FYTD yoy)



IN SUM

The economy exhibited resilience in the face of a tough external environment in the first quarter, with part of that stability likely to extend to 2QFY27 as well. Tighter monetary conditions, El Nino impact and base effects from passage of post-indirect tax jump will moderate headline growth in 2HFY. Nonetheless for the year, we expected growth to stay north of 7%, factoring in a strong start.

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.

Chief Economist
Global

taimurbaig@dbs.com

Mo Ji, Ph.D.

Chief Economist
China/HK SAR

mojim@dbs.com

Han Teng Chua, CFA

Senior Economist
Asean

hantengchua@dbs.com

Wei Liang CHANG

FX & Credit Strategist
Global

weiliangchang@dbs.com

Tieying MA, CFA

Senior Economist
North Asia

matieying@dbs.com

Philip WEE

Senior FX Strategist
Global

philipwee@dbs.com

Mervyn Teo

Senior Credit Analyst
USD, SGD, AUD

mervynteo@dbs.com

Eugene LEOW

Senior Rates Strategist
G3 & Asia

eugeneleow@dbs.com

Sherilyn Chew

Multi-asset Strategist
Global

sherilync Chew@dbs.com

Ian Haan Chui

Credit Analyst
USD

ianchui@dbs.com

Samuel TSE

Rates Strategist
Asia

samueltse@dbs.com

Tracy Li Jun LIM

Credit Analyst
USD, SGD

tracylimt@dbs.com

Joel SIEW, CFA

Credit Analyst
USD, SGD, AUD

joelsiew@dbs.com

Amanda SEAH

Credit Analyst
USD, SGD, AUD

amandaseah@dbs.com

Teng Chong LIM

Credit Analyst
USD, SGD, AUD

tengchonglim@dbs.com

Daisy SHARMA

Analyst
Data Analytics

daisy@dbs.com

Iris GAO

Credit Analyst
USD

irisgao@dbs.com

Radhika RAO

Senior Economist
Asean/EU/South Asia

radhikarao@dbs.com

Violet LEE

Associate
Publications

violetleeyh@dbs.com

Nathan CHOW

Senior Economist
China/HK SAR

nathanchow@dbs.com

Byron LAM

Economist
China/HK SAR

byronlamfc@dbs.com

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates, Digital Assets or Commodities)¹

The information herein is published by DBS Bank Ltd and/or DBS Bank (Hong Kong) Limited (each and/or collectively, the "Company"). It is based on information obtained from sources believed to be reliable, but the Company does not make any representation or warranty, express or implied, as to its accuracy, completeness, timeliness or correctness for any particular purpose. Opinions expressed are subject to change without notice. This research is prepared for general circulation. Any recommendation contained herein does not have regard to the specific investment objectives, financial situation and the particular needs of any specific addressee. The information herein is published for the information of addressees only and is not to be taken in substitution for the exercise of judgement by addressees, who should obtain separate legal or financial advice. The Company, or any of its related companies or any individuals connected with the group accepts no liability for any direct, special, indirect, consequential, incidental damages or any other loss or damages of any kind arising from any use of the information herein (including any error, omission or misstatement herein, negligent or otherwise) or further communication thereof, even if the Company or any other person has been advised of the possibility thereof. The information herein is not to be construed as an offer or a solicitation of an offer to buy or sell any securities, futures, options or other financial instruments or to provide any investment advice or services. The Company and its associates, their directors, officers and/or employees may have positions or other interests in, and may effect transactions in securities mentioned herein and may also perform or seek to perform broking, investment banking and other banking or financial services for these companies. The information herein is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction (including but not limited to citizens or residents of the United States of America) where such distribution, publication, availability or use would be contrary to law or regulation. The information is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction (including but not limited to the United States of America) where such an offer or solicitation would be contrary to law or regulation.

[#for Distribution in Singapore] This report is distributed in Singapore by DBS Bank Ltd (Company Regn. No. 196800306E) which is Exempt Financial Advisers as defined in the Financial Advisers Act and regulated by the Monetary Authority of Singapore. DBS Bank Ltd may distribute reports produced by its respective foreign entities, affiliates or other foreign research houses pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. Where the report is distributed in Singapore to a person who is not an Accredited Investor, Expert Investor or an Institutional Investor, DBS Bank Ltd accepts legal responsibility for the contents of the report to such persons only to the extent required by law. Singapore recipients should contact DBS Bank Ltd at 65-6878-8888 for matters arising from, or in connection with the report.

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

¹ This disclaimer may not apply if the applicable assets fall within the definition of 'financial instruments' that are set out in Article 2(1) EU MAR (e.g. financial instruments that are traded on a regulated market, MTF or OTF, etc.). Section C of Annex I of MiFID2 specifies these 'financial instruments'.

Forecasts, data preview, central bank watch

18th September 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- We expect the PBOC to keep the 1Y LPR unchanged at 3.00%.
- Bank Indonesia is expected to the benchmark rate unchanged at 5.75%.
- Singapore's and Hong Kong's CPIs are expected to edge up from 2.2% YoY and 1.7% YoY in July to 2.3% and 1.8% in August respectively.



Taimur Baig PhD,
Chief Economist
taimurbaig@dbs.com



Samuel Tse,
Rates Strategist
samueltse@dbs.com

KEY FORECASTS FOR THE COMING WEEK

Event	DBS	Previous
Sep 21 (Mon)		
China: 1-year loan prime rate	3.00%	3.00%
Sep 23 (Wed)		
Indonesia: BI-rate	5.75%	5.75%
Taiwan: industrial production (Aug)	24.6% y/y	25.6% y/y
Singapore: CPI (Aug)	2.3% y/y	2.2% y/y
Hong Kong: CPI (Aug)	1.8% y/y	1.7% y/y
Sep 24 (Thu)		
Hong Kong: exports (Aug)	53.2% y/y	50.7% y/y
- imports	40.8% y/y	41.0% y/y
- trade balance	USD18.4bn	-USD4.9bn

The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

CENTRAL BANK MEETINGS

People Bank of China (21 Sep)

We expect the PBOC to keep the 1Y LPR unchanged at 3.00%, maintaining a measured easing stance as resilient exports and industrial activity continue to support growth. Industrial production growth accelerated from 4.5% yoy in July to 5.2% in August, buoyed by strong exports despite soft domestic demand. High-tech manufacturing expanded by 16.7% yoy, supported by the regional AI and electronics upcycle. Domestic momentum, however, remains uneven. Retail sales growth slowed from 0.6% yoy in July to 0.4% in August, weighed down by weaker purchases of big-ticket items, including luxury goods, automobiles and furniture. Elevated precautionary savings and falling property prices continued to constrain household consumption. Investment conditions also deteriorated, with the fixed asset investment contraction widening from 6.7% yoy ytd in July to 7.2% in August. State-owned and private investment fell by 3.6% and 10.1% yoy, respectively, while property investment declined by 19.9% yoy ytd as developers prioritised completions over new starts. Against this backdrop, policymakers are likely to maintain a measured policy stance, relying on targeted fiscal support to sustain growth rather than further rate cuts.

Bank Indonesia (23 Sep)

Bank Indonesia is expected to the benchmark rate unchanged at 5.75% this month. New Governor Destry is likely to highlight tighter global financial conditions, and geopolitical risks as key risks of the horizon, while the domestic economy continues to be relatively resilient. After a considerable period of volatility in first half of the year, USDIDR has been rangebound

this quarter, lowering the need for currency-driven hikes. The incoming Finance Minister's past statements also point to a continued preference for fiscal prudence rather than fiscal activism. We expect broad adherence to fiscal thresholds, a preference to reallocate expenditure than to boost borrowings, and build buffers in the math to absorb unexpected shocks, to add to macro stability. Inflation is off its back, but still within the BI's target range. Against this backdrop and despite US Fed's hike, we expect Indonesia's policymakers to exhibit limited urgency to tighten policy at this juncture.

FORTHCOMING DATA RELEASES

Hong Kong SAR

Export growth is expected to accelerate from 50.7% yoy in July to 53.2% in August, in line with the pickup in China's export growth from 23.9% yoy to 25.0% over the same period. Trade momentum remains robust, supported by strong demand for AI-related electronics. Import growth is also expected to stay firm, reflecting sustained demand for intermediate and capital goods amid resilient export orders and gradually improving investment sentiment.

On the inflation front, CPI is projected to edge up from 1.7% yoy in July to 1.8% in August, supported by improving consumption sentiment. The overall diffusion index strengthened during the month, driven by gains in the retail trade and restaurant sub-indices. Mainland visitor arrivals increased by 13.3% yoy in August on a daily average basis, providing further support to domestic consumption. Renewed Middle East conflict during the month will also provide upward pressure to headline CPI.

Singapore

We expect Singapore's core and headline inflation to rise slightly to 2.1% yoy and 2.3% yoy, respectively, in August 2026, from 2.0% yoy and 2.2% yoy in July. The inflation readings likely reflected the continued lagged impact from higher global energy prices, such as a positive contribution from elevated electricity & gas price increases for a second consecutive month, and high transport inflation, while food inflation likely firmed. However, low albeit slightly rising accommodation cost increases and contained domestic services inflation should limit the overall increase in price pressures.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.3	0.2	0.0	1.0	1.0
HONG KONG	2.5	3.5	3.8	2.8	1.5	1.4	2.0	2.0
INDIA	7.4	7.3	7.8	6.8	4.9	2.2	4.5	4.2
INDIA (FISCAL YEAR) *	7.2	7.8	7.3	6.8	4.6	2.1	4.9	4.0
INDONESIA	5.0	5.1	5.3	5.1	2.3	1.9	3.3	2.2
MALAYSIA	5.2	5.2	5.2	4.5	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	5.0	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	3.5	2.4	2.3	2.1	2.6	2.7
TAIWAN	5.3	8.8	11.6	5.6	2.2	1.7	2.0	2.1
THAILAND	2.9	2.4	2.1	2.0	0.4	-0.1	1.7	1.0
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.2	1.2	2.3	2.2	3.1	2.1
JAPAN	0.1	1.2	0.9	1.0	2.7	3.2	1.8	1.5
UNITED STATES***	2.8	2.0	1.9	1.7	3.0	2.7	3.5	3.0

* 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.75	5.75	5.75	5.75	5.75
INDONESIA	4.75	5.75	5.75	5.75	5.75	5.75	5.75	5.75
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.25	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.16	1.16	1.60	1.80	2.00	2.00	2.00	2.00
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.75	3.00	3.00	3.00	3.00
JAPAN	0.75	1.00	1.25	1.25	1.50	1.75	1.75	1.75
UNITED STATES	3.75	3.75	4.00	4.25	4.50	4.50	4.50	4.50

* 1-yr Loan Prime Rate; ** 3M SORA OIS; *** refinancing rate; ^ deposit facility rate

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.75	6.70	6.74	6.78	6.81	6.85
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	93.4	93.9	94.4	95.0	95.5	96.1
USD/IDR	17041	17907	17760	17600	17660	17730	17790	17860
USD/MYR	4.05	4.08	4.02	3.95	4.00	4.05	4.10	4.15
USD/PHP	60.7	61.3	60.4	60.6	60.7	60.9	61.1	61.3
USD/SGD	1.29	1.29	1.28	1.27	1.28	1.29	1.29	1.30
USD/KRW	1516	1549	1465	1450	1490	1505	1520	1535
USD/THB	32.6	33.2	32.7	32.0	32.5	33.0	33.5	34.0
USD/VND	26340	26310	26290	26290	26430	26570	26710	26850
AUD/USD	0.69	0.69	0.70	0.71	0.70	0.70	0.69	0.69
EUR/USD	1.16	1.14	1.15	1.17	1.16	1.15	1.14	1.13
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.90	4.15	4.40	4.40	4.40	4.40
	2Y	3.79	4.16	4.60	4.65	4.70	4.70	4.70	4.70
	10Y	4.32	4.45	5.00	5.10	5.20	5.20	5.20	5.20
	10Y-2Y	52	29	40	45	50	50	50	50
Japan	3M TIBOR	1.27	1.41	1.50	1.60	1.75	1.85	1.85	1.85
	2Y	1.35	1.39	1.60	1.70	1.85	1.95	1.95	1.95
	10Y	2.35	2.72	2.80	2.85	2.95	3.00	3.00	3.00
	10Y-2Y	100	133	120	115	110	105	105	105
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.95	2.95	2.95	2.95	2.95
	2Y	2.62	2.53	2.90	3.00	3.00	3.00	3.00	3.00
	10Y	3.00	2.86	3.30	3.40	3.50	3.60	3.70	3.80
	10Y-2Y	39	33	40	40	50	60	70	80
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.80	6.70	6.65	6.60	6.50
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	15	20	25	30	40
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.35	3.30	3.30	3.25	3.25	3.25
	10Y	3.63	3.60	3.80	3.85	3.85	3.85	3.80	3.80
	10Y-3Y	37	35	45	55	55	60	55	55
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.20	6.25	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.35	7.45	7.50	7.55	7.60	7.65
	10Y-2Y	156	82	115	120	125	125	125	130
Singapore	3M SORA OIS	1.16	1.16	1.60	1.80	2.00	2.00	2.00	2.00
	2Y	1.61	1.58	1.95	2.10	2.20	2.20	2.20	2.20
	10Y	2.29	2.04	2.50	2.60	2.70	2.70	2.70	2.70
	10Y-2Y	68	45	55	50	50	50	50	50
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.15	1.20	1.25	1.30	1.35	1.35
	10Y	2.23	2.04	2.10	2.20	2.30	2.40	2.50	2.60
	10Y-2Y	82	90	95	100	105	110	115	125
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	3.10	3.35	3.60	3.60	3.60	3.60
	2Y*	2.82	3.43	3.90	3.95	4.00	4.00	4.00	4.00
	10Y*	3.08	3.45	4.20	4.30	4.40	4.40	4.40	4.40
	10Y-2Y	26	2	30	35	40	40	40	40
Korea	3M CD	2.82	2.92	3.25	3.50	3.50	3.50	3.50	3.50
	3Y	3.56	3.70	3.75	3.90	3.90	3.90	3.90	3.90
	10Y	3.88	4.07	4.20	4.35	4.35	4.35	4.35	4.35
	10Y-3Y	32	37	45	45	45	45	45	45
India	3M MIBOR	7.25	6.61	6.30	6.80	6.80	6.80	6.80	6.80
	2Y	6.37	5.99	6.50	6.70	6.75	6.75	6.75	6.75
	10Y	7.04	6.75	7.00	7.10	7.15	7.15	7.15	7.15
	10Y-2Y	67	76	50	40	40	40	40	40

%, eop, govt bond yield for 2Y and 10Y, spread bps

Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.

Chief Economist
Global

taimurbaig@dbbs.com

Mo Ji, Ph.D.

Chief Economist
China/HK SAR
mojim@dbbs.com

Han Teng CHUA, CFA

Senior Economist
Asean
hantengchua@dbbs.com

Wei Liang CHANG

FX & Credit Strategist
Global
weiliangchang@dbbs.com

Tieying MA, CFA

Senior Economist
North Asia
matieying@dbbs.com

Philip WEE

Senior FX Strategist
Global
philipwee@dbbs.com

Mervyn TEO

Senior Credit Analyst
USD, SGD, AUD
mervynteo@dbbs.com

Eugene LEOW

Senior Rates Strategist
G3 & Asia
eugeneleow@dbbs.com

Sherilyn CHEW

Multi-asset Strategist
Global
sherilync Chew@dbbs.com

Ian Haan Chui

Credit Analyst
USD
ianchui@dbbs.com

Samuel TSE

Rates Strategist
Asia
samueltse@dbbs.com

Tracy Li Jun LIM

Credit Analyst
USD, SGD
tracylimt@dbbs.com

Joel SIEW, CFA

Credit Analyst
USD, SGD, AUD
joelsiew@dbbs.com

Amanda SEAH

Credit Analyst
USD, SGD, AUD
amandaseah@dbbs.com

Teng Chong LIM

Credit Analyst
USD, SGD, AUD
tengchonglim@dbbs.com

Daisy SHARMA

Analyst
Data Analytics
daisy@dbbs.com

Iris GAO

Credit Analyst
USD
irisgao@dbbs.com

Radhika RAO

Senior Economist
Asean/EU/South Asia
radhikarao@dbbs.com

Violet LEE

Associate
Publications
violetleeyh@dbbs.com

Nathan CHOW

Senior Economist
China/HK SAR
nathanchow@dbbs.com

Byron LAM

Economist
China/HK SAR
byronlamfc@dbbs.com

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates, Digital Assets or Commodities)¹

The information herein is published by DBS Bank Ltd and/or DBS Bank (Hong Kong) Limited (each and/or collectively, the “Company”). It is based on information obtained from sources believed to be reliable, but the Company does not make any representation or warranty, express or implied, as to its accuracy, completeness, timeliness or correctness for any particular purpose. Opinions expressed are subject to change without notice. This research is prepared for general circulation. Any recommendation contained herein does not have regard to the specific investment objectives, financial situation and the particular needs of any specific addressee. The information herein is published for the information of addressees only and is not to be taken in substitution for the exercise of judgement by addressees, who should obtain separate legal or financial advice. The Company, or any of its related companies or any individuals connected with the group accepts no liability for any direct, special, indirect, consequential, incidental damages or any other loss or damages of any kind arising from any use of the information herein (including any error, omission or misstatement herein, negligent or otherwise) or further communication thereof, even if the Company or any other person has been advised of the possibility thereof. The information herein is not to be construed as an offer or a solicitation of an offer to buy or sell any securities, futures, options or other financial instruments or to provide any investment advice or services. The Company and its associates, their directors, officers and/or employees may have positions or other interests in, and may effect transactions in securities mentioned herein and may also perform or seek to perform broking, investment banking and other banking or financial services for these companies. The information herein is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction (including but not limited to citizens or residents of the United States of America) where such distribution, publication, availability or use would be contrary to law or regulation. The information is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction (including but not limited to the United States of America) where such an offer or solicitation would be contrary to law or regulation.

[#for Distribution in Singapore] This report is distributed in Singapore by DBS Bank Ltd (Company Regn. No. 196800306E) which is Exempt Financial Advisers as defined in the Financial Advisers Act and regulated by the Monetary Authority of Singapore. DBS Bank Ltd may distribute reports produced by its respective foreign entities, affiliates or other foreign research houses pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. Where the report is distributed in Singapore to a person who is not an Accredited Investor, Expert Investor or an Institutional Investor, DBS Bank Ltd accepts legal responsibility for the contents of the report to such persons only to the extent required by law. Singapore recipients should contact DBS Bank Ltd at 65-6878-8888 for matters arising from, or in connection with the report.

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

¹ This disclaimer may not apply if the applicable assets fall within the definition of ‘financial instruments’ that are set out in Article 2(1) EU MAR (e.g. financial instruments that are traded on a regulated market, MTF or OTF, etc.). Section C of Annex I of MiFID2 specifies these ‘financial instruments’.

從順風到權衡

東南亞地區展望

2026–2035

BAIN & COMPANY 

 DBS

VRIENS & PARTNERS
NAVIGATING THE POLITICS OF BUSINESS



作者與致謝

Ravi Vijayaraghavan 是貝恩公司（Bain & Company）的資深合夥人，此前曾領導該公司的亞太區科技業務。聯絡電郵：

ravi.vijayaraghavan@bain.com。

Taimur Baig 是星展銀行（DBS Bank）董事總經理兼首席經濟學家。聯絡電郵：

taimurbaig@db.com。

Hans Vriens 是 Vriens & Partners 的創始合夥人，該公司是一家專注於東南亞地區的政府事務顧問服務機構。

聯絡電郵：hans@vrienspartners.com。

作者特別感謝貝恩公司前顧問合夥人 **Charles Ormiston** 的貢獻，他於 2022 年首創了本報告的第一版，並持續為本報告中的洞見提供支持。

同時，感謝 **Han Teng Chua**、**Martin House**、**Galang Ramadhan**、**Radhika Rao**、**Darshini Revichandren**、**Chiara Noto La Diega** 和 **Jilyn Yeow** 的貢獻與支持。

概覽

01

儘管近期動盪不斷，東南亞經濟表現依然穩健；然而，各國之間的結構性差異正在拉大成長的品質與集中度差距。

02

我們對 2026 年至 2035 年的基準成長預測保持不變，平均成長率預計為 4.8%。作為參考，我們此前對 2024 年至 2034 年期間的預測為 5.1%。

03

越南依然是區域內的成長領跑者，而泰國的表現則落後于其他同儕國家。

04

然而，更廣泛的全球經濟、科技和地緣政治環境促使我們需要在不同情境下考量更廣泛的潛在結果。

05

各國在掌握上行機遇和建立下行抵禦能力方面擁有明顯不同的能力。在下行情境中，印尼、菲律賓和泰國受到的衝擊最大；而在更為有利的條件下，馬來西亞、新加坡和越南則能獲得不成比例的上行收益。

06

在政策層面，我們此前在《東南亞展望》報告中確定的核心成長杠杆依然有效；但當前的成長環境更加強調制度韌性、人工智慧（AI）應用和能源安全。

07

地緣經濟、科技和國內政治趨勢的持續演變，使得當前節點顯得格外敏感。10 年期的預測在很大程度上取決於近期政策選擇和成長成果。



簡介

《東南亞展望》是貝恩公司、星展銀行和 Vriens & Partners 共同開展的持續性合作項目。在本版報告中，標題令人欣慰：2024 年和 2025 年，東南亞六國（SEA-6）平均成長率為 5.1%，與我們的預測相符。

考量到近期的動盪局勢，這一表現十分亮眼。然而，總量資料掩蓋了各國之間尖銳的結構性差異。例如，越南實現了 7.5% 的成長率，而泰國僅成長 2.7%。

地緣政治、科技和貿易格局的轉變將繼續影響未來結果。但未來十年的國內表現，將顯著受到近期選擇和國內政策行動的影響。

因此，本年度報告納入了更廣泛的預測結果，以“扇形圖”形式展示了每個國家可能出現的上行和下行軌跡。報告還提出了各國加速成長和建立持久優勢的特定優先事項。

從廣義上看，所有東南亞國家都具備成長潛力。未來幾年，全球經濟和政治環境、國內政策選擇以及各國執行的有效性，將決定它們能否成功實現其內在潛力。

表現回顧

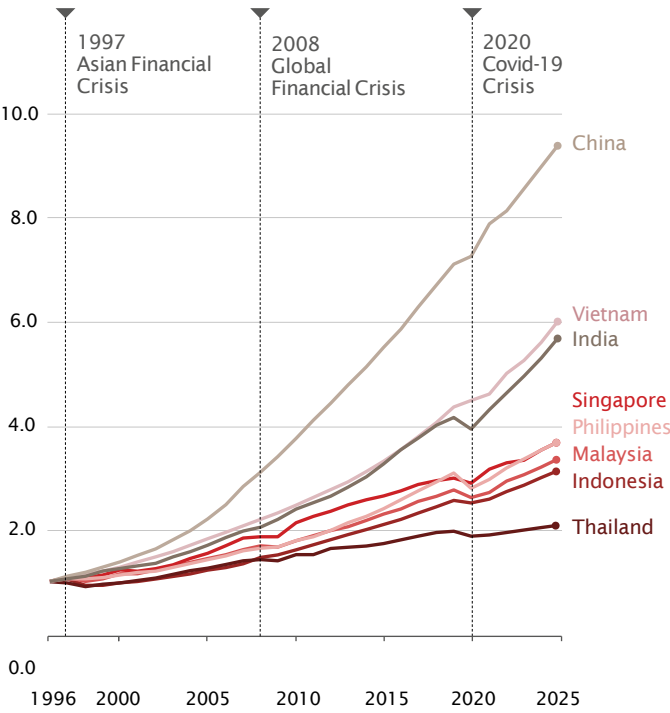
在過去三十年中，東南亞展現出了
沉穩的韌性。

該地區在經歷金融危機、全球疫情和來自周邊
大國競爭加劇的過程中，保持了穩步成長。

2024 年至 2025 年間，所有 SEA-6 經濟體的成長
率均高於過去十年。自 1996 年以來，越南始終領
跑該地區，而泰國在過去二十年中一直是落後者
(見圖 1)。

圖 1 過去 30 年，東南亞經歷了健康的 GDP 成長

Real GDP Indexed to 1996 (1996-2025, x)



Economy	2025 Real GDP (USD B)	'96-'05 Avg GDP Growth	'06-'15 Avg GDP Growth	'16-'25 Avg GDP Growth	'24-'25 Avg GDP Growth
Indonesia	824	2.9%	5.6%	4.2%	5.1%
Malaysia	405	4.8%	4.9%	4.0%	5.2%
Philippines	404	4.2%	5.5%	4.6%	5.1%
Singapore	454	5.3%	5.7%	3.5%	5.2%
Thailand	351	3.2%	3.4%	2.0%	2.7%
Vietnam	271	7.2%	6.3%	6.3%	7.5%
SEA-6	2,710	3.9%	5.2%	4.1%	5.1%
China	16,840	9.3%	9.6%	5.6%	5.0%
India	3,704	6.3%	6.8%	5.9%	7.4%

Notes: 2025 real GDP is derived from constant-price GDP (local currency units) and converted to 2025 USD using average 2025 exchange rates; China GDP excludes Hong Kong and Macau.
Sources: CEIC; IMF; World Bank; government sources





製造業增加值下降，唯越南例外

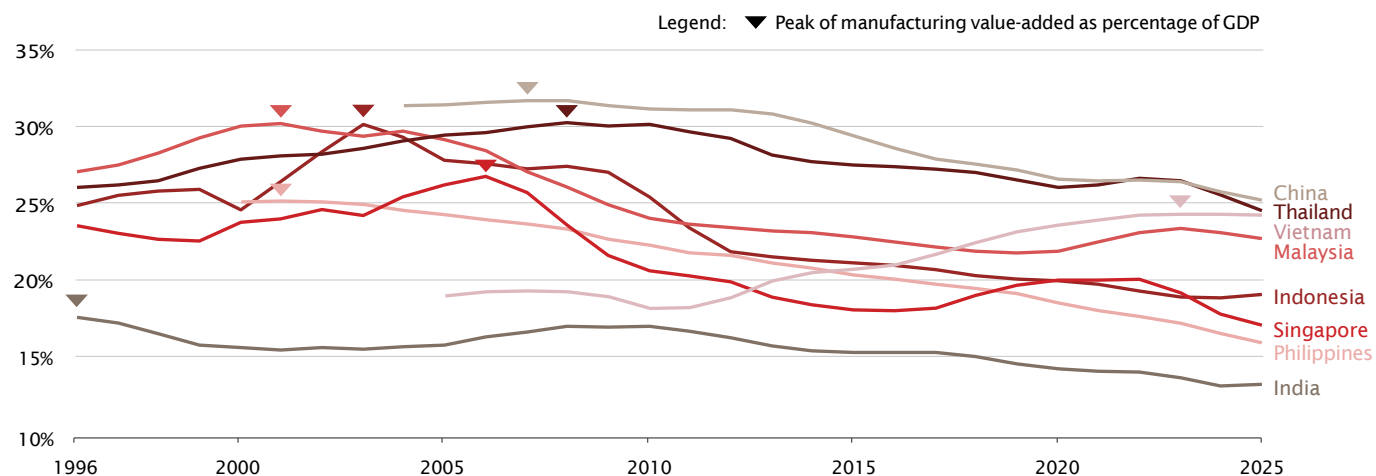
製造業增加值占 GDP 的比重在整個區域幾乎都已從 2000 年代中期的峰值下降（見圖 2）。越南是這一趨勢中唯一的例外。受惠於電子和機械行業的“中國+1”投資，其製造業活動顯著走高。

製造業占 GDP 比重的下降值得關注，且符合全球範圍內隨著收入水準提高而出現的普遍模式。

正如許多中高收入國家所見，創新的服務業可以創造大量就業機會。東南亞國家可以透過這種產業集中度的轉變建立強大的經濟體系。儘管如此，製造業就業往往是推動低收入家庭進入中產階級的強大力量，繼續重視製造業崗位的創造與保留將使本區域受益。

圖 2 除越南外，製造業占 GDP 的比重自 2000 年代初以來一直在下降

Manufacturing Value-Added as Percentage of GDP (1996-2025, three-year rolling average)



Source: World Bank

© 從順風到權衡 | 東南亞地區展望 2026-2035

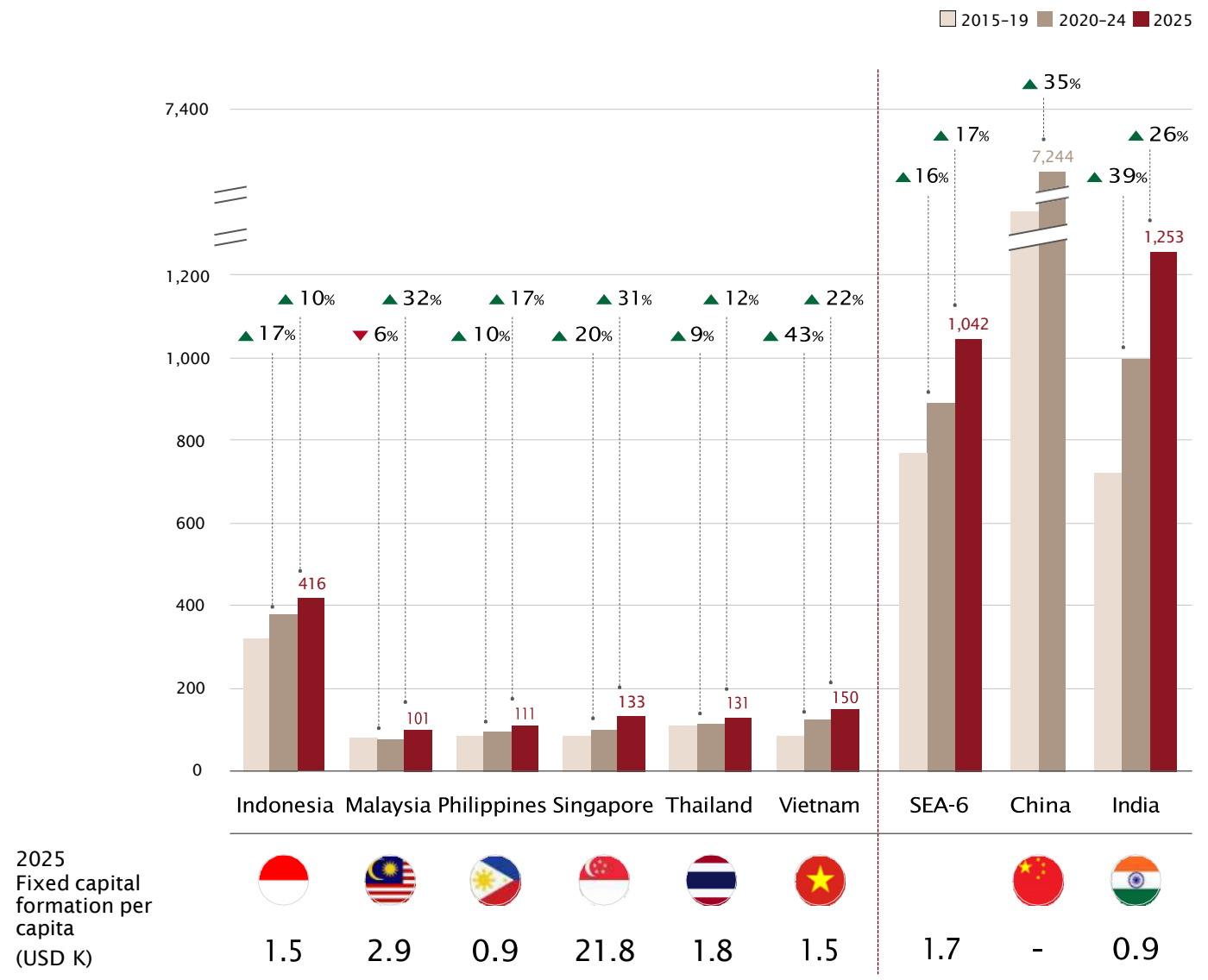
國內資本形成依然強勁，印尼、新加坡和越南領先

國內資本形成保持穩健，反映出對區域成長前景的信心。SEA-6 在 2015–2019 年與 2020–2024 年期間，總固定資本形成額成長了 16%，2025 年又進一步成長 17%（見圖 3）。

背後的驅動因素因國而異：越南通過出口製造業復甦和強大的公共基礎設施投資實現了突出成長；新加坡的成長受惠於政府主導的建築業和半導體擴張，而印尼的成長則反映了對下游產業的持續投資。

圖 3 總體而言，國內資本形成依然強勁，反映了對該區域的信心

Average Annual Gross Fixed Capital Formation (2015–2025, USD Billion)



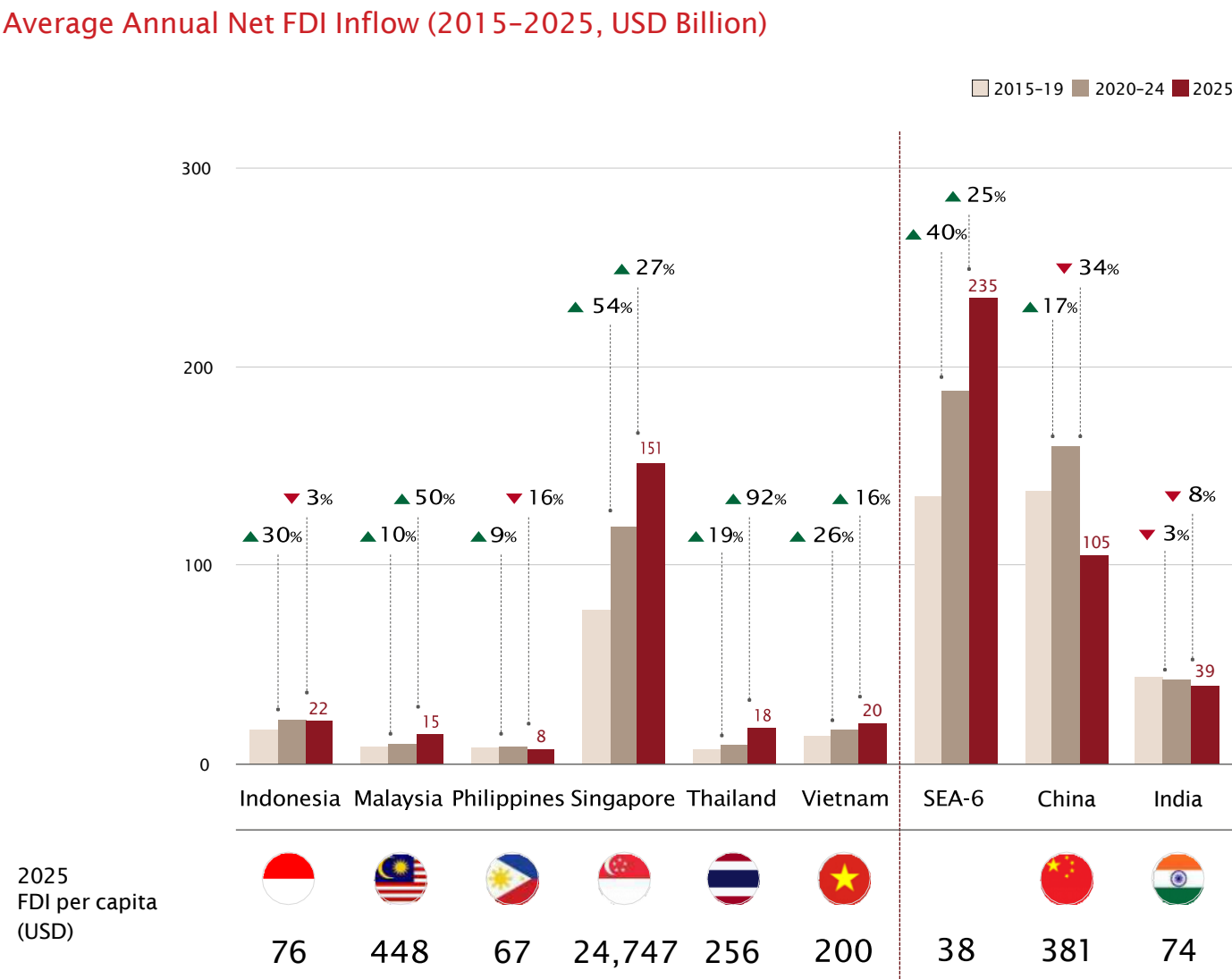
Note: Reported in current USD
Sources: World Bank; Euromonitor

外國直接投資激增，來源組合發生轉移，反映全球供應鏈重組

外商直接投資（FDI）流入激增，儘管投資日益集中在少數幾個樞紐。新加坡憑藉其作為金融、半導體和生物醫學製造中心的地位，獨佔了區域 FDI 總額的 60% 以上。印尼和越南也從中受益，泰國則通過數位基礎設施和先進電子投資使流入量得到實質性改善。馬來西亞在半導體和資料中心方面的承諾可能預示著未來有更強的項目儲備，儘管其歷史表現相對滯後。

FDI 的來源組合已發生轉移，以匹配全球供應鏈的重組。2025 年，SEA-6 的上升軌跡持續，淨 FDI 流入量激增 25%，而中國則下降了 34%（見圖 4）。

圖 4 東南亞 FDI 流入量增加，新加坡領跑



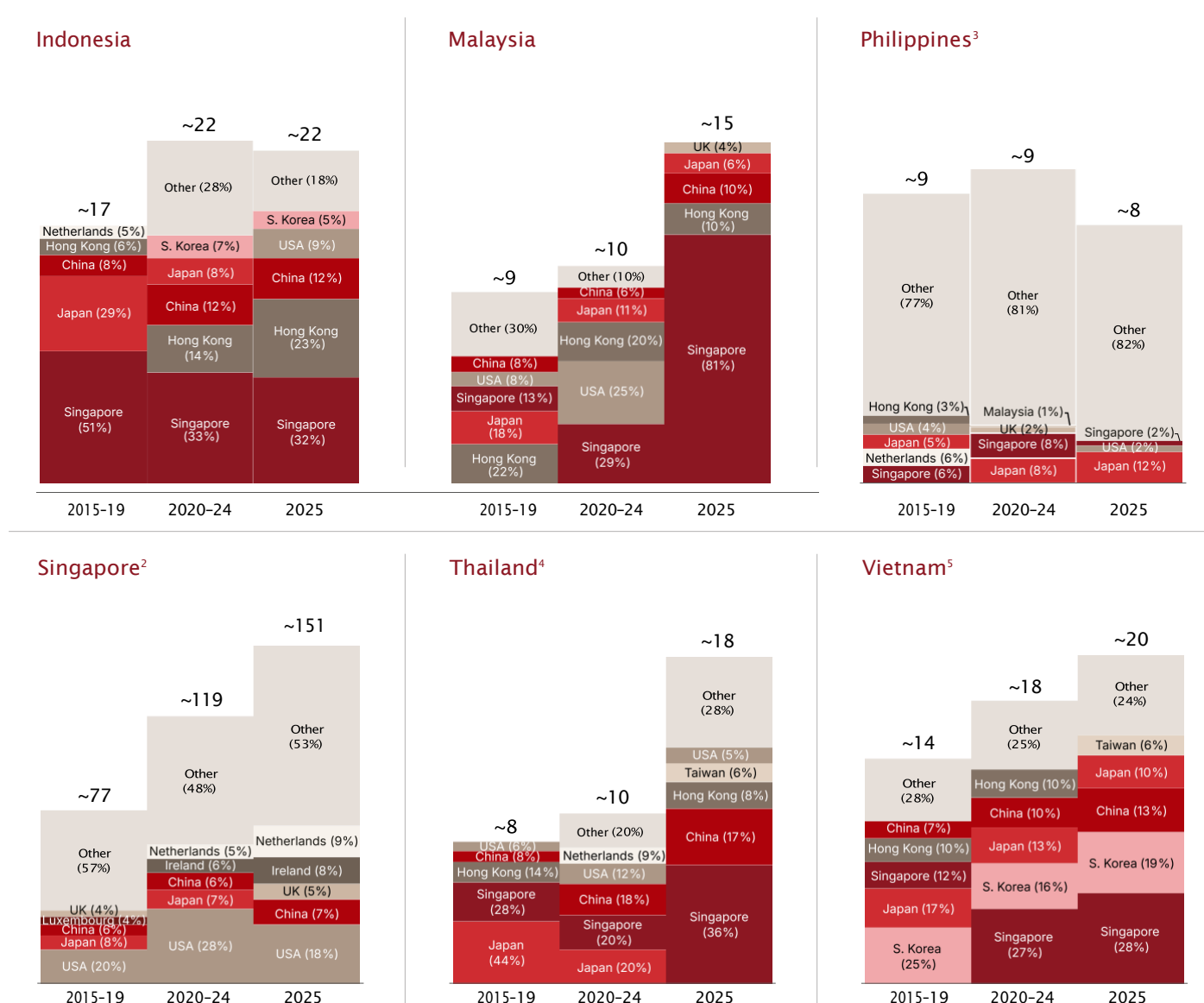
Sources: CEIC; World Bank; government sources; Euromonitor
© 從順風到權衡 | 東南亞地區展望 2026-2035

新加坡正日益成為東協的區域資本中心，目前是印尼、馬來西亞、泰國和越南最大的 FDI 來源國。美國在區域投資中的份額幾乎翻倍，從 2015–2019 年的 11% 上升至 2020–2024 年的 20%（見圖 5）。美國是新加坡最大的 FDI 來源國，並通過在雲計算基礎設施、人工智慧和資料中心方面的投資，擴大了在馬來西亞的存在。

同時，中國在部分市場的 FDI 也有所成長，反映了供應鏈多元化和製造業轉移的趨勢。印尼的鋁下游產業和電動汽車（EV）電池供應鏈、泰國的電動汽車與電子產業以及越南的出口導向型製造業基地，表現最為強勁。

圖 5 FDI 正變得更加多元化，傳統的集中度降低，美中傾向更強

Average Annual FDI by Source Country¹ (USD Billion)



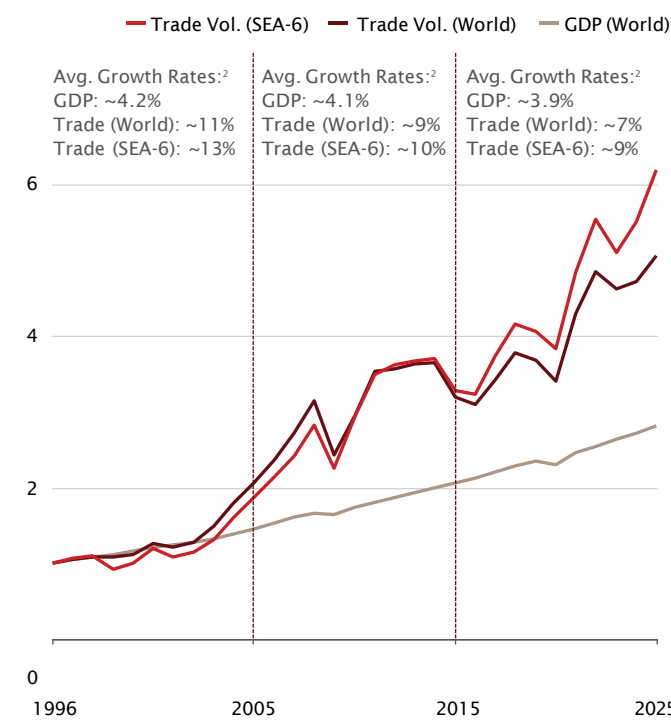
Notes: (1) Differences vs. total FDI figures reflect source/methodology differences; (2) "Other" includes South and Central America and the Caribbean, which cannot be separately identified; (3) Country breakdown is available only for equity capital; reinvested earnings and debt instruments are not allocated by country, resulting in a larger "Other" bucket; (4) Country-level shares are based on gross FDI inflows and applied proportionally to estimate the country breakdown of net FDI inflows; (5) 2025 country-level allocation is based on January–April data, with the same allocation applied to the remainder of the year. Partner-country allocation based on CEIC-registered FDI capital and applied proportionally to Total Net FDI inflows from the World Bank Sources: CEIC; World Bank; government sources

對貿易的依賴既是東南亞最大的優勢，也是最顯著的脆弱性

貿易依然是東南亞最大的優勢之一，同時也可能是一個潛在的脆弱點。貿易強度約占區域 GDP 的 90%——是全球平均水準的兩倍多——這使得該地區極易受到外部摩擦的影響（見圖 6）。

圖 6 東南亞是全球貿易敞口最大的區域之一

Real GDP and Trade Volume¹ Indexed to 1996 (1996–2025)



Notes: (1) Real GDP indexed to constant 2025 prices (based on 2025 USD fixed exchange rate), trade volume includes both imports and exports of total merchandise goods; (2) Represents 10-year average growth rates excluding periods of crises: 1995–2005 excludes 1998 (Asian Financial Crisis) and 2001 (Dot com Bubble and 9/11), 2005–2015 excludes 2009 (trough of the Great Financial Crisis), and 2015–2025 excludes 2020 (Covid-19 pandemic); (3) EU 1995–2005 average only captures data from 2000–2005 period, when the data was published
Sources: World Trade Organization; Euromonitor

展望未來，該區域需要應對美國保護主義政策和經濟上更具主導地位的中國所帶來的緊張局勢和貿易脆弱性。

2024 年和 2025 年出口表現強勁。SEA-6 受惠於 2025 年初美國關稅調整前的提前備貨、供應鏈重組，以及由 AI 超級週期帶動的全球電子產品需求回升。

TRADE AS % OF GDP	1996–2005	2006–15	2016–25
World	27%	44%	41%
US	11%	16%	17%
EU ³	36%	58%	63%
China	18%	39%	33%
India	13%	34%	29%
SEA-6	60%	90%	89%

东南亚的增长依然与外部需求紧密挂钩，从长远来看，贸易增长始终超越 GDP 增长。

目的地組合證實了東南亞在全球供應鏈中日益增長的作用，並闡明進出口之間的聯繫（見圖 7）。越南的進口追蹤其電子產品建設，而馬來西亞的進口則反映了其半導體主導型經濟。新加坡多元化的進口結構既反映了其作為仲介的角色，也反映了其更高價值的製造業活動。

中國已成為主導來源國，其在區域內的進口份額不斷上升。隨著區域製造業的擴張，SEA-6 對中國零部件和機械的依賴度加深。

東南亞對美國的出口全面成長，以越南最為顯著，其 FDI 引領的製造業激增。美國對中國商品徵收的關稅也擴大了越南向美國市場出口的產品範圍。

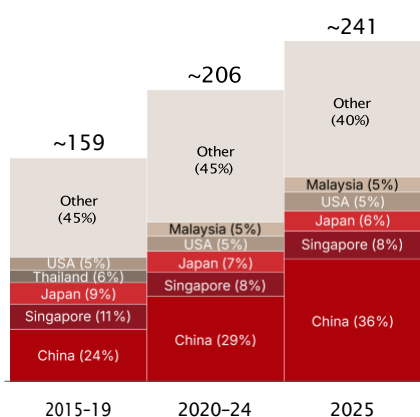
近期的出口收益更多是受特定行業驅動，而非廣泛成長。由於這波週期與電子產品和 AI 基礎設施的需求激增密切相關，它們尚未轉化為全經濟範圍內的生產力提升。

未來，國內結構性政策將決定各國能否將臨時性的 FDI 流入轉化為可持續的成長。

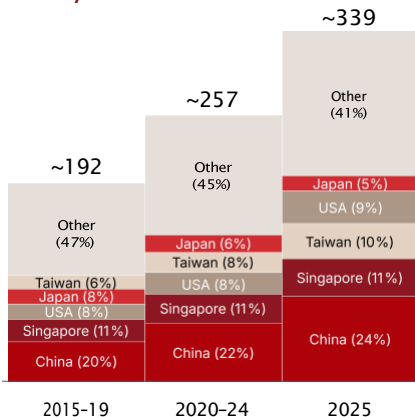
圖 7

Average Annual Imports by Partner Countries (USD Billion)

Indonesia

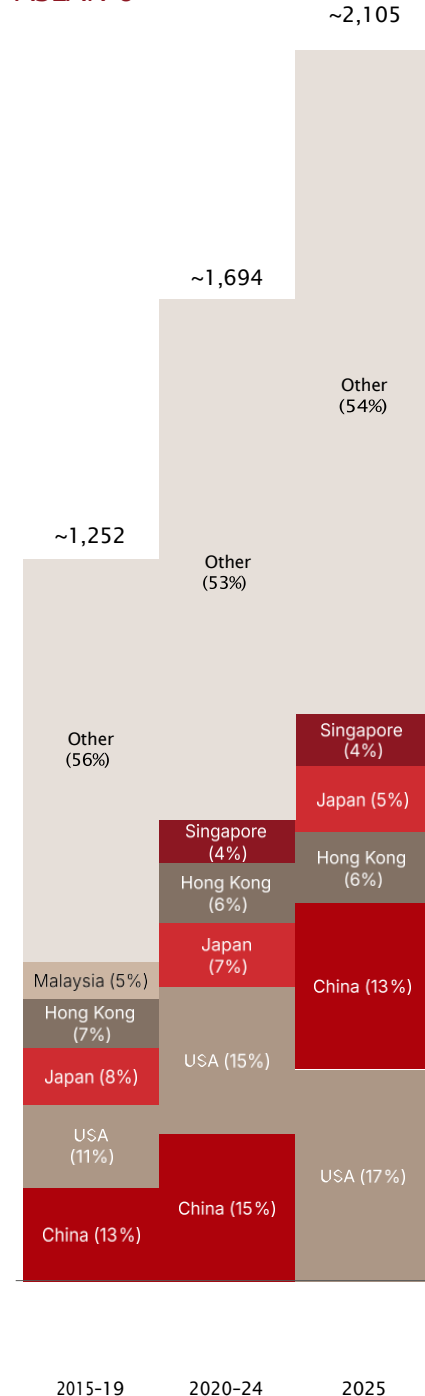


Malaysia

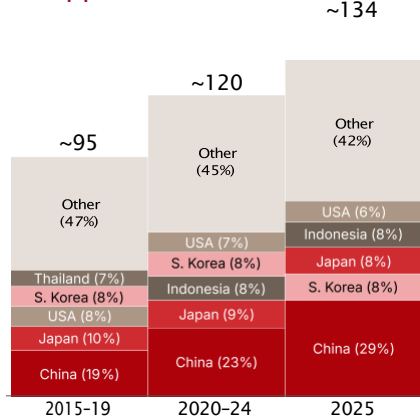


Total Annual Exports by Partner Countries (USD Billion)

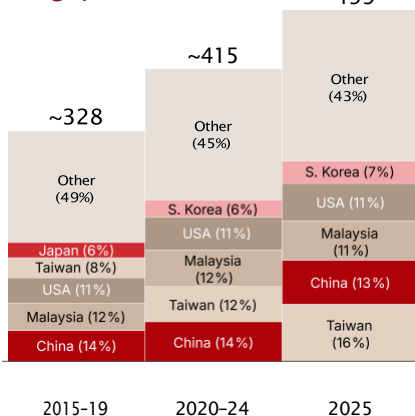
ASEAN-6



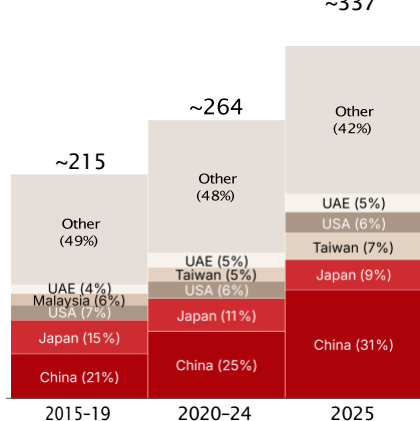
Philippines



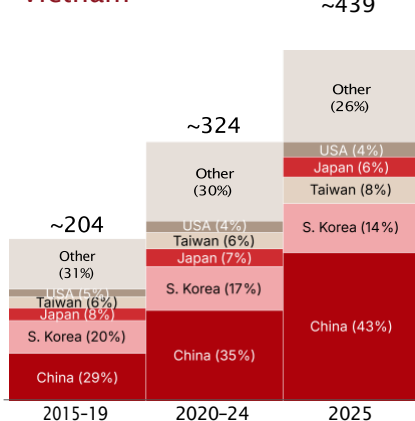
Singapore



Thailand



Vietnam



重新檢視 2024–2034 年預測

在我們 發佈10 年預測的兩年後，東南亞的 GDP 總量與我們當初 5.1% 的預測基本一致（見圖 8）。考量到中美競爭加劇、保護主義抬頭、全球衝擊和顛覆性科技轉型的挑戰性環境，這一表現難能可貴。

然而，在總量之下，各國之間的具體結果比預期更為分化。新加坡的成長超過了我們的預測，部分受惠於其半導體在 AI 相關需求浪潮中的表現。越南和馬來西亞的表現也優於區域平均水準。

越南受到製造業出口以及電子和半導體相關 FDI 的推動，而馬來西亞則受惠於強勁的內需，包括強勁的投資勢頭和出口順風。

相反，泰國、印尼和菲律賓表現未達預期。泰國反映了根深蒂固的結構性問題；印尼受到制度不確定性和政策執行不均的制約；菲律賓則因投資疲軟和公共部門執行力不足而受到阻礙。

圖 8 區域成長符合預期，但各國表現不均

Real GDP Growth and Performance across Growth Drivers

Country	Real GDP Growth		Traditional Growth Drivers							New Growth Drivers				
	2024–34F	2024–25A	1. Ease of doing business	2. Diversify trade partners	3. Strengthen institutions	4. Improve workforce	5. Build infrastructure	6. Increase stability	7. Facilitate investment	1. Invest in new growth sectors	2. Foster tech-enabled disruptors	3. Strengthen capital markets	4. Accelerate green transition	5. Embrace multilateral initiatives
 Indonesia	5.7%	▼ 5.1%	▶	▶	▼	▶	▲	▶	▶	▶	▼	▶	▶	▲
 Malaysia	4.5%	▲ 5.2%	▲	▶	▲	▶	▲	▶	▶	▲	▼	▶	▼	▲
 Philippines	6.1%	▼ 5.1%	▲	▲	▶	▲	▶	▶	▶	▲	▼	▼	▼	▼
 Singapore	2.5%	▲ 5.2%	▲	▶	▶	▲	▶	▶	▶	▲	▶	▶	▶	▲
 Thailand	2.8%	▼ 2.7%	▶	▶	▼	▼	▶	▲	▶	▶	▼	▼	▶	▼
 Vietnam	6.6%	▲ 7.5%	▶	▲	▶	▶	▶	▲	▶	▲	▼	▲	▼	▶
SEA-6	5.1%	▶ 5.1%												

Sources: Bain analysis; literature search



分化與成長框架密切相關

在之前的報告中，我們將重點縮小到 12 個驅動成長的因素，這些因素構成了國家結構性成長的基礎，範圍從營商便利度到政治穩定性、勞動力準備程度以及綠色轉型進程。隨著外部環境變得更具挑戰性，各國對每個驅動因素的國內反應顯得更為重要。

在傳統成長驅動因素方面，執行力和制度力量的差異正變得更加明顯。新加坡是基準：其進步主要受限於人口限制，但移民維持了勞動力市場的穩定。馬來西亞進步最大，採取了親投資姿態，並改善了治理和基礎設施（如港口、電力連接）。印尼的進步依然參差不齊；基礎設施的實質性進展被勞動力發展滯後和政策不一致所抵消。泰國面臨最嚴格的限制，陷入了勞動力供給收緊與制度動能減弱的困境。

新成長和政策驅動因素之間的層級也清晰可見。新加坡、馬來西亞和越南加強了各自的地位。新加坡擁有整體上最先進的成長平臺，在資本、科技和生態系統深度方面處於領先地位。越南在過去兩年中進步最大，大幅升級了製造業和投資能力。然而，該國的早期創新生態系統依然薄弱。

與此同時，該區域其他地區的進步不均或停滯不前。印尼規模和下游產業實力雄厚，但初創企業動能較弱，資本市場較淺，綠色轉型較慢。在泰國，資料中心的選擇性投資流入未能轉化為創新規模擴大或資本市場深度。菲律賓在技術服務方面的收益受到了電力網限制等結構性約束的制約。

有一個關鍵的關聯：那些在這些成長框架中系統性地改進的國家，表現也超過了我們的預測。這種分化既是結構性的，也在不斷擴大。

2026–2035 年預測

我們更新後的基準預測顯示，
2026 年至 2035 年間，SEA-6
的平均年成長率為 4.8%。

這略低於我們此前的預測（2024–2034 年期間
為 5.1%），但快於過去十年的區域成長率
（4.1%）（見圖 9）。

圖 9 SEA-6 預計在 2026 年至 2035 年間的平均年成長率為 4.8%)

SEA Projected Average Annual Growth (2026–2035, %)

Country	Historical Average			Forecast
	1996–2005	2006–15	2016–25	2026–35
 Indonesia	2.9	5.6	4.2	5.4
 Malaysia	4.8	4.9	4.0	4.3
 Philippines	4.2	5.5	4.6	5.8
 Singapore	5.3	5.7	3.5	2.7
 Thailand	3.2	3.4	2.0	2.2
 Vietnam	7.2	6.3	6.3	6.2
SEA-6	3.9	5.2	4.1	4.8

Sources: DBS projections; CEIC; IMF; World Bank; government sources

這一修訂後的預測反映了一個複雜且動盪的外部環境，但被當前成長領跑者的穩步進展所抵消。我們預計越南將保持區域領先地位，透過持續的 FDI 和生產力提升，保持 6.2% 的年均成長率。馬來西亞通過保持親成長立場和財政紀律，可實現 4.3% 的成長率。

菲律賓和印尼都有潛力大幅加速成長。擁有人口

紅利的菲律賓，隨著消費、基礎設施和治理改革釋放投資，年均成長率可達 5.8%。同樣，印尼可以透過提振國內消費並進一步將其鍊和電動汽車價值鏈工業化，達到 5.4% 的成長率。

作為成熟經濟體，新加坡的成長率預計將穩定在 2.7% 左右，利用 AI 驅動的生產力提升來抵消人口限制。泰國將以 2.2% 的成長率位居 SEA-6 底部，受制於老齡化人口和政局分裂。

考量全球不確定性

實際結果取決於廣泛的全球經濟、科技和地緣政治背景。

實際結果取決於廣泛的全球經濟、科技和地緣政治背景。因此，我們擴大了今年的分析範圍，以解釋未來十年可能出現的三個情境（見圖 10）。

圖 10 10 年成長前景取決於三種可能的全球情境

10-Year Growth Outlook Scenarios

	Downside Scenario Acrimonious rivalry and split world order	Base Scenario Heated rivalry and deteriorating world order	Upside Scenario Managed rivalry with repaired world order
Globalization and trade	- China-US rivalry hardens into bloc competition - Trade, finance, and institutions weaken or fragment	- US disruption continues and China remains mercantilist - Fiscal and populist pressures mount	- US, China, and other major powers step back from confrontation - US re-engages on trade and alliances
Tech and industrial competition	- Bifurcation of Chinese and US tech stacks and trading ecosystems - AI shock widens gaps between winners and laggards	- Parallel China and US AI development; SEA negotiates mixed access and selective decoupling - AI, robotics, and automation drive productivity gains	- Tech ecosystems remain competitive but connected - SEA becomes increasingly critical to both Chinese and US AI ecosystems
Conflict and escalation	- Conflicts disrupt energy, trade, and chokepoints - Proxy conflicts trigger market shocks	- Proxy conflicts persist but avoid major war - Energy, food, and FX buffers cushion external shocks	- Fewer proxy conflicts and lower military posture - Flashpoints remain unresolved but stable

Source: Bain analysis

下行情境（進一步碎片化）

全球政治和經濟競爭加速，將市場拆解為不相容的技術體系和封閉型貿易集團。這種環境將破壞供應鏈，削減 FDI，並迫使東南亞國家選邊站。

基準情境（持續侵蝕）

競爭持續，制度逐漸侵蝕，多邊框架減弱——但體系基本保持完整。東南亞保留了迴旋空間，在捕捉供應鏈多元化帶來的機會的同時，有效管理來自競爭陣營的壓力。

上行情境（改善協調）

地緣政治關係趨於穩定，多邊協調得以恢復，有助於貿易流動。東南亞能夠將自己定位為全球技術和創新體系中不可或缺的節點，在貿易、資本及供應鏈基礎設施重定向中獲得不成比例的份額。

無論哪種情境發生，都將決定該區域可實現目標的上限和下限；但這不會是決定成功的唯一因素。每個國家都可以（且很可能會）在貿易、成長架構和韌性方面做出深思熟慮的選擇，這些選擇共同對其自身的經濟表現產生深遠影響。

上行潛力和韌性因國而異

雖然基準成長預計在整個區域內保持相對穩定，但各國在掌握上行機會和最大限度減少下行風險方面的能力截然不同。我們評估了每個國家在各種潛在結果中的成長潛力（見圖 11）。

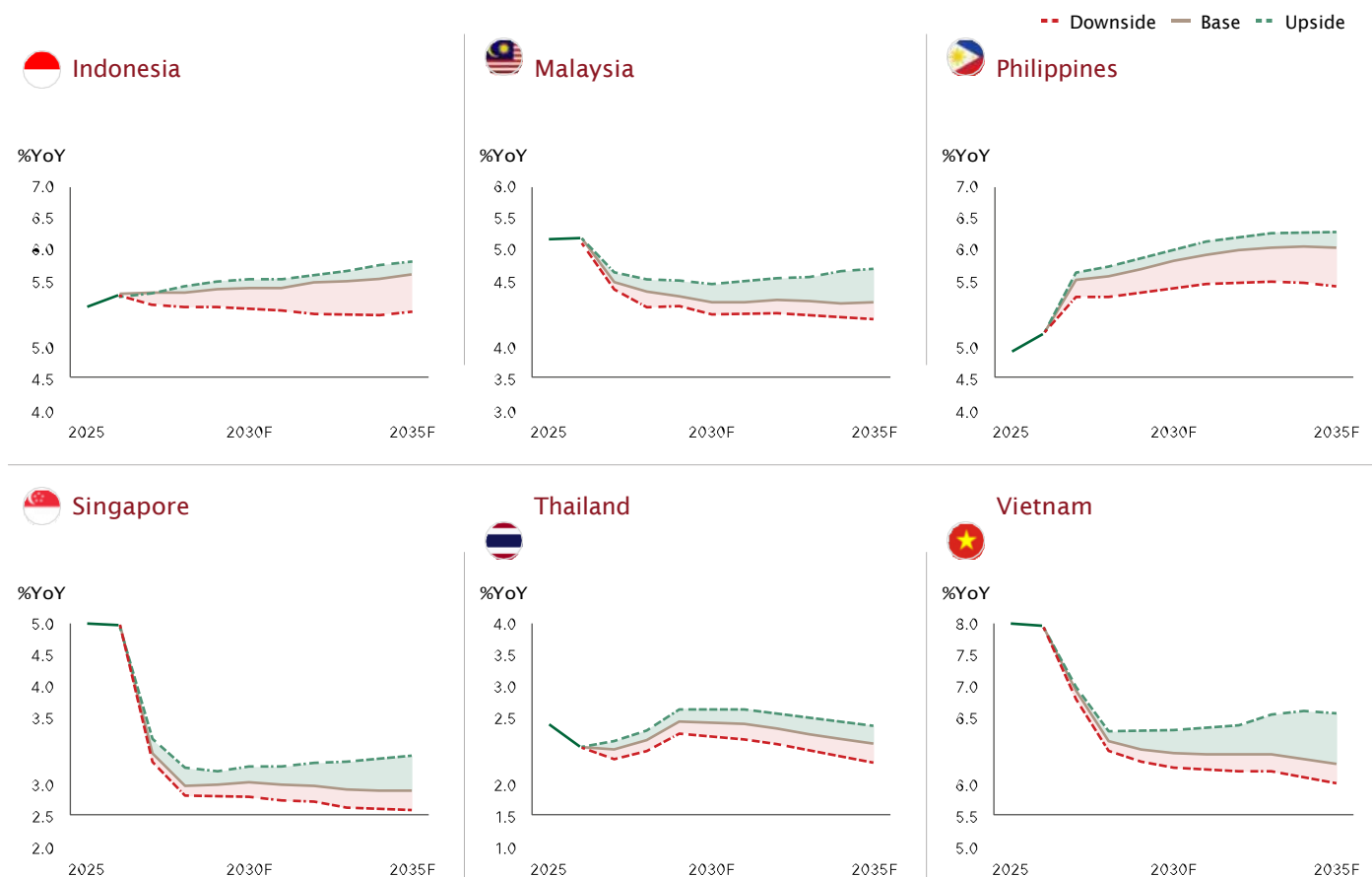
在下行情境中，印尼、菲律賓和泰國由於其對資本流動的敏感性、能源依賴性、政治不確定性和較弱的結構性動能，受到的影響最大。越南和馬來西亞受到的影響較為溫和；兩者都保持了強大的工業相關性，但其開放的、出口導向型經濟體依然容易受到需求和供應鏈衝擊的影響。新加坡韌性最強，受惠於其避險地位、深厚的金融市場、財政緩衝，以及作為可信賴商業樞紐的信譽。

在更為有利的條件下，格局發生轉變。馬來西亞、新加坡和越南利用其在資本仲介和全球製造供應鏈中的作用，獲得不成比例的上行收益。印尼、泰國和菲律賓獲得的好處較為有限，因為持續的結構性制約限制了它們將有利外部環境轉化為更強勁成長的能力。

最終，全球環境設定了每種情境的邊界，但國內行動決定了一個國家能否將機會轉化為持續的成長。

圖 11 每個國家都面臨著獨特的各種可能結果，韌性設定了下限，結構性優勢定義了上限

Real GDP Growth (2025A-2035F¹, %)



Note: (1) 2025A reflects actual data; all years from 2026 onward are forecasts (F)
Source: DBS projections



印尼

結構性規模無法抵消制度侵蝕

印尼在區域內擁有最向下的扇形分佈。其基準下限受到國內市場的良好支撐，並因鎳和礦產的資源下游化而得到保護。然而，其上行上限受到制度脆弱性、民粹式財政政策和支出壓力的限制，這些風險可能加速投資外流，並削弱主權信貸信譽。

在我們的預測中，印尼將繼續吸引以自然資源和市場規模為主的選擇性 FDI，但執行不均與政策一致性不足，將限制其將 FDI 轉化為更廣泛的生產力成長。

馬來西亞

捕捉更多上行空間需要向價值鏈上游移動

馬來西亞的結構性優勢限制了其下行風險。它擁有強大的貿易地位，在半導體供應鏈和中國基礎設施投資方面具有敞口，並得到棕櫚油、液化天然氣和石油等資源緩衝的支援。

上行動能得益於在資料中心、半導體和 AI 相關製造方面的實質性承諾。然而，其上限受到兩項結構性瓶頸的限制：其半導體足跡集中在低利潤、後端組裝、測試和封裝領域，而非具有粘性的高利潤設計或製造領域。此外，該國的人才儲備壓力巨大。在這些瓶頸改善之前，投資管道將繼續超過馬來西亞的轉化能力。

菲律賓

能源依賴和治理風險使結果偏向下行

菲律賓擁有寬廣的向下傾斜的扇形分佈。有利的一面是，誘人的人口結構、穩定的匯款流入和消費導向型模式使其免受全球貿易中斷的影響。

然而，其成長架構十分脆弱。對進口能源的依賴迅速將外部價格衝擊轉化為家庭通膨，而政策執行力弱則阻礙了投資承諾向實際部署的轉化。此外，AI驅動的自動化對業務流程外包（BPO）行業構成了長期風險。若無更強的能源安全和治理一致性，其成長可能被限制在低於潛力的水準。

新加坡

避險深度錨定下限，樞紐地位驅動上限

新加坡的軌跡是結構性韌性的寫照：受控的下行空間與顯著的上行潛力相匹配。

該國的避險地位意味著在壓力時期，資本和人才會流入而非流出新加坡，從而為其提供了一個防禦良好的下限。在上行情景中，新加坡作為受信賴樞紐

的地位轉化為更深層次的區域仲介、擴張的 AI 和先進製造業活動以及更廣泛的資本流動。

新加坡受制於能源依賴和人口限制。為維持基準情境，它需要吸引人才，並通過 AI 和自動化實現持續的生產力提升。雖然新加坡的基準成長預測溫和，但其過往記錄表明其上限仍有上升空間。



泰國

結構性逆風壓縮了各種情境下的範圍

泰國的扇形分佈是區域內最緊縮的，反映了在兩個方向上同樣具有約束力的結構性限制。其軌跡也更多地受制於國內限制而非外部環境。

成長下限在大多數條件下都有真正的支持：成熟的電動汽車、電子和汽車製造基地；廣泛的貿易和資本聯繫；以及強大的旅遊業。

然而，國內挑戰限制了成長。人口下降、高家庭債務和政治分裂抑制了上行上限。這些國內限制在任何情境下都不太可能緩解。此外，平衡中國供應鏈與西方市場准入之間的關係仍然是一個持續的挑戰。

越南

區域內最高的上行故事，受惠於 FDI 吸引力和應對限制的能力

越南在 SEA-6 中擁有最向上的扇形分佈。數十年的改革使其嵌入了全球電子和半導體供應鏈，建立了無法迅速拆解的基準下限，且該國廣泛的貿易關係可以在出口變得更具挑戰性時緩衝影響。

雖然下限穩固，但越南的上限使其與眾不同。與其他 SEA-6 經濟體不同，越南從美中供應鏈中均獲得了 FDI。

在最優條件下，這使得更高價值的投資能夠跨越物流、工業園區和上游電子產品進行擴展，從而顯著增強了基準情境。

越南的限制—電網中斷和淺薄的國內資本市場—是可解決的基礎設施和金融發展挑戰，而非結構性赤字。這兩者都在越南未來十年的解決能力之內。



加速成長的優先事項

我們 2024 年的報告確定了建立持久經濟優勢的關鍵杠杆。

雖然這些杠杆保持不變，但當前的環境提升了三個特定的優先事項：加強制度韌性、強化能源系統和捕捉 AI 紅利。

01

加強制度韌性

制度為投資者信心、資本保留和政府持續執行政策的能力奠定了基礎。在一個動盪和碎片化的全球經濟中，制度信譽是一個主要的分化因素。實現這一目標需要在三個維度上取得進展：

- **治理與法治**：錨定投資者信心並降低營商成本。
- **財政穩定**：吸收外部衝擊並為長期生產性投資提供資金。
- **資本市場深度**：有效地將國內儲蓄和外國資本動員到成長機會中。

在這三個領域的改進是相互強化的：制度信譽加深了國內資本市場並吸引了投資，這些投資為維持成長所需的基礎設施和創新提供了資金。反之亦然：制度侵蝕迅速削弱了在所有其他優先事項上的進展。

02

強化能源系統

能源已從基本公用事業轉變為許多 SEA-6 國家成長的約束條件。電網容量和可靠性決定了一個經濟體能否擴大其工業基礎並支持高耗能的 AI 基礎設施。隨著能源供應鏈變得更加不穩定，能源安全也是管理成本和安全風險的杠杆。這使得能源基礎設施成為一項戰略優先事項，而非監管挑戰。強化能源系統要求：

- **可靠性**：實現持續、不間斷的電力供應是當務之急。

這需要快速的電網現代化、擴大的存儲容量和能夠吸收各種可再生能源的安全可調度發電。

- **可持續性**：可再生能源資產必須通過改革採購框架、支付確定性和可靠的碳承諾實現可融資。這些不僅僅是氣候目標；它們是吸引高品質投資的先決條件。
- **安全性**：進口來源必須多元化，以減輕對外部供應衝擊的敞口。各國需要建立戰略儲備，同時加速國內基荷替代方案。

03

捕捉 AI 紅利

AI 正成為本十年主要的生產力杠杆，具有重塑產業和抵消勞動力限制的潛力。但價值捕捉並非有保障。經濟回報只會出現在那些超越初始採用和淺層集成，將 AI 部署到企業規模的國家。為了從 AI 中獲益，各國必須建立人才管道，並建立使企業採用在當前具有商業可行性的政策條件。

捕捉紅利需要跨越三個互聯領域採取行動：

- **政策與基礎設施**：主權 AI 戰略、資料治理框架和國內治理的計算能力將為規模化部署奠定基礎。
- **企業採用**：這意味著超越試點，進入全面的運營整合，並將 AI 嵌入到具有可衡量生產力成果的核心業務流程中。工具也需要普及，以造福更廣泛的經濟，而不僅僅是大企業。
- **勞動力技能與發展**：勞動力準備要求在教育系統中構建 AI 能力，同時針對 AI 的勞動力影響對現有勞動力進行再培訓。

未來將反映近期的政策選擇

地緣經濟、科技和國內政策趨勢的持續轉變使得當前節點非常敏感。

但區域成長下限和上限之間巨大的差異證實，東南亞的軌跡更多取決於國內政策決定而非外部力量。

制度韌性、強化的能源系統和 AI 集成是普遍的區域優先事項，儘管它們的重要程度因各國的結構性地位而異。

印尼

決定性的考驗是制度信譽。如果沒有治理信譽和財政紀律，印尼將無法擴大規模以滿足能源或 AI 的機遇。兩者都需要更強的投資者信心和紀律嚴明的執行力。

馬來西亞

關鍵問題是轉化。馬來西亞在 AI 基礎設施、能源系統和制度基礎方面的優勢使其佔據了獨特的領先優勢。下一階段取決於通過人才發展、企業級 AI 採用和生產力提升，將這一基礎轉化為深層的生態系統價值。反過來，這也需要政策連續性和在下一個選舉週期內保持一致的執行力。

菲律賓

挑戰在於轉型。在能源和制度韌性方面的進展將使 AI 轉型成為可能，但更迫切的優先事項是升級 BPO 行業以減輕自動化壓力。未來幾年至關重要；菲律賓必須在通過下一次領導層更迭保持改革動能的同時，轉向更高價值的服務。

新加坡

優先事項是擴散。新加坡的平臺異常強大。能源多元化正在進行中，制度優勢完好無損，且該國擁有最先進的 AI 生態系統。現在的優先事項是將 AI 領先地位轉化為中型企業和非技術工人的廣泛生產力收益，以抵消勞動力緊縮。

泰國

關鍵變數是恢復制度動能。需要結構性改革以克服成長下滑和政治分裂。此外，由於電動汽車轉型和中國競爭正在重塑泰國的核心製造業格局，迅速將 AI 和先進製造能力嵌入工業基礎是近期關鍵的舉措。

越南

主要限制是執行力。電網限制和基礎設施瓶頸威脅到成長的下一階段。為了保持其超群的軌跡，近期的優先事項是雙重的：解決限制高價值製造的能源可靠性不足，並在其低成本組裝優勢侵蝕之前，實施戰略性的 AI 引領的價值鏈升級。



結論

東南亞正在成長，但也存在相當大的結構性分化。

擁有多元化工業基礎、繁榮服務業經濟、穩定制度基礎和強有力財政管理的國家，更有可能經受住下行風險，並在復甦中捕捉上行成長。相反，那些成長模式較為狹窄或政策框架較為受限的國家，在任何情境下都可能陷入困境。

在未來十年中，各國必須持續展示制度信譽，加強能源安全，並吸收先進的技術能力。那些建立並強化這些基礎的國家，將發現該區域的長期順風有利於它們。

本報告中詳述的預測完全可以實現。未來兩到三年的表現將決定哪些國家能實現其全部潛力。

研究方法

在本報告中，東南亞地區指的是印尼、馬來西亞、新加坡、泰國、越南和菲律賓六國。雖然東南亞地區還有其他國家，但這六個國家貢獻了該區域 GDP 的 95% 以上。

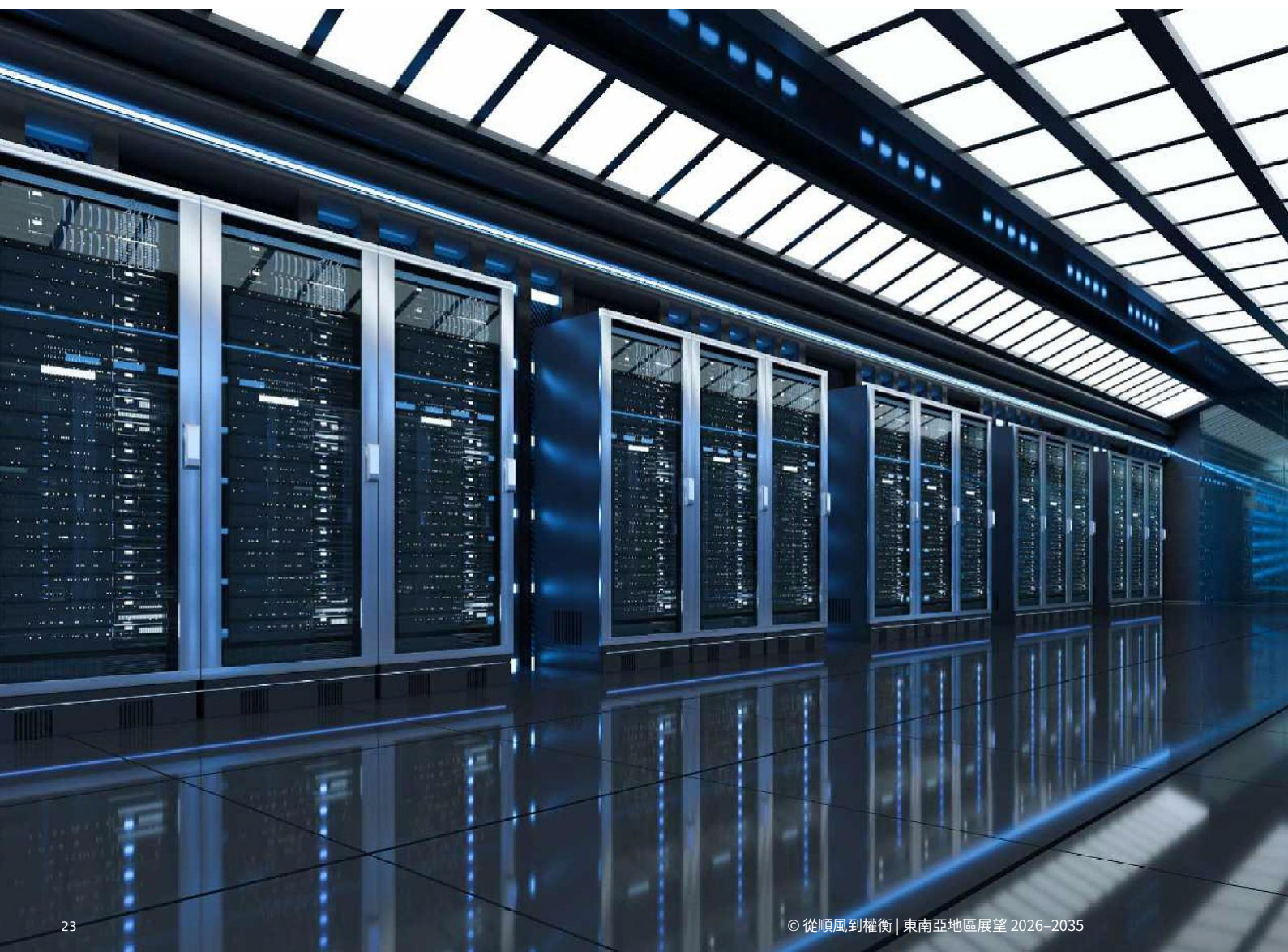
星展銀行利用全要素生產力、資本成長、勞動力和人力資本來為本報告中的預測提供參考。資料來源於 CEIC、國際貨幣基金組織（IMF）和賓夕法尼亞世界表（Penn World Table）。我們還依賴於貝恩公司、星展銀行和 Vriens & Partners 合作夥伴的專業知識。

我們的增長框架評估借鑒了東協統計處（ASEANstats）、CEIC、歐睿國際（Euromonitor）、IMF、聯合國貿易和發展會議、

世界銀行、世界綜合貿易解決方案（WITS）和世界貿易組織（WTO）的外部指數、資料庫和評級。

我們還使用了選定的基準指標，包括赫芬達爾-赫希曼市場集中度指數（HHI）、世界銀行的營商便利度得分、人力資本指數、物流績效指數和全球治理指標。對於新成長驅動因素的分析，我們參考了世界智慧財產權組織的全球創新指數；PitchBook 和 Tracxn 的私人技術投資和風險資本資料；星展銀行的資本市場資料；以及 Wood Mackenzie 和全球大氣研究排放資料庫（EDGAR）的能源、可靠性和排放資料。

如需瞭解與我們的研究方法、預測結果或分析過程相關的更多資訊，請聯絡本報告作者。



ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.

Chief Economist
Global

taimurbaig@dbbs.com

Mo Ji, Ph.D.

Chief Economist
China/HK SAR
mojim@dbbs.com

Han Teng CHUA, CFA

Senior Economist
Asean
hantengchua@dbbs.com

Wei Liang CHANG

FX & Credit Strategist
Global
weiliangchang@dbbs.com

Tieying MA, CFA

Senior Economist
North Asia
matieying@dbbs.com

Philip WEE

Senior FX Strategist
Global
philipwee@dbbs.com

Mervyn TEO

Senior Credit Analyst
USD, SGD, AUD
mervynteo@dbbs.com

Eugene LEOW

Senior Rates Strategist
G3 & Asia
eugeneleow@dbbs.com

Sherilyn CHEW

Multi-asset Strategist
Global
sherilync Chew@dbbs.com

Ian Haan Chui

Credit Analyst
USD
ianchui@dbbs.com

Samuel TSE

Rates Strategist
Asia
samueltse@dbbs.com

Tracy Li Jun LIM

Credit Analyst
USD, SGD
tracylimt@dbbs.com

Joel SIEW, CFA

Credit Analyst
USD, SGD, AUD
joelsiew@dbbs.com

Amanda SEAH

Credit Analyst
USD, SGD, AUD
amandaseah@dbbs.com

Teng Chong LIM

Credit Analyst
USD, SGD, AUD
tengchonglim@dbbs.com

Daisy SHARMA

Analyst
Data Analytics
daisy@dbbs.com

Iris GAO

Credit Analyst
USD
irisgao@dbbs.com

Radhika RAO

Senior Economist
Asean/EU/South Asia
radhikarao@dbbs.com

Violet LEE

Associate
Publications
violetleeyh@dbbs.com

Nathan CHOW

Senior Economist
China/HK SAR
nathanchow@dbbs.com

Byron LAM

Economist
China/HK SAR
byronlamfc@dbbs.com

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates, Digital Assets or Commodities)¹

The information herein is published by DBS Bank Ltd and/or DBS Bank (Hong Kong) Limited (each and/or collectively, the “Company”). It is based on information obtained from sources believed to be reliable, but the Company does not make any representation or warranty, express or implied, as to its accuracy, completeness, timeliness or correctness for any particular purpose. Opinions expressed are subject to change without notice. This research is prepared for general circulation. Any recommendation contained herein does not have regard to the specific investment objectives, financial situation and the particular needs of any specific addressee. The information herein is published for the information of addressees only and is not to be taken in substitution for the exercise of judgement by addressees, who should obtain separate legal or financial advice. The Company, or any of its related companies or any individuals connected with the group accepts no liability for any direct, special, indirect, consequential, incidental damages or any other loss or damages of any kind arising from any use of the information herein (including any error, omission or misstatement herein, negligent or otherwise) or further communication thereof, even if the Company or any other person has been advised of the possibility thereof. The information herein is not to be construed as an offer or a solicitation of an offer to buy or sell any securities, futures, options or other financial instruments or to provide any investment advice or services. The Company and its associates, their directors, officers and/or employees may have positions or other interests in, and may effect transactions in securities mentioned herein and may also perform or seek to perform broking, investment banking and other banking or financial services for these companies. The information herein is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction (including but not limited to citizens or residents of the United States of America) where such distribution, publication, availability or use would be contrary to law or regulation. The information is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction (including but not limited to the United States of America) where such an offer or solicitation would be contrary to law or regulation.

[#for Distribution in Singapore] This report is distributed in Singapore by DBS Bank Ltd (Company Regn. No. 196800306E) which is Exempt Financial Advisers as defined in the Financial Advisers Act and regulated by the Monetary Authority of Singapore. DBS Bank Ltd may distribute reports produced by its respective foreign entities, affiliates or other foreign research houses pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. Where the report is distributed in Singapore to a person who is not an Accredited Investor, Expert Investor or an Institutional Investor, DBS Bank Ltd accepts legal responsibility for the contents of the report to such persons only to the extent required by law. Singapore recipients should contact DBS Bank Ltd at 65-6878-8888 for matters arising from, or in connection with the report.

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

¹ This disclaimer may not apply if the applicable assets fall within the definition of 'financial instruments' that are set out in Article 2(1) EU MAR (e.g. financial instruments that are traded on a regulated market, MTF or OTF, etc.). Section C of Annex I of MiFID2 specifies these 'financial instruments'.

From Tailwinds to Trade-Offs

Southeast Asia Outlook

2026–2035

A collaboration between

BAIN & COMPANY 

 **DBS**

VRIENS & PARTNERS
NAVIGATING THE POLITICS OF BUSINESS



Authors and Acknowledgments

Ravi Vijayaraghavan is a Senior Partner at Bain & Company and previously led the firm's Asia-Pacific Technology Practice. You can reach him at ravi.vijayaraghavan@bain.com.

Taimur Baig is a Managing Director and the Chief Economist at DBS Bank in Singapore. You can reach him at taimurbaig@db.com.

Hans Vriens is the Founder and Managing Partner of Vriens & Partners, a government affairs consultancy across Southeast Asia. You can reach him at hans@vrienspartners.com.

The authors are especially appreciative for the contribution of **Charles Ormiston**, previously Advisory Partner at Bain & Company, who pioneered this report with the first edition in 2022 and continues to engage on the thinking captured in this report.

Further, this report would not have been possible without the contributions and support of **Han Teng Chua, Martin House, Galang Ramadhan, Radhika Rao, Darshini Revichandren, Chiara Noto La Diega** and **Jilyn Yeow**.

At a Glance

- 01** | Southeast Asian economies have held up remarkably well despite recent turbulence, but structural differences across countries are widening the quality and concentration of growth.
- 02** | Our base case forecast for 2026 to 2035 remains broadly intact at 4.8%. For comparison, our 2024 forecast called for 5.1% over the 2024 to 2034 period.
- 03** | Vietnam remains the regional growth leader while Thailand lags its counterparts.
- 04** | However, broader global economic, technological, and geopolitical contexts force us to consider a wider fan of potential outcomes across different scenarios.
- 05** | Each country possesses a markedly different ability to capture upside and build resilience against the downside. In a downside scenario, Indonesia, the Philippines, and Thailand are most exposed; in more favorable conditions, Malaysia, Singapore, and Vietnam capture disproportionate upside.
- 06** | When it comes to policy, the core levers for growth identified in our prior *Southeast Asia Outlook* report remain valid; however, the environment now places greater weight on institutional resilience, AI adoption, and energy security.
- 07** | Ongoing shifts in geo-economics, technology, and domestic political trends make the current juncture a sensitive one. These 10-year forecasts hinge acutely on near-term policy choices and growth outcomes in the early years.



Introduction

The *Southeast Asia Outlook* is an ongoing collaboration between Bain & Company, DBS, and Vriens & Partners. In this third edition, the headline is reassuring: On average, SEA-6 nations grew 5.1% in 2024 and 2025, mirroring our projection.

This performance is remarkable given recent turbulent conditions. However, the aggregate figure masks a sharp, structural divergence between nations. For example, Vietnam achieved a 7.5% growth rate, whereas Thailand delivered just 2.7% growth.

Geopolitical, technological, and trade shifts will continue to influence outcomes. However, performance over the next decade will be notably influenced by near-term choices and domestic policy actions. Accordingly, this year's

report includes an expanded range of outcomes, demonstrating the upside and downside possibilities for each country as a "fan" of potential trajectories. It also suggests country-specific priorities to accelerate growth and create durable advantages.

Viewed broadly, all Southeast Asian countries have the capacity for growth. In the coming years, the global economic and political context, domestic policy choices, and implementation effectiveness in each country will determine how successful they are in realizing their inherent potential.

Performance Recap

Over the past three decades, Southeast Asia has demonstrated a quiet durability.

The region has grown steadily through financial crises, a global pandemic, and intensifying competition from its larger neighbors.

All SEA-6 economies grew faster in the 2024 to 2025 period than in the prior decade. Since 1996, Vietnam has consistently led the region, while Thailand has remained the laggard for the last two decades (see Figure 1).

Figure 1 Over the past 30 years, Southeast Asia has experienced healthy GDP growth

Real GDP Indexed to 1996 (1996–2025, x)



Economy	2025 Real GDP (USD B)	'96-'05 Avg GDP Growth	'06-'15 Avg GDP Growth	'16-'25 Avg GDP Growth	'24-'25 Avg GDP Growth
Indonesia	824	2.9%	5.6%	4.2%	5.1%
Malaysia	405	4.8%	4.9%	4.0%	5.2%
Philippines	404	4.2%	5.5%	4.6%	5.1%
Singapore	454	5.3%	5.7%	3.5%	5.2%
Thailand	351	3.2%	3.4%	2.0%	2.7%
Vietnam	271	7.2%	6.3%	6.3%	7.5%
SEA-6	2,710	3.9%	5.2%	4.1%	5.1%
China	16,840	9.3%	9.6%	5.6%	5.0%
India	3,704	6.3%	6.8%	5.9%	7.4%

Notes: 2025 real GDP is derived from constant-price GDP (local currency units) and converted to 2025 USD using average 2025 exchange rates; China GDP excludes Hong Kong and Macau.
Sources: CEIC; IMF; World Bank; government sources





Manufacturing value-added has declined, except in Vietnam

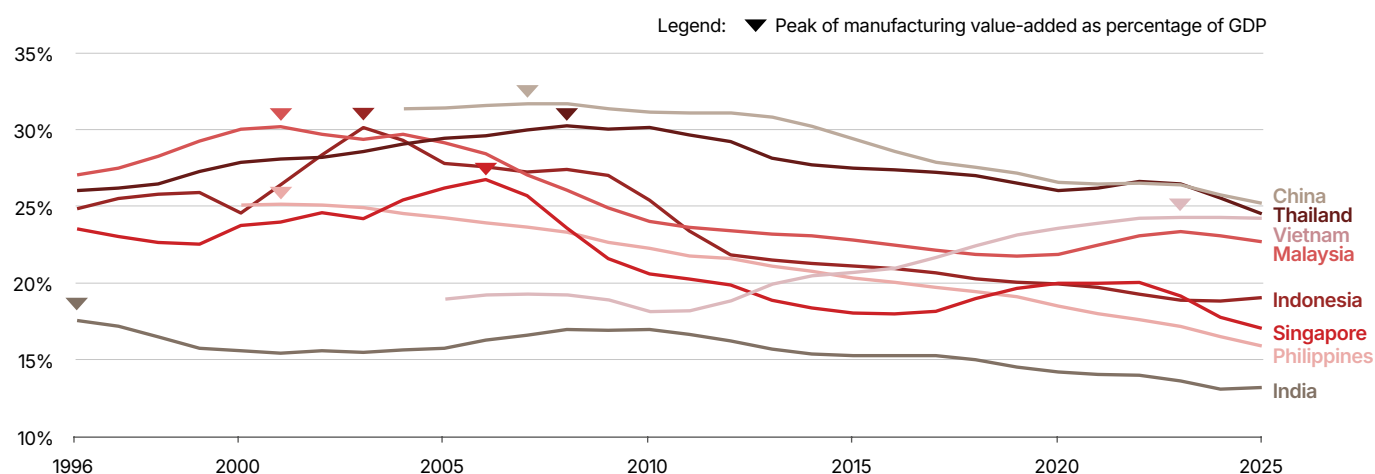
Manufacturing value-added as a share of GDP has declined from its mid-2000s peak across nearly the entire region (see Figure 2). Vietnam is the singular exception to this trend. Its manufacturing activity was notably higher, underpinned by China Plus One investments in electronics and machinery.

The decline in manufacturing's share of GDP is notable, and is consistent with patterns worldwide as incomes have risen. An innovative services

sector can generate substantial employment, as seen in many middle- and high-income countries. Southeast Asian nations can build strong economies through this shift in sectoral concentration. Even so, manufacturing employment has often served as a strong force propelling lower income families into the middle class, and continued emphasis on the creation and retention of manufacturing jobs will serve this region well.

Figure 2 Excluding Vietnam, manufacturing's share of GDP has been declining since the early 2000s

Manufacturing Value-Added as Percentage of GDP (1996–2025, three-year rolling average)



Source: World Bank

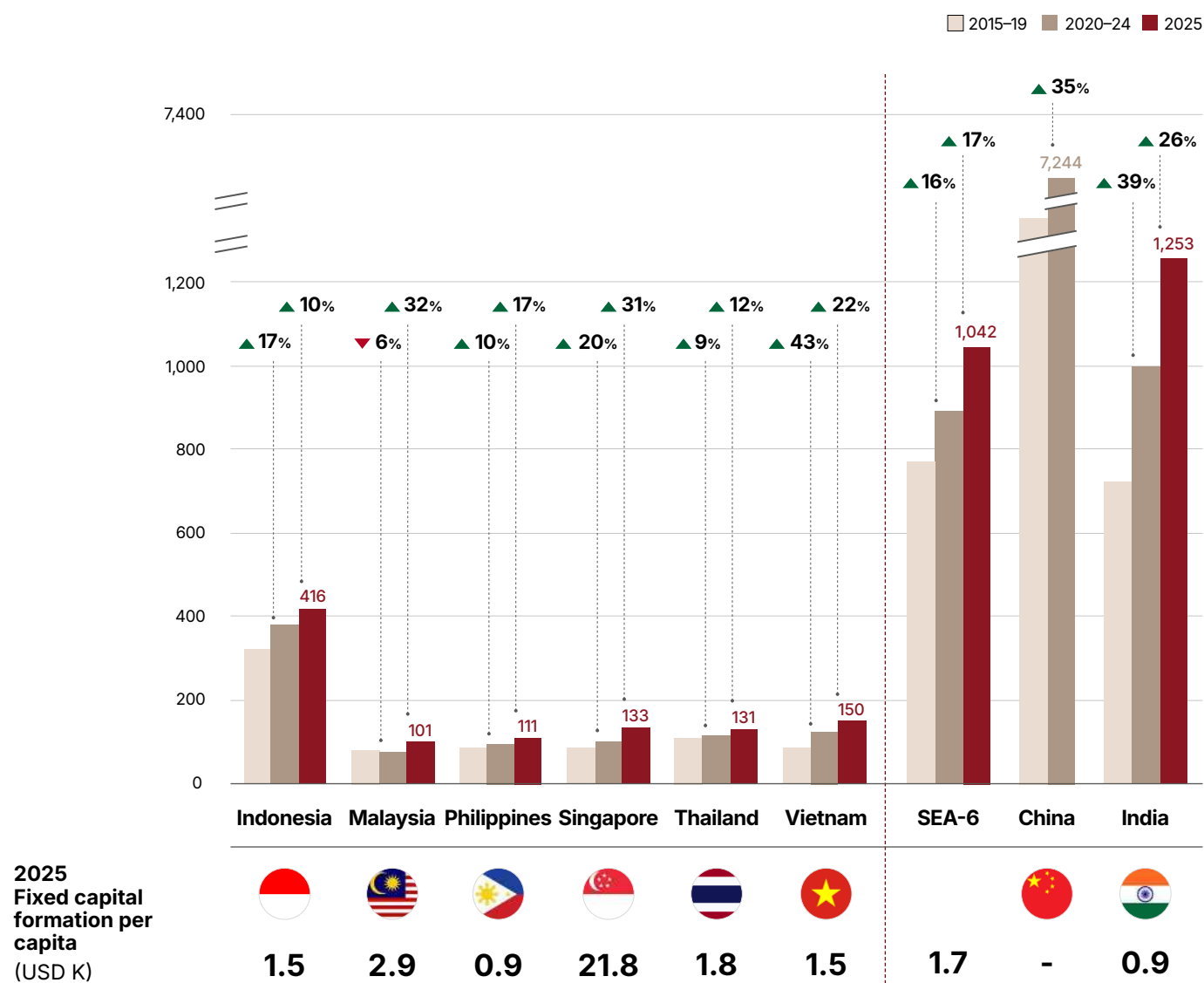
Domestic capital formation remains strong, led by Indonesia, Singapore, and Vietnam

Domestic capital formation remains robust, reflecting confidence in the region's growth prospects. Collectively, the SEA-6 increased gross fixed capital formation by 16% between the 2015 to 2019 and 2020 to 2024 periods, and by an additional 17% in 2025 (see Figure 3).

The underlying drivers are country specific. Vietnam achieved standout growth through export manufacturing recovery and strong public infrastructure investments. Singapore's growth was driven by public-led construction and semiconductor expansion, while Indonesia's growth reflected continued investment in downstream industries.

Figure 3 Overall, domestic capital formation remains strong, reflecting confidence in the region

Average Annual Gross Fixed Capital Formation (2015–2025, USD Billion)



Note: Reported in current USD
Sources: World Bank; Euromonitor

Foreign direct investment has surged and partner mix has shifted, reflecting global supply chain realignment

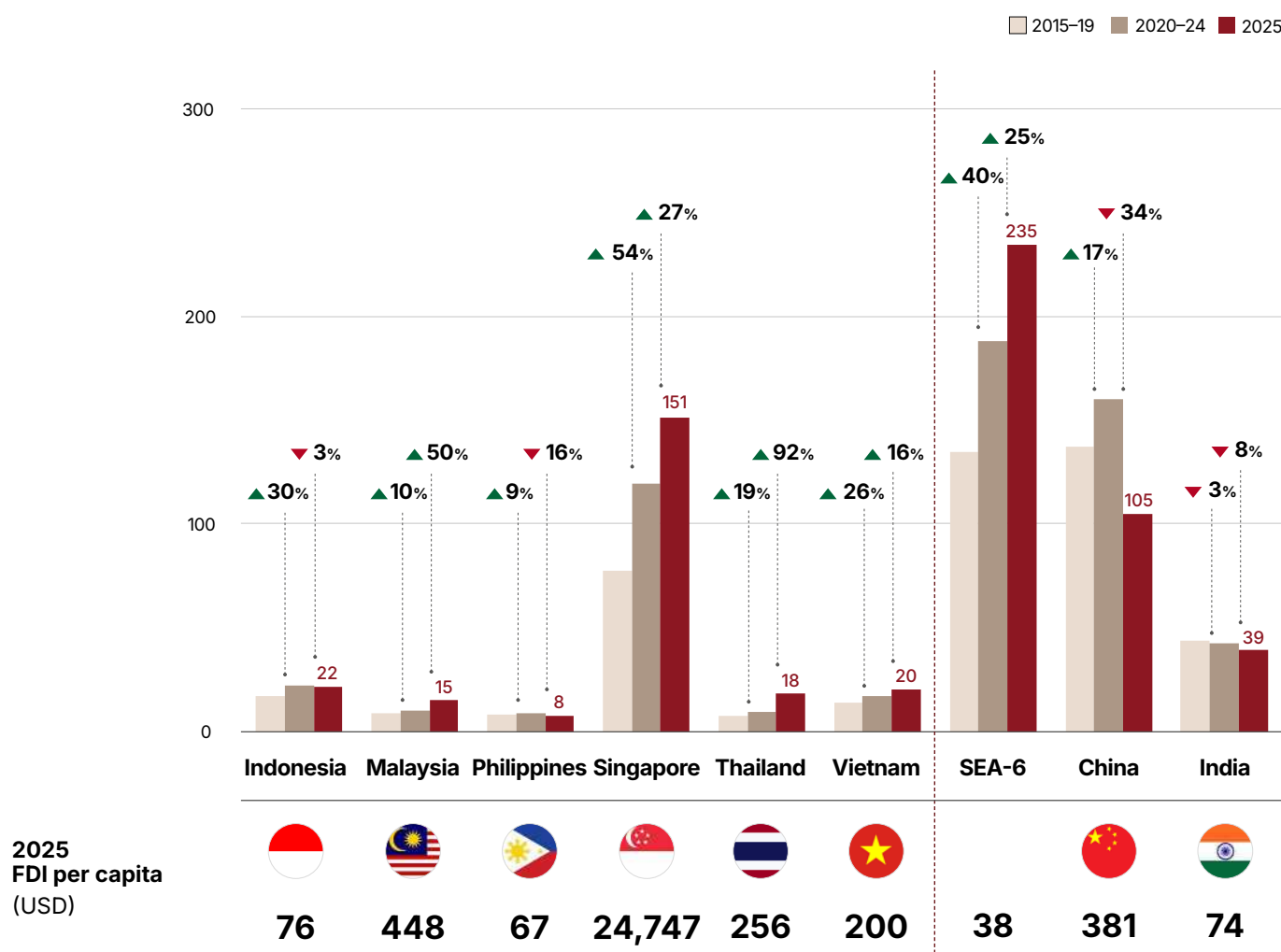
Foreign direct investment (FDI) inflows surged, although investments are increasingly concentrated in a few hubs. Singapore alone captured more than 60% of total regional FDI, leveraging its role as a hub for finance, semiconductors, and biomedical manufacturing. Indonesia and Vietnam were also beneficiaries, while Thailand's inflows materially improved via digital infrastructure and advanced electronics investments. Malaysia's semiconductor

and data center commitments could signal a stronger pipeline ahead, although they have lagged historically.

The source mix for FDI has shifted, matching global supply chain realignments. In 2025, the SEA-6's upward trajectory continued, with net FDI inflows surging 25% while China's contracted by 34% (see Figure 4).

Figure 4 FDI inflow has increased across Southeast Asia, led by Singapore

Average Annual Net FDI Inflow (2015–2025, USD Billion)



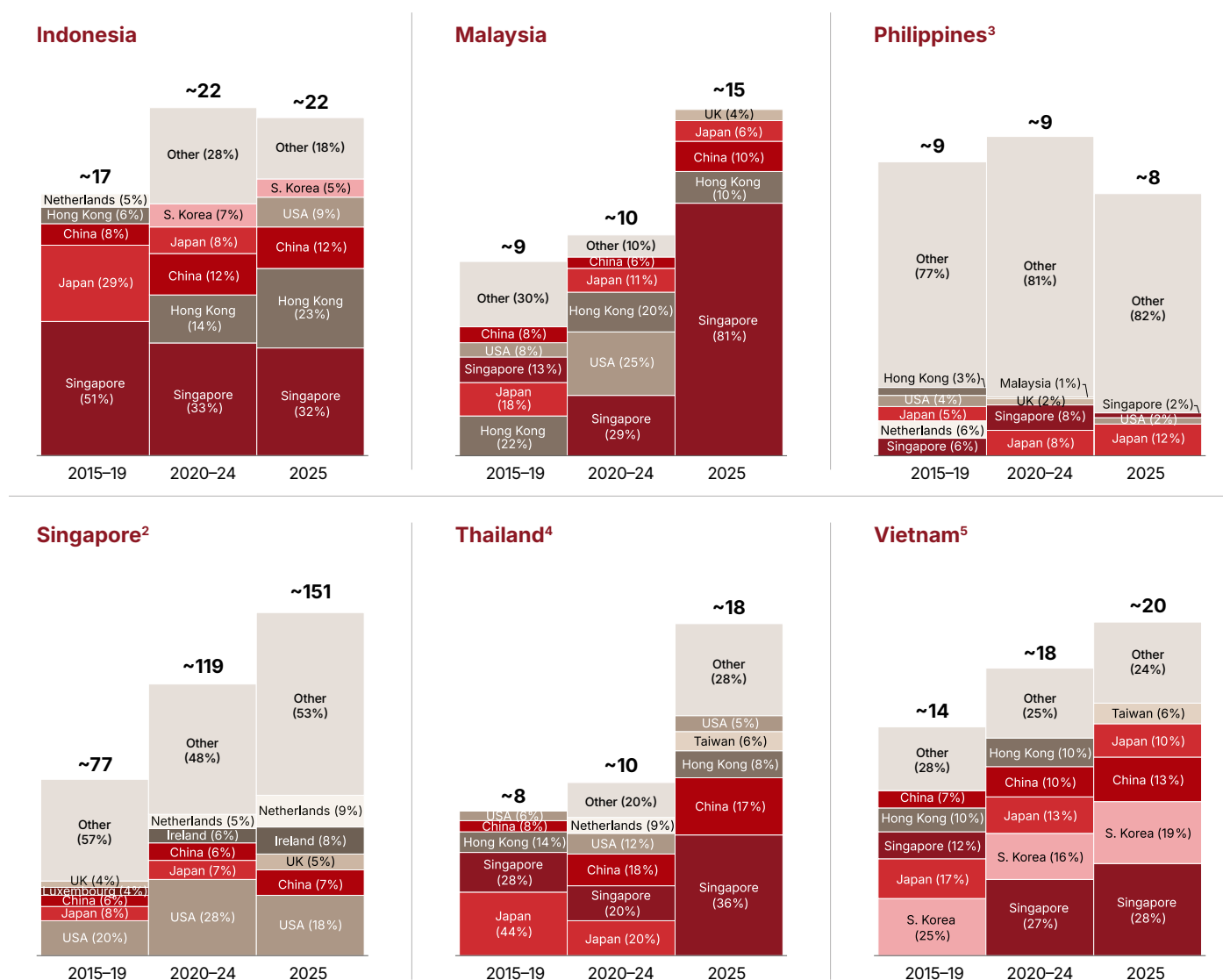
Sources: CEIC; World Bank; government sources; Euromonitor

Singapore is increasingly emerging as ASEAN's regional capital hub and is now the largest FDI source into Indonesia, Malaysia, Thailand, and Vietnam. The US share of regional investment nearly doubled, climbing from 11% in the 2015 to 2019 period to 20% in 2020 to 2024 (see Figure 5). The US is the top FDI source in Singapore and is expanding its presence in Malaysia through investments in cloud infrastructure, AI, and data centers.

Meanwhile, Chinese FDI has also grown in selected markets, reflecting supply chain diversification and manufacturing relocation trends. The strongest gains were visible in Indonesia's nickel downstreaming and electric vehicle (EV) battery supply chains, Thailand's EV and electronics industries, and Vietnam's export-oriented manufacturing base.

Figure 5 FDI is becoming more diversified, with fewer legacy concentrations and a stronger US-China tilt

Average Annual FDI by Source Country¹ (USD Billion)



Notes: (1) Differences vs. total FDI figures reflect source/methodology differences; (2) "Other" includes South and Central America and the Caribbean, which cannot be separately identified; (3) Country breakdown is available only for equity capital; reinvested earnings and debt instruments are not allocated by country, resulting in a larger "Other" bucket; (4) Country-level shares are based on gross FDI inflows and applied proportionally to estimate the country breakdown of net FDI inflows; (5) 2025 country-level allocation is based on January–April data, with the same allocation applied to the remainder of the year. Partner-country allocation based on CEIC-registered FDI capital and applied proportionally to Total Net FDI inflows from the World Bank

Sources: CEIC; World Bank; government sources

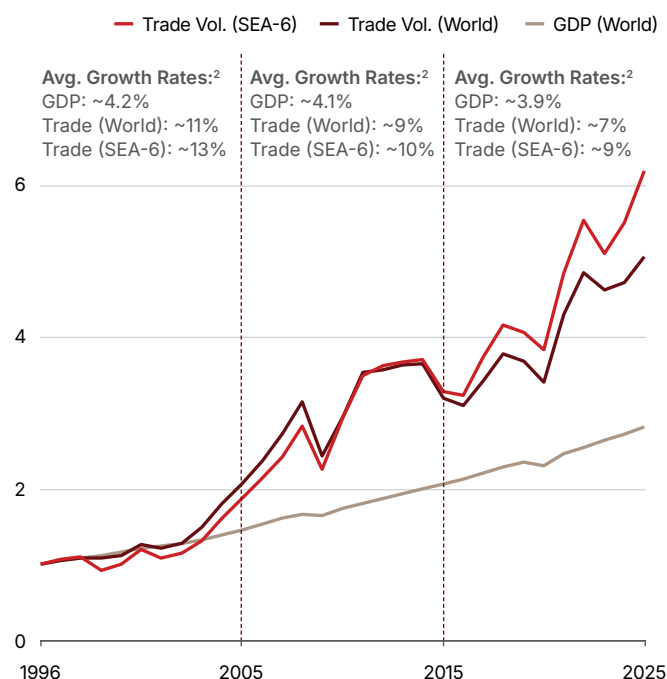
Trade dependence remains Southeast Asia's greatest strength and most significant vulnerability

Trade remains one of Southeast Asia's greatest strengths and, perhaps, a potential vulnerability. Trade intensity hovers around 90% of regional GDP—more than double the global average—making the region exposed to external friction (*see Figure 6*).

Exports performed strongly in 2024 and 2025. The SEA-6 benefited from front-loading ahead of US tariff changes in early 2025, supply chain reconfigurations, and a recovery in global electronics demand led by the AI super-cycle.

Figure 6 Southeast Asia is one of the most trade-exposed regions in the world

Real GDP and Trade Volume¹ Indexed to 1996 (1996–2025)



TRADE AS % OF GDP	1996–2005	2006–15	2016–25
World	27%	44%	41%
US	11%	16%	17%
EU ³	36%	58%	63%
China	18%	39%	33%
India	13%	34%	29%
SEA-6	60%	90%	89%

Southeast Asia's growth remains tightly linked to external demand, with trade consistently outpacing GDP over the long run.

Notes: (1) Real GDP indexed to constant 2025 prices (based on 2025 USD fixed exchange rate), trade volume includes both imports and exports of total merchandise goods; (2) Represents 10-year average growth rates excluding periods of crises: 1995–2005 excludes 1998 (Asian Financial Crisis) and 2001 (Dot com Bubble and 9/11), 2005–2015 excludes 2009 (trough of the Great Financial Crisis), and 2015–2025 excludes 2020 (Covid-19 pandemic); (3) EU 1995–2005 average only captures data from 2000–2005 period, when the data was published
Sources: World Trade Organization; Euromonitor

Looking ahead, the region will need to navigate tensions and trade vulnerabilities created by protectionist policies in the US and an economically assertive China.

The destination mix confirms Southeast Asia's growing role in global supply chains and illustrates the linkage between imports and exports (*see Figure 7*). Vietnam's inputs track to its electronics build-outs, while Malaysia's reflect its semiconductor-heavy economy. Singapore's diversified import mix reflects both its role as an intermediary and its higher-value manufacturing activity.

China has become the dominant source country, with its share of imports rising across the region. As regional manufacturing has expanded, the SEA-6 have shown a greater reliance on Chinese components and machinery.

Southeast Asia's shipments to the US increased across the board, most notably from Vietnam, where FDI-led manufacturing surged. US tariffs on Chinese goods also expanded the range of products that Vietnam sends to the US market.

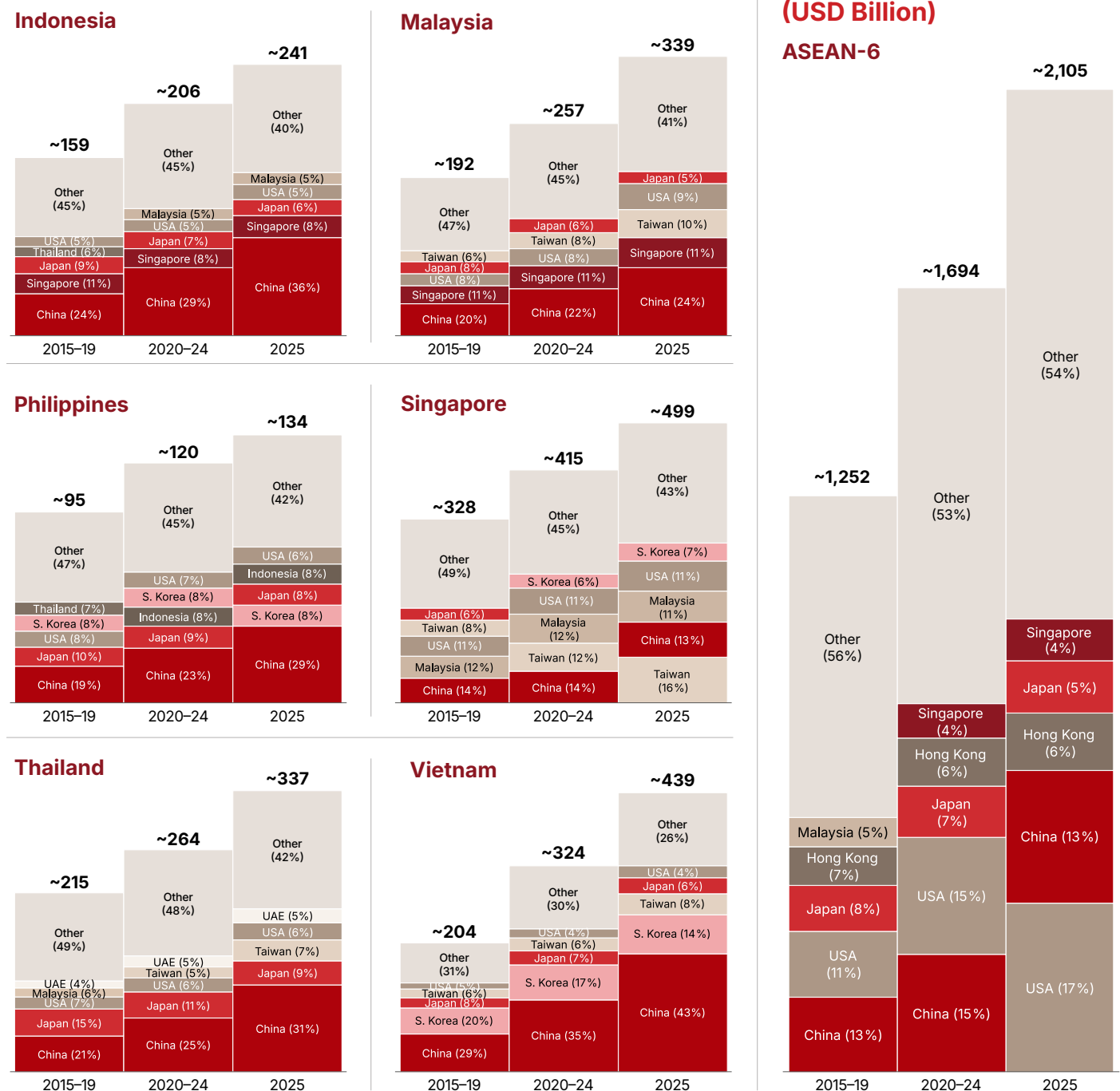
Recent export gains have been sector-driven rather than broad-based. Because these cycles are tied to demand spikes in electronics and AI infrastructure, they have not yet translated into economy-wide productivity improvements.

Moving forward, domestic structural policies will determine whether a country can convert temporary inflows into sustainable growth.

Figure 7

Average Annual Imports by Partner Countries (USD Billion)

Total Annual Exports by Partner Countries (USD Billion)



Sources: CEIC; literature search

Revisiting the 2024 to 2034 Forecast

Two years into our 10-year forecast, Southeast Asia's aggregate GDP is tracking with our 5.1% projection (see Figure 8). This performance is notable given the challenging environment, marked by intensifying US-China rivalries, rising protectionism, global shocks, and disruptive technology shifts.

Beneath the aggregate, however, country-specific outcomes have diverged more sharply than anticipated. Singapore's growth exceeded our forecast, in part riding a wave of AI-linked demand for its semiconductors. Vietnam and Malaysia also outperformed the regional average. Vietnam was

propelled by manufacturing exports and electronics- and semiconductor-related FDI, while Malaysia benefited from robust domestic demand, including strong investment momentum and exports tailwinds.

Conversely, Thailand, Indonesia, and the Philippines fell short. Thailand's performance reflected deeply entrenched structural issues; Indonesia was constrained by institutional uncertainty and uneven policy execution; and the Philippines saw growth impeded by weaker investment and public sector execution.

Figure 8 Regional growth matched projections but was uneven across countries

Real GDP Growth and Performance across Growth Drivers

Country	Real GDP Growth		Traditional Growth Drivers							New Growth Drivers				
	2024–34F	2024–25A	1. Ease of doing business	2. Diversify trade partners	3. Strengthen institutions	4. Improve workforce	5. Build infrastructure	6. Increase stability	7. Facilitate investment	1. Invest in new growth sectors	2. Foster tech-enabled disruptors	3. Strengthen capital markets	4. Accelerate green transition	5. Embrace multilateral initiatives
 Indonesia	5.7%	▼ 5.1%	▶	▶	▼	▶	▲	▶	▶	▶	▼	▶	▶	▲
 Malaysia	4.5%	▲ 5.2%	▲	▶	▲	▶	▲	▶	▶	▲	▼	▶	▼	▲
 Philippines	6.1%	▼ 5.1%	▲	▲	▶	▲	▶	▶	▶	▲	▼	▼	▼	▼
 Singapore	2.5%	▲ 5.2%	▲	▶	▶	▲	▶	▶	▶	▲	▶	▶	▶	▲
 Thailand	2.8%	▼ 2.7%	▶	▶	▼	▼	▶	▲	▶	▶	▼	▼	▶	▼
 Vietnam	6.6%	▲ 7.5%	▶	▲	▶	▶	▶	▲	▶	▲	▼	▲	▼	▶
SEA-6	5.1%	▶ 5.1%												

Sources: Bain analysis; literature search



Divergence is linked to growth frameworks

In our previous report, we narrowed in on 12 drivers that build a country's structural and policy foundations for growth, ranging from ease of doing business to political stability, workforce readiness, and progress on the green transition. As the external environment becomes more challenging, the domestic response to each driver bears more weight.

Across traditional growth drivers, differences in execution and institutional strength are becoming more pronounced. Singapore serves as the benchmark: Its progress is mainly constrained by demographic limits, though migration has kept the labor market stable. Malaysia has made the greatest improvements, adopting a pro-investment posture and improving both governance and infrastructure (e.g., ports, power connectivity). Progress in Indonesia remains mixed; substantial infrastructure progress has been offset by lagging workforce development and policy inconsistency. Thailand faces the most restrictive constraints, caught between a tightening labor supply and softer institutional momentum.

A clear tiering is also visible across new growth drivers. Singapore, Malaysia, and Vietnam have strengthened their positions. Singapore has the most advanced growth platform overall, leading in capital, technology, and ecosystem depth. Vietnam achieved the biggest gains over the past two years, significantly upgrading its manufacturing and investment capacity. However, the country's early-stage innovation ecosystem remains nascent.

Meanwhile, progress in the rest of the region is uneven or stalled. Indonesia has strong scale and downstreaming but weaker start-up momentum, shallower capital markets, and a slower green transition. In Thailand, selective investment inflows in data centers have not been matched by innovation scaling or capital market depth. The Philippines' gains in tech services have been capped by structural constraints, such as power grid limitations.

**There is a critical correlation:
The countries that systematically
improved across these growth
frameworks also outperformed
our forecasts. Their divergence is
both structural and widening.**

The 2026 to 2035 Forecast

Our updated baseline forecast expects the SEA-6 to grow at 4.8% on average between 2026 and 2035.

That is slightly below our previous forecast (5.1% for the 2024 to 2034 period) but faster than the region's growth rate over the prior decade (4.1%) (see Figure 9).

Figure 9 The SEA-6 are projected to average 4.8% annual growth between 2026 and 2035

SEA Projected Average Annual Growth (2026–2035, %)

Country	Historical Average			Forecast
	1996–2005	2006–15	2016–25	2026–35
 Indonesia	2.9	5.6	4.2	5.4
 Malaysia	4.8	4.9	4.0	4.3
 Philippines	4.2	5.5	4.6	5.8
 Singapore	5.3	5.7	3.5	2.7
 Thailand	3.2	3.4	2.0	2.2
 Vietnam	7.2	6.3	6.3	6.2
SEA-6	3.9	5.2	4.1	4.8

Sources: DBS projections; CEIC; IMF; World Bank; government sources

The revised forecast reflects a complex and volatile external environment offset by steady progress among current growth leaders. We expect Vietnam to retain the regional lead, holding an average annual growth rate of 6.2% through sustained FDI and productivity gains. By maintaining its pro-growth stance and fiscal discipline, Malaysia can achieve a 4.3% growth rate.

The Philippines and Indonesia both have the potential to substantially accelerate growth. The Philippines, which has a favorable demographic tailwind, could grow at a 5.8% average annual rate

as consumption, infrastructure, and governance reforms unlock investment. Similarly, Indonesia could reach a 5.4% growth rate by boosting domestic consumption and further industrializing its nickel and EV value chains.

As a mature economy, Singapore's growth rate is expected to stabilize around 2.7%, leveraging AI-driven productivity gains to offset demographic constraints. Thailand will anchor the SEA-6 with a 2.2% growth rate, held back by an aging population and fragmented politics.

Accounting for Global Uncertainty

Actual outcomes depend on a broad range of global economic, technological, and geopolitical contexts.

Southeast Asia's high trade intensity and reliance on FDI make it particularly sensitive to shifts in global conditions. Therefore, we've expanded this year's forecast to account for three scenarios that could evolve over the next decade (*see Figure 10*).

Figure 10 The 10-year growth outlook hinges on three plausible global scenarios

10-Year Growth Outlook Scenarios

	Downside Scenario Acrimonious rivalry and split world order	Base Scenario Heated rivalry and deteriorating world order	Upside Scenario Managed rivalry with repaired world order
Globalization and trade	- China-US rivalry hardens into bloc competition - Trade, finance, and institutions weaken or fragment	- US disruption continues and China remains mercantilist - Fiscal and populist pressures mount	- US, China, and other major powers step back from confrontation - US re-engages on trade and alliances
Tech and industrial competition	- Bifurcation of Chinese and US tech stacks and trading ecosystems - AI shock widens gaps between winners and laggards	- Parallel China and US AI development; SEA negotiates mixed access and selective decoupling - AI, robotics, and automation drive productivity gains	- Tech ecosystems remain competitive but connected - SEA becomes increasingly critical to both Chinese and US AI ecosystems
Conflict and escalation	- Conflicts disrupt energy, trade, and chokepoints - Proxy conflicts trigger market shocks	- Proxy conflicts persist but avoid major war - Energy, food, and FX buffers cushion external shocks	- Fewer proxy conflicts and lower military posture - Flashpoints remain unresolved but stable

Source: Bain analysis

Downside Scenario (further fragmentation)

Global political and economic rivalries accelerate, decoupling markets into incompatible technology stacks and hardened trade blocs. This environment would disrupt supply chains, curtail FDI, and force Southeast Asian nations to pick sides.

Base Scenario (continued erosion)

Rivalries persist, institutions gradually erode, and multilateral frameworks weaken—but the system largely remains intact. Southeast Asia retains the room to maneuver, capturing flows from supply chain diversification while effectively managing pressure from competing blocs.

Upside Scenario (improved coordination)

Geopolitical relationships are stabilized and multilateral coordination is restored, aiding trade flows. Southeast Asia is able to position itself as an indispensable node in global technology and innovation systems, capturing a disproportionate share of redirected trade, capital, and supply chain infrastructure.

Whichever scenario comes to pass will shape the ceiling and floor of what is achievable for the region; however, it will not be the primary determinant of success. Each country can (and likely will) make deliberate choices across trade, growth architecture, and resilience that together greatly impact its own economic performance.

Upside Potential and Resilience Vary by Country

While baseline growth is expected to remain relatively stable across the region, each country possesses a materially different capacity to capture upside growth and minimize downside exposure. We estimated the growth potential for each country across fans of possible outcomes (see Figure 11).

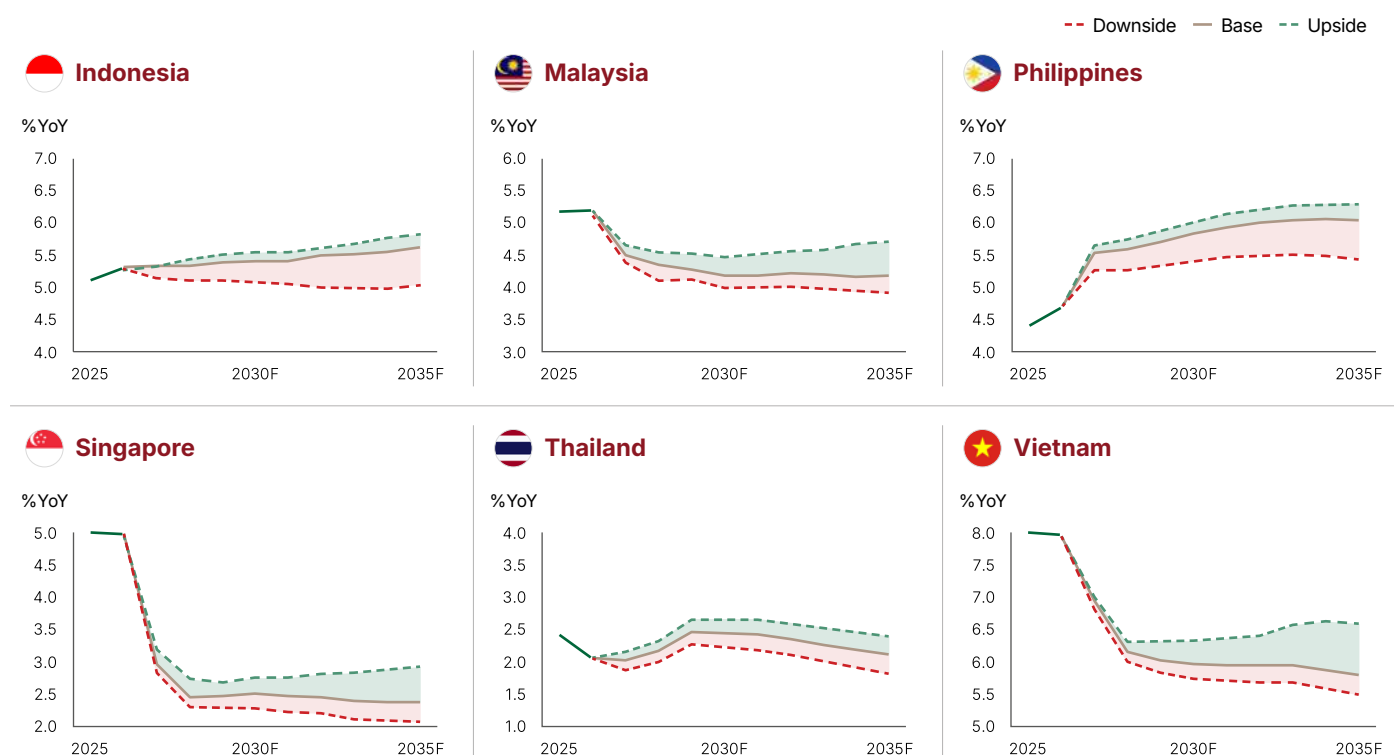
In a downside scenario, Indonesia, the Philippines, and Thailand are most exposed given their capital-flow sensitivities, energy dependence, political uncertainty, and weaker structural momentum. Vietnam and Malaysia are more moderately exposed; both retain strong industrial relevance, but their open, export-linked economies remain vulnerable to demand and supply-chain shocks. Singapore is the most resilient, supported by safe-haven status, deep markets, fiscal buffers, and its trusted-hub credibility.

In more favorable conditions, the pattern shifts. Malaysia, Singapore, and Vietnam capture disproportionate upside, leveraging their roles in capital intermediation and global manufacturing supply chains. Indonesia, Thailand, and the Philippines see more limited benefit, as persistent structural constraints limit their ability to translate an improved external environment into stronger growth.

Ultimately, global conditions establish the boundaries for each scenario, but domestic actions dictate whether a country converts opportunities into sustained growth.

Figure 11 Each country faces a distinct outcome range, where resilience sets the floor and structural advantages define the ceiling

Real GDP Growth (2025A–2035F¹, %)



Note: (1) 2025A reflects actual data; all years from 2026 onward are forecasts (F)
Source: DBS projections



Indonesia

Structural scale cannot offset institutional erosion

Indonesia has the most downside-skewed fan in the region. Its baseline floor is well supported by its domestic market and insulated by resource downstreaming in nickel and minerals. However, its upside ceiling is constrained by institutional vulnerabilities, populist fiscal policies, and spending pressures that risk accelerating investment outflows and weakening sovereign credit credibility.

In our projection, Indonesia will continue to attract selective FDI where natural resources and market scale matter, but translating this into broader productivity growth will be hampered by uneven execution and a lack of policy consistency.

Malaysia

Capturing more upside requires moving up the value chain

Malaysia's structural advantages limit its downside. It has a strong trade position, with exposure across US semiconductor supply chains and Chinese infrastructure investments, and is supported by resource buffers in palm oil, liquefied natural gas, and petroleum.

Upside capture is underpinned by substantial commitments in data centers, semiconductors, and AI-linked manufacturing. However, its ceiling is

capped by two structural gaps: Its semiconductor footprint is concentrated in lower-margin, back-end assembly, testing, and packaging segments rather than sticky, high-margin design or fabrication. Also, the country's talent pipeline is under severe strain. Until these gaps narrow, the investment pipeline will continue to outpace Malaysia's capacity to convert it.

The Philippines

Energy dependence and governance risks skew outcomes toward the downside

The Philippines has a wide downside-skewed fan. In its favor, attractive demographics, steady remittance inflows, and a consumption-led model insulate it from global trade disruption.

However, its growth architecture is vulnerable. Dependence on imported energy quickly turns external price shocks into household inflation, while

weak policy implementation hinders the conversion of investment commitment into actual deployment. Additionally, AI-driven automation creates longer-term risk to the business process outsourcing (BPO) sector. Without stronger energy security and governance consistency, growth could be capped below the Philippines' potential.

Singapore

Safe-haven depth anchors the floor, while hub status drives the upside

Singapore's trajectory is a picture of structural resilience: A contained downside is matched with meaningful upside potential.

The country's safe-haven status means capital and talent will flow toward Singapore in periods of stress rather than away, giving it a well-defended floor. In upside scenarios, Singapore's status as a trusted hub translates into deeper regional intermediation, expanded AI and advanced manufacturing activity, and broader capital flows.

Singapore is bound by energy dependence and demographic constraints. To sustain the base scenario, it will need to attract talent and make continued productivity gains through AI and automation. While Singapore's baseline growth projection is moderate, its track record suggests its ceiling may have room to rise.



Thailand

Structural headwinds compress the range in every scenario

Thailand's fan is the most compressed across the region, reflecting structural constraints that are equally binding in both directions. Its trajectory is also shaped more by domestic constraints than by the external environment.

The growth floor has genuine support that holds across most conditions: an established EV, electronics, and automotive manufacturing base;

broad trade and capital ties; and strong tourism. Yet domestic challenges restrict growth. Demographic decline, high household debt, and political fragmentation suppress the upside ceiling. These domestic constraints are unlikely to ease in any scenario. Furthermore, balancing alignment between Chinese supply chains and Western market access remains an ongoing challenge.

Vietnam

The region's highest upside story is supported by FDI attractiveness and its capacity to address constraints

Vietnam has the most upside-heavy fan across the SEA-6. Decades of reform have embedded it in the global electronics and semiconductor supply chains, establishing a baseline floor that cannot be quickly undone, and the country's broad trade relationships could cushion the impact if exports became more challenging.

While its floor is strong, Vietnam's ceiling sets it apart. Unlike other SEA-6 economies, Vietnam captures FDI from both US- and Chinese-aligned

supply chains. Under optimal conditions, this allows higher-value investments to scale across logistics, industrial parks, and upstream electronics, meaningfully compounding the base scenario.

Vietnam's constraints—power grid disruptions and shallow domestic capital markets—are solvable infrastructure and financial development challenges rather than structural deficits. Both are within Vietnam's capacity to address over the next decade.



Priorities to Accelerate Growth

Our 2024 report identified operational levers for building durable economic advantages.

While these levers remain unchanged, the current global climate has elevated three specific priorities: strengthening institutional resilience, fortifying energy systems, and capturing the AI dividend.

01 Strengthening Institutional Resilience

Institutions set the foundation for investor confidence, capital retention, and a government's capacity for consistent policy execution. In a volatile and fragmented global economy, institutional credibility is a major differentiator. Achieving it requires progress across three dimensions:

- **Governance and the rule of law** anchors investor confidence and reduces the cost of doing business.
- **Fiscal stability** absorbs external shocks and funds productive long-term investments.
- **Capital market depth** efficiently mobilizes domestic savings and foreign capital into growth opportunities.

Improvement across these three areas is self-reinforcing: Institutional credibility deepens domestic capital markets and attracts investments, which fund the infrastructure and innovation needed to sustain growth. The reverse is equally true: Institutional erosion quickly undermines progress on every other priority.

02 Fortifying Energy Systems

Energy has transformed from a basic utility into a binding growth constraint for many SEA-6 countries. Grid capacity and reliability determine whether an economy can expand its industrial base and support power-intensive AI infrastructure. Energy security is also a lever for managing cost and security risks as energy supply chains become more volatile. That makes energy infrastructure a strategic priority rather than a regulatory challenge. Fortifying energy systems calls for:

- **Reliability:** Achieving a consistent, uninterrupted power supply is the most immediate priority. This requires rapid grid modernization, expanded

storage capacity, and secure dispatchable generation capable of absorbing a variety of renewables.

- **Sustainability:** Renewable energy assets must become bankable through reformed procurement frameworks, payment certainty, and credible carbon commitments. These aren't simply climate gestures; they are prerequisites for attracting high-quality investments.
- **Security:** Import sources must be diversified to mitigate exposure to external supply shocks. Countries need to build strategic reserves while accelerating domestic baseload alternatives.

03 Capturing the AI Dividend

AI is emerging as the primary productivity lever of the decade, offering the potential to reshape industries and offset labor constraints. But value capture is not guaranteed. Economic returns will only accrue in countries that move beyond initial adoption and surface-level integration to deploy AI at enterprise-scale. To benefit from AI, countries must build a talent pipeline and establish policy conditions that make enterprise adoption commercially viable now.

Capturing the dividend requires action across three interconnected areas:

- **Policy and infrastructure:** Sovereign AI strategies, data governance frameworks, and domestically governed compute capacity will set the foundation for scaled deployment.
- **Enterprise adoption:** This means scaling beyond pilots into full operational integration and embedding AI into core business processes with measurable productivity outcomes. Tools also need to be accessible to benefit the broader economy, not just large firms.
- **Workforce skills and development:** Workforce readiness requires building AI capabilities in education systems while retraining the existing workforce for AI's labor impacts.

The Future Will Reflect Near-Term Policy Choices

Ongoing shifts in geo-economics, technology, and domestic policy trends make the current juncture a sensitive one.

But the sizable variance between regional growth floors and ceilings confirms that Southeast Asia's trajectory depends more on domestic policy decisions than external forces.

Institutional resilience, fortified energy systems, and AI integration are universal regional priorities, even though their relative importance varies based on each country's structural position.

Indonesia

The defining test is institutional credibility.

Without governance credibility and fiscal discipline, Indonesia will not scale to meet the energy or AI opportunity. Both require stronger investor confidence and disciplined execution.

Malaysia

The key question is conversion. Malaysia's strengths in AI infrastructure, energy systems, and institutional fundamentals give the country a distinct head start. The next phase depends on converting this foundation into deep ecosystem value through talent development, enterprise-level AI adoption, and productivity gains. In turn, this also requires policy continuity and consistent execution through the next electoral cycle.

The Philippines

The challenge is transition. Progress on energy and institutional resilience will enable the AI transition, but the more immediate priority is upgrading the BPO sector to mitigate automation pressures. The next few years will be critical; the Philippines must move into higher-value services while sustaining reform momentum through its next leadership transition.

Singapore

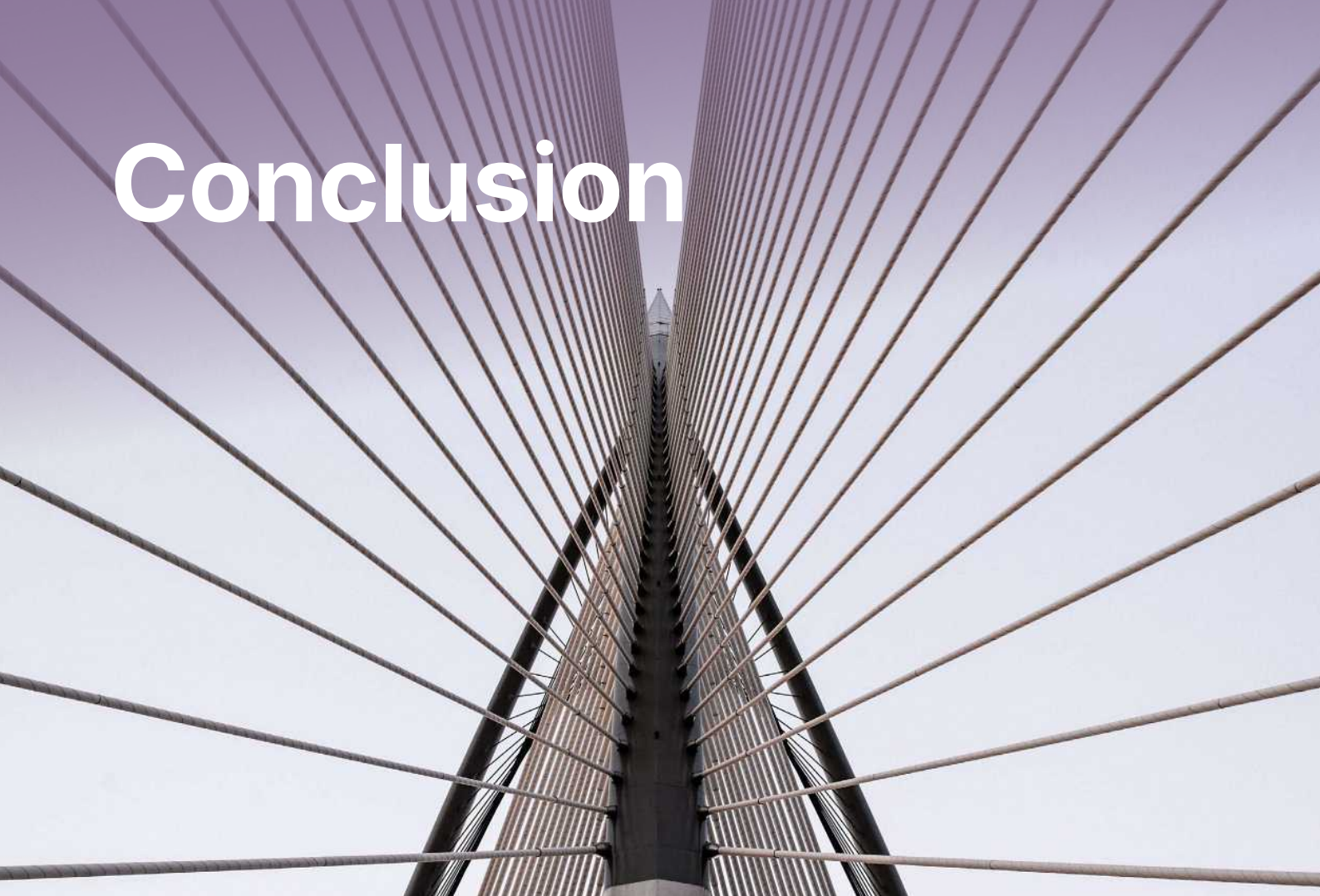
The priority is diffusion. Singapore's platform is exceptionally strong. Energy diversification is underway, institutional strengths are intact, and the country has the most advanced AI ecosystem. The priority now is converting AI leadership into broad productivity gains across mid-market firms and non-technology workers to offset the tightening labor supply.

Thailand

The critical variable is restoring institutional momentum. Structural reforms are needed to overcome declining growth and political fragmentation. In addition, because EV transition and Chinese competition are reshaping Thailand's core manufacturing landscape, quickly embedding AI and advanced manufacturing capabilities into the industrial base is a critical near-term move.

Vietnam

The primary constraint is execution. Power grid limitations and infrastructure bottlenecks threaten to cap the next phase of growth. To maintain its outperformer trajectory, the near-term priority is twofold: resolving energy reliability shortfalls that constrain high-value manufacturing and implementing strategic AI-led value chain upgrades before its low-cost assembly advantage erodes.



Conclusion

Southeast Asia is growing, with considerable structural divergence.

Countries with diversified industrial bases, a thriving services economy, stable institutional foundations, and strong fiscal management are more likely to weather downside risks and capture upside growth in a recovery. Conversely, those with narrower growth models or more constrained policy frameworks are likely to struggle in any scenario.

In the decade ahead, countries must continuously demonstrate institutional credibility, enhance energy security, and absorb advanced technological

capabilities. Nations that build and fortify these foundations will find the region's long-term tailwinds working in their favor.

The forecasts detailed in this report are entirely achievable. Performance over the next two to three years will decide which nations live up to their full potential.

Methodology

In this report, “Southeast Asia” and the “SEA-6” refer to Indonesia, Malaysia, the Philippines, Singapore, Thailand, and Vietnam. While not exhaustive, these six countries contribute to more than 95% of the region’s GDP.

DBS used total factor productivity, capital growth, labor, and human capital to inform the forecasts in this report. Data was derived from CEIC, the International Monetary Fund (IMF), and Penn World Table. We also relied on expertise from our partners at Bain & Company, DBS, and Vriens & Partners.

Our growth framework assessments drew from external indexes, databases, and ratings from the Association of Southeast Asian Nations Statistics Division (ASEANstats), CEIC, Euromonitor, the IMF, the United Nations Conference on Trade and Development, the World Bank, World Integrated Trade Solutions, and the World Trade Organization.

We also used selected benchmark indicators, including the Herfindahl-Hirschman Market Concentration Index, the World Bank’s Ease of Doing Business score, Human Capital Index, Logistics Performance Index, and Worldwide Governance Indicators. For our analysis of new growth drivers, we drew on the Global Innovation Index from the World Intellectual Property Organization; private technology investment and venture capital data from PitchBook and Tracxn; capital markets data from DBS; and energy, reliability, and emissions data from Wood Mackenzie and the Emissions Database for Global Atmospheric Research.

Please contact the authors for details regarding our methodology, forecasts, or analysis.



ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.

Chief Economist
Global

taimurbaig@db.com

Mo Ji, Ph.D.

Chief Economist
China/HK SAR
mojim@db.com

Han Teng CHUA, CFA

Senior Economist
Asean
hantengchua@db.com

Wei Liang CHANG

FX & Credit Strategist
Global
weiliangchang@db.com

Tieying MA, CFA

Senior Economist
North Asia
matieying@db.com

Philip WEE

Senior FX Strategist
Global
philipwee@db.com

Mervyn TEO

Senior Credit Analyst
USD, SGD, AUD
mervynteo@db.com

Eugene LEOW

Senior Rates Strategist
G3 & Asia
eugeneleow@db.com

Sherilyn CHEW

Multi-asset Strategist
Global
sherilync Chew@db.com

Ian Haan Chui

Credit Analyst
USD
ianchui@db.com

Samuel TSE

Rates Strategist
Asia
samueltse@db.com

Tracy Li Jun LIM

Credit Analyst
USD, SGD
tracylimt@db.com

Joel SIEW, CFA

Credit Analyst
USD, SGD, AUD
joelsiew@db.com

Amanda SEAH

Credit Analyst
USD, SGD, AUD
amandaseah@db.com

Teng Chong LIM

Credit Analyst
USD, SGD, AUD
tengchonglim@db.com

Daisy SHARMA

Analyst
Data Analytics
daisy@db.com

Iris GAO

Credit Analyst
USD
irisgao@db.com

Radhika RAO

Senior Economist
Asean/EU/South Asia
radhikarao@db.com

Violet LEE

Associate
Publications
violetleeyh@db.com

Nathan CHOW

Senior Economist
China/HK SAR
nathanchow@db.com

Byron LAM

Economist
China/HK SAR
byronlamfc@db.com

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates, Digital Assets or Commodities)¹

The information herein is published by DBS Bank Ltd and/or DBS Bank (Hong Kong) Limited (each and/or collectively, the "Company"). It is based on information obtained from sources believed to be reliable, but the Company does not make any representation or warranty, express or implied, as to its accuracy, completeness, timeliness or correctness for any particular purpose. Opinions expressed are subject to change without notice. This research is prepared for general circulation. Any recommendation contained herein does not have regard to the specific investment objectives, financial situation and the particular needs of any specific addressee. The information herein is published for the information of addressees only and is not to be taken in substitution for the exercise of judgement by addressees, who should obtain separate legal or financial advice. The Company, or any of its related companies or any individuals connected with the group accepts no liability for any direct, special, indirect, consequential, incidental damages or any other loss or damages of any kind arising from any use of the information herein (including any error, omission or misstatement herein, negligent or otherwise) or further communication thereof, even if the Company or any other person has been advised of the possibility thereof. The information herein is not to be construed as an offer or a solicitation of an offer to buy or sell any securities, futures, options or other financial instruments or to provide any investment advice or services. The Company and its associates, their directors, officers and/or employees may have positions or other interests in, and may effect transactions in securities mentioned herein and may also perform or seek to perform broking, investment banking and other banking or financial services for these companies. The information herein is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction (including but not limited to citizens or residents of the United States of America) where such distribution, publication, availability or use would be contrary to law or regulation. The information is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction (including but not limited to the United States of America) where such an offer or solicitation would be contrary to law or regulation.

[#for Distribution in Singapore] This report is distributed in Singapore by DBS Bank Ltd (Company Regn. No. 196800306E) which is Exempt Financial Advisers as defined in the Financial Advisers Act and regulated by the Monetary Authority of Singapore. DBS Bank Ltd may distribute reports produced by its respective foreign entities, affiliates or other foreign research houses pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. Where the report is distributed in Singapore to a person who is not an Accredited Investor, Expert Investor or an Institutional Investor, DBS Bank Ltd accepts legal responsibility for the contents of the report to such persons only to the extent required by law. Singapore recipients should contact DBS Bank Ltd at 65-6878-8888 for matters arising from, or in connection with the report.

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

¹ This disclaimer may not apply if the applicable assets fall within the definition of 'financial instruments' that are set out in Article 2(1) EU MAR (e.g. financial instruments that are traded on a regulated market, MTF or OTF, etc.). Section C of Annex I of MiFID2 specifies these 'financial instruments'.

Forecasts, data preview, central bank watch

11th September 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- All eyes on the Fed as a likely contentious meeting looms. Pricing leans toward a rate hike.
- BoJ to hike
- August trade data to show Asia's export momentum remaining intact



Taimur Baig PhD,
Chief Economist
taimurbaig@db.com



Chang Wei Liang, FX & Credit
Strategist
weiliangchang@db.com

The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

KEY FORECASTS FOR THE COMING WEEK

Event	DBS	Previous
Sep 14 (Mon)		
India: CPI (Aug)	4.9% y/y	4.4% y/y
- exports	26.5% y/y	19.6% y/y
- imports	19.4% y/y	17.5% y/y
- trade balance	-USD30.0bn	-USD32.0bn
Sep 15 (Tue)		
China: retail sales (Aug)	0.4% y/y	0.6% y/y
- industrial production	5.0% y/y	4.5% y/y
- Fixed asset investment	-7.0% y/y ytd	-6.7% y/y ytd
Sep 16 (Wed)		
Japan: exports (Aug)	21.6% y/y	23.2% y/y
- imports	28.7% y/y	27.9% y/y
- trade balance	-JPY978.6bn	-JPY686.0bn
Sep 10 (Thu)		
US: FOMC rate decision	3.75%	3.75%
Singapore: non-oil domestic exports (Aug)	35.0% y/y	24.2% y/y
Taiwan: CBC benchmark interest rate	2.00%	2.00%
Sep 11 (Fri)		
Japan: CPI (Aug)	2.0% y/y	1.9% y/y
Japan: BOJ target rate	1.25%	1.00%
Malaysia: CPI (Aug)	1.8% y/y	1.8% y/y
Malaysia: exports (Aug)	43.5% y/y	38.0% y/y
- imports	41.2% y/y	36.4% y/y
- trade balance	MYR25.5bn	MYR22.5bn

CENTRAL BANK MEETINGS

Bank of Japan (September 18)

It is almost a done deal that the Bank of Japan will hike rates at the upcoming meeting on Sep 17-18. Recent data strongly support the case for a rate hike. Final 2Q GDP confirmed that the economy continued to grow at an on-trend pace of 1.4% QoQ saar, or 0.9% YoY, in 2Q. July wage data also surprised on the upside, with total wages and base wages rising 4.7% and 4.1% YoY, respectively. Meanwhile, underlying inflation measures, including CPI excluding fresh food, energy and institutional factors and trimmed mean CPI, have converged with the 2% price target, rising 2.2% and 2.0% YoY, respectively, in July.

The most likely outcome is for the BOJ to deliver a hawkish 25bps hike while signalling a flexible pace of rate hikes at future meetings. An outsized 50bps hike at this meeting or back-to-back rate hikes at every meeting is not our base case. While BOJ board member Takata recently mentioned the possibility of an outsized rate hike, he is well known as a hawk and does not represent the majority view. More importantly, the BOJ should remain mindful of the market impact of large policy surprises, given that the unexpected rate hike in July 2024 triggered a massive JPY carry-trade unwinding and jitters across global financial markets.

Taiwan's central bank (September 17)

We expect the central bank to keep its policy rate unchanged at the September 17 policy meeting, before hiking rates to 2.125% at the next meeting in December. August CPI data suggest little urgency for the CBC to hike rates: headline CPI came in slightly below expectations at 2.0% YoY, while core CPI eased marginally to 2.3%. That said, we expect the CBC to retain a somewhat hawkish tone. The central bank is likely to remain vigilant about the risk of persistent supply-side inflation, particularly given the renewed rise in global oil prices amid prolonged tensions in the Middle East. Policymakers are also likely to highlight the risk of second-round inflationary pressures stemming from a potential rise in inflation expectations, higher wages, and a recovery in domestic consumption.

FORTHCOMING DATA RELEASES

China

Industrial production is expected to improve from 4.5% yoy in July to 5.0% in August, supported by strong exports. Export growth edged up from 23.9% yoy in July to 25.0% in August, amid robust demand for AI-related electronics. However, on domestic front, retail sales growth is expected to remain subdued at 0.4% in August, partly due to a high base from last year's trade-in subsidy programmes. High precautionary savings and falling property prices continue to weigh on consumption, while weak

property markets are likely to keep household wealth under pressure.

On the investment side, the decline in fixed asset investment is expected to expand further from -6.7% yoy ytd in July to -7.0% yoy ytd in August. Corporate investment remains cautious amid the ongoing anti-involution campaign, while the property downturn continues to be a major drag. China's shift from presales towards completed-home sales is likely to weigh on near-term investment, land acquisitions and project starts, particularly among highly leveraged private developers.

Malaysia

We expect Malaysia's goods exports growth to remain robust at 43.5% yoy in August 2026, up from 38.0% yoy in July, amid favourable base effects. Export momentum remained anchored by the electrical & electronics segment, underpinned by robust artificial intelligence-related demand, although oil & gas exports expanded at a moderate pace than their April's peak, reflecting energy prices that were below earlier highs. On inflation, we expect headline CPI to remain steady at 1.8% yoy in August, with price pressures contained by targeted fuel subsidies and stable domestic demand conditions, despite rising food price increases.

Singapore

We expect Singapore's non-oil domestic exports (NODX) growth to accelerate to 35.0% yoy in August 2026, from 24.2% yoy in July. Overall NODX strength remained supported by robust electronics shipments, driven by strong artificial intelligence-related demand, despite weaker performance in non-electronics exports. The yoy pickup was likely boosted by favourable base effects, as August 2025 recorded the weakest monthly NODX reading of the year.

India

India's inflation is expected to quicken to 4.9% yoy from 4.4% month before. Food inflation continues to rise, driven by pulses, sugar, and dairy etc., while vegetables rose by a slower pace. After two years of normal monsoon, cumulative southwest rainfall this year is currently 15% below the long-term average (as of early-September), alongside slower build-up in reservoir levels, which could impact upcoming rabi crops as well. Energy prices have remained volatile, raising input cost pressures that could gradually filter through to consumers, even as retail fuel prices have been kept unchanged since May. A gradual broadening of price pressures is likely to keep inflation readings above 5% in second half of the fiscal year, underscoring the need for a tighter policy bias. The goods trade deficit is, meanwhile, likely to stay wide at \$30bn as an improvement in exports is accompanied by a further widening in the energy import bill.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.3	0.2	0.0	1.0	1.0
HONG KONG	2.5	3.5	3.8	2.8	1.5	1.4	2.0	2.0
INDIA	7.4	7.3	7.8	6.8	4.9	2.2	4.5	4.2
INDIA (FISCAL YEAR) *	7.2	7.8	7.3	6.8	4.6	2.1	4.9	4.0
INDONESIA	5.0	5.1	5.3	5.1	2.3	1.9	3.3	2.2
MALAYSIA	5.2	5.2	5.2	4.5	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	5.0	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	3.5	2.4	2.3	2.1	2.6	2.7
TAIWAN	5.3	8.8	11.6	5.6	2.2	1.7	2.0	2.1
THAILAND	2.9	2.4	2.1	2.0	0.4	-0.1	1.7	1.0
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.0	1.2	2.3	2.2	3.1	2.1
JAPAN	0.1	1.2	0.9	1.0	2.7	3.2	1.8	1.5
UNITED STATES***	2.8	2.0	1.9	1.7	3.0	2.7	3.5	3.0

* 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25
INDONESIA	4.75	5.75	5.75	5.75	5.75	5.75	5.75	5.75
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.25	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.16	1.16	1.30	1.40	1.50	1.50	1.50	1.50
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.50	2.50	2.50	2.50	2.50
JAPAN	0.75	1.00	1.25	1.25	1.50	1.75	1.75	1.75
UNITED STATES	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75

* 1-yr Loan Prime Rate; ** 3M SORA OIS; *** refinancing rate; ^ deposit facility rate

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.75	6.70	6.74	6.78	6.81	6.85
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	93.4	93.9	94.4	95.0	95.5	96.1
USD/IDR	17041	17907	17760	17600	17660	17730	17790	17860
USD/MYR	4.05	4.08	4.02	3.95	4.00	4.05	4.10	4.15
USD/PHP	60.7	61.3	60.4	60.6	60.7	60.9	61.1	61.3
USD/SGD	1.29	1.29	1.28	1.27	1.28	1.29	1.29	1.30
USD/KRW	1516	1549	1465	1450	1490	1505	1520	1535
USD/THB	32.6	33.2	32.7	32.0	32.5	33.0	33.5	34.0
USD/VND	26340	26310	26290	26290	26430	26570	26710	26850
AUD/USD	0.69	0.69	0.70	0.71	0.70	0.70	0.69	0.69
EUR/USD	1.16	1.14	1.15	1.17	1.16	1.15	1.14	1.13
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.65	3.65	3.65	3.65	3.65	3.65
	2Y	3.79	4.16	3.85	3.85	3.90	3.95	3.95	3.95
	10Y	4.32	4.45	4.40	4.50	4.55	4.60	4.65	4.65
	10Y-2Y	52	29	55	65	65	65	70	70
Japan	3M TIBOR	1.27	1.41	1.50	1.60	1.75	1.85	1.85	1.85
	2Y	1.35	1.39	1.60	1.70	1.85	1.95	1.95	1.95
	10Y	2.35	2.72	2.80	2.85	2.95	3.00	3.00	3.00
	10Y-2Y	100	133	120	115	110	105	105	105
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.70	2.70	2.70	2.70	2.70
	2Y	2.62	2.53	2.55	2.60	2.65	2.70	2.70	2.70
	10Y	3.00	2.86	3.10	3.20	3.25	3.30	3.30	3.30
	10Y-2Y	39	33	55	60	60	60	60	60
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.80	6.70	6.65	6.60	6.50
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	15	20	25	30	40
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.35	3.30	3.30	3.25	3.25	3.25
	10Y	3.63	3.60	3.80	3.85	3.85	3.85	3.80	3.80
	10Y-3Y	37	35	45	55	55	60	55	55
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.20	6.25	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.35	7.45	7.50	7.55	7.60	7.65
	10Y-2Y	156	82	115	120	125	125	125	130
Singapore	3M SORA OIS	1.16	1.16	1.30	1.40	1.50	1.50	1.50	1.50
	2Y	1.61	1.58	1.70	1.80	1.85	1.90	1.95	2.00
	10Y	2.29	2.04	2.30	2.40	2.50	2.50	2.50	2.50
	10Y-2Y	68	45	60	60	65	60	55	50
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.15	1.20	1.25	1.30	1.35	1.35
	10Y	2.23	2.04	2.10	2.20	2.30	2.40	2.50	2.60
	10Y-2Y	82	90	95	100	105	110	115	125
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	2.75	2.75	2.75	2.75	2.75	2.75
	2Y*	2.82	3.43	2.85	2.85	2.90	2.95	2.95	2.95
	10Y*	3.08	3.45	3.40	3.50	3.55	3.60	3.65	3.65
	10Y-2Y	26	2	55	65	65	65	70	70
Korea	3M CD	2.82	2.92	3.25	3.50	3.50	3.50	3.50	3.50
	3Y	3.56	3.70	3.75	3.90	3.90	3.90	3.90	3.90
	10Y	3.88	4.07	4.20	4.35	4.35	4.35	4.35	4.35
	10Y-3Y	32	37	45	45	45	45	45	45
India	3M MIBOR	7.25	6.61	6.75	6.75	6.75	6.75	6.75	6.75
	2Y	6.37	5.99	6.30	6.30	6.35	6.35	6.35	6.35
	10Y	7.04	6.75	6.95	6.90	6.90	6.90	6.85	6.85
	10Y-2Y	67	76	65	60	55	55	50	50

%, eop, govt bond yield for 2Y and 10Y, spread bps

Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.

Chief Economist
Global

taimurbaig@db.com

Mo Ji, Ph.D.

Chief Economist
China/HK SAR
mojim@db.com

Han Teng CHUA, CFA

Senior Economist
Asean
hantengchua@db.com

Wei Liang CHANG

FX & Credit Strategist
Global
weiliangchang@db.com

Tieying MA, CFA

Senior Economist
North Asia
matieying@db.com

Philip WEE

Senior FX Strategist
Global
philipwee@db.com

Mervyn TEO

Senior Credit Analyst
USD, SGD, AUD
mervynteo@db.com

Eugene LEOW

Senior Rates Strategist
G3 & Asia
eugeneleow@db.com

Sherilyn CHEW

Multi-asset Strategist
Global
sherilync Chew@db.com

Ian Haan Chui

Credit Analyst
USD
ianchui@db.com

Samuel TSE

Rates Strategist
Asia
samueltse@db.com

Tracy Li Jun LIM

Credit Analyst
USD, SGD
tracylimt@db.com

Joel SIEW, CFA

Credit Analyst
USD, SGD, AUD
joelsiew@db.com

Amanda SEAH

Credit Analyst
USD, SGD, AUD
amandaseah@db.com

Teng Chong LIM

Credit Analyst
USD, SGD, AUD
tengchonglim@db.com

Daisy SHARMA

Analyst
Data Analytics
daisy@db.com

Iris GAO

Credit Analyst
USD
irisgao@db.com

Radhika RAO

Senior Economist
Asean/EU/South Asia
radhikarao@db.com

Violet LEE

Associate
Publications
violetleeyh@db.com

Nathan CHOW

Senior Economist
China/HK SAR
nathanchow@db.com

Byron LAM

Economist
China/HK SAR
byronlamfc@db.com

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates, Digital Assets or Commodities)¹

The information herein is published by DBS Bank Ltd and/or DBS Bank (Hong Kong) Limited (each and/or collectively, the “Company”). It is based on information obtained from sources believed to be reliable, but the Company does not make any representation or warranty, express or implied, as to its accuracy, completeness, timeliness or correctness for any particular purpose. Opinions expressed are subject to change without notice. This research is prepared for general circulation. Any recommendation contained herein does not have regard to the specific investment objectives, financial situation and the particular needs of any specific addressee. The information herein is published for the information of addressees only and is not to be taken in substitution for the exercise of judgement by addressees, who should obtain separate legal or financial advice. The Company, or any of its related companies or any individuals connected with the group accepts no liability for any direct, special, indirect, consequential, incidental damages or any other loss or damages of any kind arising from any use of the information herein (including any error, omission or misstatement herein, negligent or otherwise) or further communication thereof, even if the Company or any other person has been advised of the possibility thereof. The information herein is not to be construed as an offer or a solicitation of an offer to buy or sell any securities, futures, options or other financial instruments or to provide any investment advice or services. The Company and its associates, their directors, officers and/or employees may have positions or other interests in, and may effect transactions in securities mentioned herein and may also perform or seek to perform broking, investment banking and other banking or financial services for these companies. The information herein is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction (including but not limited to citizens or residents of the United States of America) where such distribution, publication, availability or use would be contrary to law or regulation. The information is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction (including but not limited to the United States of America) where such an offer or solicitation would be contrary to law or regulation.

[#for Distribution in Singapore] This report is distributed in Singapore by DBS Bank Ltd (Company Regn. No. 196800306E) which is Exempt Financial Advisers as defined in the Financial Advisers Act and regulated by the Monetary Authority of Singapore. DBS Bank Ltd may distribute reports produced by its respective foreign entities, affiliates or other foreign research houses pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. Where the report is distributed in Singapore to a person who is not an Accredited Investor, Expert Investor or an Institutional Investor, DBS Bank Ltd accepts legal responsibility for the contents of the report to such persons only to the extent required by law. Singapore recipients should contact DBS Bank Ltd at 65-6878-8888 for matters arising from, or in connection with the report.

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

¹ This disclaimer may not apply if the applicable assets fall within the definition of ‘financial instruments’ that are set out in Article 2(1) EU MAR (e.g. financial instruments that are traded on a regulated market, MTF or OTF, etc.). Section C of Annex I of MiFID2 specifies these ‘financial instruments’.